
LOAN AGREEMENT

Dated as of June 2, 2022

Between

TIDES ON BOCA RATON NORTH OWNER, LLC,
a Delaware limited liability company,
as Borrower

and

ACM CRE FUND I-L, LP,
a Delaware limited partnership,
as Lender

TABLE OF CONTENTS

	<u>Page</u>
1. DEFINITIONS; PRINCIPLES OF CONSTRUCTION	1
1.1 Specific Definitions	1
1.2 Principles of Construction.....	29
2. GENERAL LOAN TERMS	29
2.1 The Loan	29
2.2 Scheduled Payments	30
2.3 Loan Repayment	31
2.4 Release of Property	33
2.5 Taxes	33
2.6 Interest Rate Protection Agreements	35
2.7 Fees; Prepayment Premium	37
2.8 Increased Costs; Capital Adequacy.	38
2.9 Extension Options.....	40
2.10 Benchmark Replacement Setting.....	42
3. CASH MANAGEMENT AND RESERVES	43
3.1 Grant of Security Interest; Application of Funds.....	43
3.2 Cash Management Arrangements	44
3.3 Reserves	44
3.3.1 Required Repairs.....	45
3.3.2 Taxes and Insurance.....	46
3.3.3 Initial CapEx Reserve	46
3.3.4 Intentionally Omitted.....	49
3.3.5 Intentionally Omitted.....	49
3.3.6 Replacement Reserve.....	49
3.3.7 Casualty/Condemnation Reserve.....	50
3.3.8 Security Deposit Reserve.....	50
3.3.9 Imprest Funds.....	50
3.3.10 Interest and Carry Reserve.....	51
4. REPRESENTATIONS AND WARRANTIES.....	53
4.1 Organization; Special Purpose.....	53
4.2 Proceedings; Enforceability	53
4.3 No Conflicts.....	53
4.4 Litigation.....	54
4.5 Agreements	54
4.6 Title	54
4.7 No Bankruptcy Filing	55
4.8 Full and Accurate Disclosure.....	55
4.9 Tax Filings	55
4.10 ERISA; No Plan Assets	55
4.11 Compliance	56

4.12	Contracts	56
4.13	Federal Reserve Regulations; Investment Company Act; Bank Holding Company	56
4.14	Easements; Utilities and Public Access	57
4.15	Physical Condition	57
4.16	Leases	57
4.17	Fraudulent Transfer	58
4.18	Ownership of Borrower	58
4.19	Purchase Options	58
4.20	Management Agreement	58
4.21	Hazardous Substances	58
4.22	Name; Principal Place of Business	59
4.23	Other Debt	59
4.24	Assignment of Leases and Rents	59
4.25	Insurance	59
4.26	FIRPTA	59
4.27	Fiscal Year	60
4.28	Intellectual Property/Websites	60
4.29	Operations Agreements	60
4.30	Illegal Activity	60
4.31	Intentionally Omitted	60
4.32	Ground Lease	60
4.33	Boundary	60
4.34	Required Minimum Equity	60
4.35	Major Equity Holders	60
4.36	Purchase and Sale Agreement	60
5.	COVENANTS	61
5.1	Existence	61
5.2	Taxes and Other Charges	61
5.3	Access to Property	61
5.4	Repairs; Maintenance and Compliance; Alterations	61
5.5	Performance of Other Agreements	62
5.6	Cooperate in Legal Proceedings	62
5.7	Further Assurances	63
5.8	Environmental Matters	63
5.9	Title to the Property	66
5.10	Leases	66
5.11	Estoppel Statement	66
5.12	Property Management	66
5.13	Special Purpose Entity	67
5.14	Intentionally Omitted	67
5.15	Change in Business or Operation of Property	67
5.16	Debt Cancellation	68
5.17	Affiliate Transactions	68
5.18	Zoning	68
5.19	No Joint Assessment	68

5.20	Principal Place of Business	68
5.21	Change of Name, Identity or Structure	68
5.22	Indebtedness.....	68
5.23	Licenses; Intellectual Property; Website	69
5.24	Compliance with Restrictive Covenants, Etc.....	69
5.25	ERISA	69
5.26	Transfers	70
5.27	Liens.....	70
5.28	Dissolution	70
5.29	Expenses	71
5.30	Indemnity	71
5.31	Patriot Act Compliance.....	72
5.32	Major Contracts	74
5.33	Loan to Value Ratio	74
5.34	Distributions.....	74
5.35	Payment Processors	74
5.36	Loan In Balance	74
5.37	Capital Improvements.....	75
5.38	Interest Rate Hedge.....	76
5.39	Purchase and Sale Agreement.....	76
5.40	Additional Construction Covenants.....	76
6.	NOTICES AND REPORTING.....	78
6.1	Notices	78
6.2	Borrower Notices and Deliveries.....	80
6.3	Financial Reporting.....	80
7.	INSURANCE; CASUALTY; AND CONDEMNATION.....	82
7.1	Insurance	82
7.2	Casualty.....	86
7.3	Condemnation	87
7.4	Application of Proceeds or Award.....	88
8.	DEFAULTS	90
8.1	Events of Default	90
8.2	Remedies.....	93
9.	SECONDARY MARKET PROVISIONS.....	94
9.1	Sale of Note and Secondary Market Transaction	94
9.2	Severance of Loan.....	97
9.3	Registered Note.....	98
10.	MISCELLANEOUS	98
10.1	Recourse.....	98
10.2	Brokers and Financial Advisors.....	99
10.3	Retention of Servicer	99
10.4	Survival	100

10.5	Lender's Discretion.....	100
10.6	Governing Law	100
10.7	Modification, Waiver in Writing	101
10.8	Waiver of Trial by Jury.....	102
10.9	Headings/Exhibits.....	102
10.10	Severability	102
10.11	Preferences.....	102
10.12	Waiver of Notice.....	102
10.13	Remedies of Borrower	103
10.14	Prior Agreements	103
10.15	Offsets, Counterclaims and Defenses	103
10.16	Publicity	103
10.17	No Usury	103
10.18	Conflict; Construction of Documents	104
10.19	No Third Party Beneficiaries	104
10.20	Assignment	104
10.21	Counterparts.....	104
10.22	Confidentiality	105

Exhibit A	Legal Description
Exhibit B	Exceptions to Representation and Warranties
Exhibit C	Definition of Special Purpose Entity
Exhibit D	Form of Request for Disbursement
Schedule 1	Initial CapEx Budget
Schedule 2	Initial CapEx Proposed Scope of Work
Schedule 3.3.1	Required Repairs
Schedule 4.12	Major Contracts
Schedule 4.16	Rent Roll
Schedule 4.18	Organizational Chart of Borrower
Schedule 4.28	Intellectual Property/Websites
Schedule 4.35	Major Equity Holders
Schedule 6.3.5	Approved Operating Budget as of Closing Date

LOAN AGREEMENT

THIS LOAN AGREEMENT (as the same may be modified, supplemented, amended or otherwise changed, this “*Agreement*”), dated as of June 2, 2022 (the “*Closing Date*”), is entered into between **TIDES ON BOCA RATON NORTH OWNER, LLC**, a Delaware limited liability company (together with its successors and permitted assigns, “*Borrower*”), and **ACM CRE FUND I-L, LP**, a Delaware limited partnership (together with its successors and assigns, “*Lender*”).

RECITALS

WHEREAS, Borrower has requested that Lender make a loan in the maximum principal amount of **Twenty-One Million One Hundred Ninety-Eight Thousand One Hundred Four and No/100 Dollars (\$21,198,104.00)** (the “*Loan*”) to be secured by, among other things, a first priority deed of trust lien on that certain real property legally described on **Exhibit A** attached hereto; and

WHEREAS, Lender has agreed to make the Loan subject to the terms and conditions of this Agreement.

NOW, THEREFORE, in consideration of the above recitals and for other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, Borrower and Lender hereby agree as follows:

1. DEFINITIONS; PRINCIPLES OF CONSTRUCTION

1.1 Specific Definitions. The following terms have the meanings set forth below:

Acceptable Appraisal: shall mean an appraisal ordered by Lender at the expense of Borrower that is (i) dated not more than sixty (60) days prior to the applicable date of calculation required pursuant to the terms of this Agreement, (ii) signed by a qualified, independent MAI appraiser selected by Lender, (iii) addressed to Lender and its successors and assigns, (iv) made in compliance with the requirements of Title XI of the Federal Institutions Reform, Recovery, and Enforcement Act of 1989 and the regulations promulgated thereunder, and (v) otherwise satisfactory to Lender in all material respects, in its sole discretion.

Acceptable Counterparty: shall have the meaning given to such term in Section 2.6.1 hereof.

Additional Borrower Equity: means Eight Hundred Sixty-Four Thousand Nine Hundred Thirty-Nine and No/100 Dollars (\$864,939.00) of cash equity (and not Loan proceeds) in excess of the Required Minimum Equity, to be contributed by Borrower’s constituent owners to Borrower after the date hereof for payment by the Borrower of 50% of the costs of the Approved Initial CapEx in connection with Lender making an advance hereunder for the other 50% of the costs of such Approved Initial CapEx; provided, however, that the Additional Borrower Equity

shall not be required prior to Lender having advanced or disbursed \$1,000,000 in the aggregate from the Initial CapEx Reserve.

Affiliate: shall mean, as to any Person, any other Person (i) which directly or indirectly through one or more intermediaries Controls, or is Controlled by, or is under common Control with, such Person; or (ii) which, directly or indirectly, beneficially owns or holds ten percent (10%) or more of any class of stock or any other ownership interest in such Person; or (iii) ten percent (10%) or more of the direct or indirect ownership of which is beneficially owned or held by such Person; or (iv) which is a member of the family (as defined in Section 267(c)(4) of the Code) of such Person or which is a trust or estate, the beneficial owners of which are members of the family (as defined in Section 267(c)(4) of the Code) of such Person; or (v) which directly or indirectly is a general partner, controlling shareholder, managing member, officer, director, trustee or employee of such Person.

Alternate Rate: shall mean, with respect to each applicable Interest Period, the Alternate Rate Spread plus a fluctuating rate per annum equal to the Alternate Rate Index (expressed as a percentage per annum rounded upwards, if necessary, to the nearest one hundredth (1/100th) of one percent (1%)) for deposits in U.S. Dollars for a one (1) month period, as determined by Lender on the date that is two (2) Business Days prior to the first day of such Interest Period. Notwithstanding the foregoing, in no event shall the Alternate Rate be an amount less than the Spread plus the Index Floor.

Alternate Rate Conversion Conforming Changes: shall mean, in connection with any conversion from the Benchmark to the Alternate Rate Index in accordance with Section 2.8(2) hereof, any technical, administrative or operational changes (including changes to the definition of “Interest Period”, timing and frequency of determining rates of interest and other administrative matters), that Lender decides in good faith may be appropriate to reflect the adoption of such Alternate Rate Index in a manner substantially consistent with market practice (or, if Lender decides that adoption of any portion of such market practice is not administratively feasible or if Lender or its designee determines that no market practice for use of the Alternate Rate Index exists, in such other manner as Lender determines (in a manner generally consistent with Lender’s determinations in similar contexts for similar loans) is necessary).

Alternate Rate Index: shall mean a substitute index selected by Lender, which substitute index shall be a published index that Lender determines is then-currently used by lenders in making determinations of the interest rate for variable rate commercial real estate loans (in a manner generally consistent with Lender’s determinations in similar contexts for similar loans), which the parties hereto acknowledge and agree may be an index that does not yet exist and/or is not commonly being used as of the Closing Date. Notwithstanding the foregoing, in no event shall the Alternate Rate Index be an amount less than the Index Floor.

Alternate Rate Spread: shall mean, in connection with any conversion from the Benchmark to the Alternate Rate Index in accordance with Section 2.8(2) hereof, the difference (expressed as the number of basis points) of (a) the Benchmark plus the Spread as of the Interest Period immediately preceding such conversion, minus (b) the Alternate Rate Index as of such conversion. Notwithstanding the foregoing, (x) in no event shall the Alternate Rate Spread be an amount less than zero and (y) in lieu of the foregoing calculation, Lender may elect (in a manner

generally consistent with Lender's determinations in similar contexts for similar loans) at the time of conversion from the Benchmark to an Alternate Rate Index, to apply its or any then customary alternate rate index and/or spread adjustment methodology then commonly used by lenders for variable rate commercial real estate loans.

Annual Budget: shall have the meaning given to such term in Section 6.3.5 hereof.

Approved Annual Budget: shall have the meaning given to such term in Section 6.3.5 hereof.

Approved Budget Capital Expense: shall mean the Capital Expenses incurred by Borrower which are either (i) included in the Approved Capital Budget for the applicable calendar month or (ii) approved in writing by Lender.

Approved Capital Budget: shall have the meaning given to such term in Section 6.3.5 hereof.

Approved Initial CapEx: shall mean the capital improvements and other work set forth in the Initial CapEx Budget and the Initial CapEx Proposed Scope of Work, or otherwise approved in writing by Lender.

Approved Lease: shall mean (i) each Lease described on the Rent Roll as of the Closing Date, (ii) any Approved Parameters Lease, and (iii) any other Lease approved in writing by Lender (such approval not to be unreasonably withheld, conditioned or delayed so long as such Lease is not with a Borrower Party or its Affiliate).

Approved Operating Budget: shall have the meaning given to such term in Section 6.3.5 hereof.

Approved Operating Expenses: shall mean operating expense(s) incurred by Borrower which (i) are included in the Approved Operating Budget for the applicable calendar month, (ii) are for real estate taxes, insurance premiums, electric, gas, oil, water, sewer or other utility service to the Property or (iii) have been approved by Lender; provided, however, that absent the express written consent of Lender, Approved Operating Expenses shall not include any asset management fees, acquisition fees, construction management fees or any similar fees due and owing to any Affiliate of Borrower.

Approved Parameters Lease: shall mean a Lease consistent with the Permitted Use which (i) is on a form of lease approved by Lender, with any material changes thereto approved by Lender (in each case, such approval not to be unreasonably withheld, conditioned or delayed); (ii) demises a single rental apartment at the Property and is not with a tenant that, together with its Affiliates, leases three (3) or more apartments at the Property; (iii) provides for terms comparable in all material respects to existing local market terms (taking into account the type and quality of the tenant) as of the date such Lease is executed (but in no event provides for more than two (2) months of free rent in any twelve (12) month period); (iv) is with a tenant that is creditworthy, as reasonably determined by Borrower; (v) is an arm's-length transaction with a tenant that is not an Affiliate of any Borrower Party; (vi) does not violate applicable Legal Requirements (including with respect to zoning) or the terms of any other Approved Lease; (vii) does not require the

Borrower, as landlord, to provide parking for the tenant unless Borrower has sufficient parking available on the Property to satisfy such obligation after giving effect to all other rights of tenants under Approved Leases in respect of parking; (viii) provides for automatic self-operative subordination to the Security Instrument and attornment to Lender; (ix) does not contain any option to purchase or any right of first refusal to purchase; and (x) is for an initial term of not less than twelve (12) months (or an initial term of not less than six (6) months if less than ten percent (10%) of the apartments at the Property are then subject to Leases with initial terms of less than twelve (12) months) and, together with all extensions, does not exceed a term of two (2) years.

Assignment of Agreements: shall mean that certain Assignment of Agreements, Licenses, Permits and Contracts from Borrower to Lender, dated as of the Closing Date, as the same may be amended, restated or supplemented from time to time.

Assignment of Interest Rate Protection Agreement: shall mean that certain Collateral Assignment of Interest Rate Protection Agreement by and between Borrower and Lender, dated as of the Closing Date, as the same may be amended, restated or supplemented from time to time.

Assignment of Leases and Rents: shall mean that certain Assignment of Leases and Rents dated the Closing Date by Borrower to Lender, as the same may be amended, restated or supplemented from time to time.

Assignment and Subordination of Property Management Agreement: shall mean that certain Collateral Assignment and Subordination of Property Management Agreement by and among Borrower, Manager and Lender, dated as of the Closing Date, as the same may be amended, restated, supplemented or replaced from time to time.

Award: shall have the meaning given to such term in Section 7.3.2 hereof.

Bankruptcy Code: shall mean Section 362(a) of Title 11 of the United States Code, as amended and as it may be further amended from time to time.

Bankruptcy Proceeding: shall have the meaning given to such term in Section 4.7 hereof.

Benchmark: shall mean, initially, Term SOFR; provided that if a Benchmark Transition Event and its related Benchmark Replacement Date have occurred with respect to the then-current Benchmark, then “**Benchmark**” means the applicable Benchmark Replacement to the extent that such Benchmark Replacement has replaced such prior benchmark rate pursuant to Section 2.10 hereof. Lender shall determine the Benchmark (and the applicable Reference Time) as in effect from time to time, and each such determination by Lender shall be conclusive and binding absent manifest error.

Benchmark Conforming Changes: shall mean, with respect to either the use or administration of Term SOFR or the use, administration, adoption or implementation of any Benchmark Replacement, any technical, administrative or operational changes (including changes to the definition of “Business Day,” the definition of “Interest Period,” the definition of “Reference Time,” the timing and frequency of determining rates of interest, the applicability and length of

lookback periods, the applicability of breakage provisions and other technical, administrative or operational matters) that Lender decides may be appropriate to reflect the adoption and implementation of such Benchmark Replacement and to permit the administration thereof by Lender in a manner substantially consistent with market practice (or, if Lender decides that adoption of any portion of such market practice is not administratively feasible or if Lender determines that no market practice for the administration of such Benchmark Replacement exists, in such other manner of administration as Lender decides is reasonably necessary in connection with the administration of this Agreement and the other Loan Documents); provided that Benchmark Conforming Changes shall be determined by Lender in a manner generally consistent with Lender's determinations in similar contexts for similar loans.

Benchmark Replacement: shall mean the first alternative set forth in the order below that can be determined by Lender for the applicable Benchmark Replacement Date:

(1) the sum of: (a) Compounded SOFR and (b) the related Benchmark Replacement Adjustment; or

(2) the sum of: (a) the alternate rate of interest that has been selected or recommended by the Relevant Governmental Body as the replacement for the then-current Benchmark and (b) the related Benchmark Replacement Adjustment; or

(3) the sum of: (a) the ISDA Fallback Rate and (b) the related Benchmark Replacement Adjustment; or

(4) the sum of: (a) the alternate benchmark rate that has been selected by Lender as the replacement for the then-current Benchmark giving due consideration to any industry-accepted market convention for determining a rate of interest as a replacement for the then-current Benchmark for U.S. dollar-denominated floating rate CMBS loans at such time and (b) the related Benchmark Replacement Adjustment;

provided that, in the case of clauses (2) and (3) above, such rate, or the underlying rates component thereof, is or are displayed on a screen or other information service that publishes such rate or rates from time to time selected by Lender in its reasonable discretion.

Notwithstanding the foregoing, if the Benchmark Replacement as determined pursuant to clause (1), (2), (3) or (4) above would be less than the Index Floor, then the Benchmark Replacement will be deemed to be the Index Floor for the purposes of this Agreement and the other Loan Documents.

Benchmark Replacement Adjustment: shall mean, with respect to any replacement of the then current Benchmark with an Unadjusted Benchmark Replacement, the first alternative set forth in the order below that can be determined by Lender for the applicable Benchmark Replacement Date:

(1) the spread adjustment, or method for calculating or determining such spread adjustment (which may be a positive or negative value or zero), that has been selected or recommended by the Relevant Governmental Body for the applicable Unadjusted Benchmark Replacement; or

(2) if the applicable Unadjusted Benchmark Replacement is equivalent to the ISDA Fallback Rate, then the ISDA Fallback Adjustment; or

(3) the spread adjustment, or method for calculating or determining such spread adjustment (which may be a positive or negative value or zero) that has been selected by Lender giving due consideration to any industry-accepted spread adjustment, or method for calculating or determining such spread adjustment, for the replacement of the then-current Benchmark with the applicable Unadjusted Benchmark Replacement for U.S. dollar-denominated floating rate CMBS loans at such time;

provided that, in the case of clause (1) and (2) above, such adjustment is displayed on a screen or other information service that publishes such Benchmark Replacement Adjustment from time to time as selected by Lender in its reasonable discretion.

Benchmark Replacement Date: shall mean the earliest to occur of the following events with respect to the then-current Benchmark:

(1) in the case of clause (1) or (2) of the definition of “Benchmark Transition Event,” the later of (a) the date of the public statement or publication of information referenced therein and (b) the date on which the administrator of such Benchmark permanently or indefinitely ceases to provide such Benchmark; and

(2) in the case of clause (3) of the definition of “Benchmark Transition Event,” the first date on which such Benchmark has been determined and announced by or on behalf of the administrator of such Benchmark or the regulatory supervisor for the administrator of such Benchmark to be non-representative or non-compliant with or non-aligned with the International Organization of Securities Commissions (IOSCO) Principles for Financial Benchmarks; provided that such non-representativeness, non-compliance or non-alignment will be determined by reference to the most recent statement or publication referenced in such clause (3) and even if such Benchmark continues to be provided on such date.

Benchmark Transition Event: shall mean the occurrence of one or more of the following events with respect to the then-current Benchmark:

(1) a public statement or publication of information by or on behalf of the administrator of such Benchmark announcing that such administrator has ceased or will cease to provide such Benchmark, permanently or indefinitely, provided that, at the time of such statement or publication, there is no successor administrator that will continue to provide such Benchmark;

(2) a public statement or publication of information by the regulatory supervisor for the administrator of the Benchmark, the central bank for the currency of the Benchmark, an insolvency official with jurisdiction over the administrator for the Benchmark, a resolution authority with jurisdiction over the administrator for the Benchmark or a court or an entity with similar insolvency or resolution authority over the administrator for the Benchmark, which states that the administrator of the Benchmark has ceased or will cease to provide the Benchmark permanently or indefinitely, provided that, at the time of such

statement or publication, there is no successor administrator that will continue to provide the Benchmark; or

(3) a public statement or publication of information by or on behalf of the administrator of such Benchmark or the regulatory supervisor for the administrator of such Benchmark announcing that the Benchmark is not, or as of a specified future date will not be, representative or in compliance with or aligned with the International Organization of Securities Commissions (IOSCO) Principles for Financial Benchmarks.

Borrower: shall have the meaning given to such term in the introductory paragraph of this Agreement.

Borrower Party: shall mean Borrower, Sole Member, Guarantor and any other Person that Controls Borrower.

Borrower Provided Information: shall have the meaning given to such term in Section 9.1.2 hereof.

Broker: shall have the meaning given to such term in Section 10.2 hereof.

Business Day: shall mean (i) any day other than a Saturday, Sunday or any day on which commercial banks in New York City are authorized or required to close and (ii) with respect to all notices, determinations, fundings and payments in connection with SOFR, any day except for (i) a Saturday, (ii) a Sunday or (iii) a day on which the Securities Industry and Financial Markets Association, or any successor thereto, recommends that the fixed income departments of its members be closed for the entire day for purposes of trading in United States Government securities.

Calculation Date: shall mean the date ending each Quarter on which Lender determines, based on the monthly reporting required pursuant to Section 6.3.3, the financial covenant or metric for the immediately preceding calendar Quarter(s), as applicable.

Capital Expenses: shall mean expenses that are capital in nature or required under GAAP to be capitalized.

Cash Management Accounts: shall have the meaning given to such term in Section 3.1.1 hereof.

Cash Management Period: shall mean any time that (i) a DSCR Cash Management Period is continuing and/or (ii) an Event of Default is continuing.

Casualty: shall have the meaning given to such term in Section 7.2.1 hereof.

Casualty/Condemnation Prepayment: shall have the meaning given to such term in Section 2.3.2 hereof.

Casualty/Condemnation Reserve: shall have the meaning given to such term in Section 3.3.7 hereof.

Change in Law: shall mean (a) the adoption of any law, rule or regulation after the Closing Date, (b) any change in any law, rule or regulation or in the interpretation or application thereof by any Governmental Authority after the Closing Date or (c) compliance by Lender (or, for purposes of Section 2.5 by any lending office of Lender or by its holding company, if any) with any request, guideline or directive (whether or not having the force of law) of any Governmental Authority made or issued after the Closing Date.

Clearing Account: shall mean deposit account number 1504805715, which shall be an Eligible Account, maintained by Borrower at the Deposit Bank and subject to the Clearing Account Agreement, and which shall include a post office box for the collection of checks and other physical remittances.

Clearing Account Agreement: shall mean that certain Deposit Account Control Agreement between Lender, Borrower and the Deposit Bank, which shall provide Lender with full dominion and control over the Clearing Account as more particularly described in Section 3.1.1 hereof.

Closing Date: shall have the meaning given to such term in the introductory paragraph of this Agreement.

Closing Date Advance: shall have the meaning given to such term in Section 2.1.1 hereof.

Code: shall mean the Internal Revenue Code of 1986, as amended and as it may be further amended from time to time.

Commencement Date: shall mean July 2, 2022; provided, however, that such date shall be extended on a day-for-day basis (not to exceed sixty (60) days in the aggregate) for each day hereafter that the Property is subject to a Force Majeure Event.

Complete or Completed: shall mean satisfaction of each of the following conditions, as reasonably determined by Lender and, at Lender's option, as confirmed by Lender's Construction Consultant:

(i) all Approved Initial CapEx shall have been completed in accordance with the Initial CapEx Approved Plans and Specifications and all Legal Requirements in all material respects;

(ii) Lender shall have received a certificate of completion from Borrower (and, if the cost of any particular Approved Initial CapEx exceeds \$250,000, a certificate of completion from Borrower's architect and, if applicable as reasonably determined by Lender, Borrower's general contractor and/or engineer) attesting to such completion in accordance with the applicable Initial CapEx Approved Plans and Specifications and all Legal Requirements in all material respects;

(iii) Lender shall have received evidence of the payment of all costs and expenses of completing the applicable Approved Initial CapEx;

(iv) Lender shall have received final lien waivers from all contractors (and all material subcontractors reasonably required by Lender) performing work in connection with the Approved Initial CapEx;

(v) Lender shall have received evidence that any applicable building permit has been closed out by the applicable Governmental Authorities; and

(vi) Lender shall have received a Title Update.

Completion Date: shall mean (x) with respect to the work contemplated by the “Exterior Renovation” and “Deferred Maintenance” portions of the Initial CapEx Budget, December 2, 2023, (y) with respect to the work contemplated by the “Interior Renovation” portion of the Initial CapEx Budget as it relates to not less than one hundred twenty (120) of the rental units at the Property, June 2, 2024 and (z) with respect to the remainder of the work contemplated by the Initial CapEx Budget, June 2, 2025; provided, however, that such date shall be extended on a day-for-day basis (not to exceed sixty (60) days in the aggregate) for each day hereafter that the Property is subject to a Force Majeure Event; and provided, further, that in no event shall the Completion Date be later than the Maturity Date (as the same may be extended from time to time in accordance with Section 2.9 hereof).

Compounded SOFR: shall mean the compounded average of SOFR for approximately a one-month period, with the rate, or methodology for this rate, and conventions for this rate (which, for example, may include compounding in arrears with a lookback and/or suspension period as a mechanism to determine the interest amount payable prior to the end of each Interest Period) being established by Lender in accordance with:

(1) the rate, or methodology for this rate, and conventions for this rate selected or recommended by the Relevant Governmental Body for determining compounded SOFR; provided, that

(2) if, and to the extent that, Lender determines that Compounded SOFR cannot be determined in accordance with clause (1) above, then “Compounded SOFR” shall mean the rate, or methodology for this rate, and conventions for this rate, selected by Lender giving due consideration to any industry-accepted market practice for U.S. dollar-denominated floating rate CMBS loans at such time;

provided, further, that if Lender decides that any such rate, methodology or convention determined in accordance with clause (1) or clause (2) is not administratively feasible for Lender, then Compounded SOFR shall be deemed unable to be determined for purposes of the definition of “Benchmark Replacement.”

Condemnation: shall have the meaning given to such term in Section 7.3.1 hereof.

Control: shall mean, with respect to any Person, either (i) ownership directly or indirectly of forty-nine percent (49%) or more of the outstanding voting securities or voting equity of such Person or (ii) the possession, directly or indirectly, of the power to direct or cause the direction of the management and policies of such Person, through the ownership of voting securities, by contract or otherwise. The terms Controlled, Controlling and Common Control shall

have correlative meanings.

Covered Taxes: shall have the meaning given to such term in Section 2.5 hereof.

Debt: shall mean, without duplication, all present and future indebtedness, whether direct or contingent, funded or unfunded, evidenced by or arising under this Agreement with respect to the Loan, or under any other Loan Document, together with interest thereon and all other sums due to Lender in respect of the Loan under any Loan Document (including sums added to the Principal in accordance with the terms of any Loan Document, all Protective Advances, Prepayment Premiums, Late Payment Charges, Exit Fees, Undrawn Commitment Fees, Loan Expenses and all other charges, fees, costs and expenses payable pursuant to any Loan Document).

Debt Service: shall mean for any period of time, the sum of all scheduled principal (if any) (except the payment due at the Stated Maturity Date) and interest payments (including scheduled payments of the Undrawn Commitment Fee) on the Loan that are due and payable during such period of time.

Debt Service Coverage Ratio (Cash Management): shall mean, as of any date of determination, the ratio calculated by Lender of:

(i) In Place NOI; provided that an underwritten reserve holdback equal to \$250 per apartment unit at the Property shall be deducted from In Place NOI for purposes of calculating the Debt Service Coverage Ratio (Cash Management) for periods from and after the Payment Date occurring in June, 2025; to

(ii) the DSCR Debt Service payable for the succeeding twelve (12) month period beginning with the most recently-completed calendar month.

Debt Service Coverage Ratio (Cash Management) shall be determined by Lender based on the financial information provided to Lender by Borrower and reviewed (and if Lender so elects, verified) by Lender. Lender's determination shall be binding upon Borrower absent manifest error.

Debt Service Coverage Ratio (Extension Test): shall mean, as of any date of determination, the ratio calculated by Lender of:

(i) In Place NOI; provided that an underwritten reserve holdback equal to \$250 per apartment unit at the Property shall be deducted from In Place NOI for purposes of calculating the Debt Service Coverage Ratio (Extension Test); to

(ii) the DSCR Debt Service payable for the succeeding twelve (12) month period beginning with the most recently-completed calendar month.

Debt Service Coverage Ratio (Extension Test) shall be determined by Lender based on the financial information provided to Lender by Borrower and reviewed (and if Lender so elects, verified) by Lender. Lender's determination shall be binding upon Borrower absent manifest error.

Debt Yield: shall mean, as of any date of determination, the ratio calculated by

Lender of:

- (i) In Place NOI; to
- (ii) the Principal, plus all accrued and unpaid interest thereon.

Debt Yield shall be determined by Lender based on the financial information provided to Lender by Borrower and reviewed (and if Lender so elects, verified) by Lender. Lender's determination shall be binding upon Borrower absent manifest error.

Default: shall mean the occurrence of any event under any Loan Document which, with the giving of notice or passage of time, or both, would be an Event of Default.

Default Rate: shall mean a rate per annum equal to the lesser of (i) the maximum rate permitted by applicable law, or (ii) five percent (5%) above the Interest Rate.

De Minimis Amounts: shall mean office and cleaning supplies or other materials customarily used in the ordinary course of Borrower's business or by tenants, in each case in reasonably minimal amounts, taking into account the intended and proper use thereof, properly containerized and labeled and stored, transported, disposed of and used in a manner that does not violate Environmental Law.

Deposit Bank: shall mean Signature Bank, a New York commercial bank, or such other bank or depository selected by Lender in its discretion.

Distribution: means any distribution of cash by Borrower or Sole Member to any Person having any direct or indirect legal or beneficial interest in Borrower or Sole Member, pursuant to such Person's interest in Borrower or Sole Member.

Disclosure Document: shall have the meaning given to such term in Section 9.1.2 hereof.

DSCR Cash Management Period: shall mean any period following the Payment Date occurring in August, 2022 that the Debt Service Coverage Ratio (Cash Management) is less than 1.15:1.00, and ending upon the earlier to occur of either of the following: (i) the Calculation Date thereafter that Lender determines that the Debt Service Coverage Ratio (Cash Management) was equal to or exceeded 1.20:1.00 for the immediately preceding two (2) consecutive Quarters or (ii) the date upon which Borrower makes a partial prepayment of Principal pursuant to Section 3.4.5 within ten (10) Business Days after Lender notifies Borrower that such DSCR Cash Management Period has commenced, resulting in the Debt Service Coverage Ratio (Cash Management) as of the Calculation Dates for the two (2) Quarters immediately preceding such Calculation Date being increased to not less than 1.20:1.00.

DSCR Debt Service: means, for any period of time, the sum of (i) all scheduled principal payments on the Loan that are due and payable during such period of time (if any), plus (ii) all interest payments on the Loan (including scheduled payments of the Undrawn Commitment Fee) that would be due and payable during such period of time based on the Interest Rate in effect on such date of determination.

Easements: shall have the meaning given to such term in Section 4.14 hereof.

Eligible Account: shall mean a separate and identifiable account from all other funds held by the holding institution that is acceptable to Lender and is either (i) an account or accounts (or subaccounts thereof) maintained with a federal or state-chartered depository institution or trust company which complies with the definition of Eligible Institution or (ii) a segregated trust account or accounts (or subaccounts thereof) which is insured by the Federal Deposit Insurance Corporation and maintained with the corporate trust department of a federal depository institution or state chartered depository institution subject to regulations regarding fiduciary funds on deposit similar to Title 12 of the Code of Federal Regulations §9.10(b), having in either case corporate trust powers, acting in its fiduciary capacity, and a combined capital and surplus of at least \$50,000,000 and subject to supervision or examination by federal and state authorities. An Eligible Account will not be evidenced by a certificate of deposit, passbook or other instrument.

Eligible Institution: shall mean a depository institution insured by the Federal Deposit Insurance Corporation the short term unsecured debt obligations or commercial paper of which are rated at least A-1 by S&P, P-1 by Moody's and F-1+ by Fitch, in the case of accounts in which funds are held for thirty (30) days or less or, in the case of Letters of Credit or accounts in which funds are held for more than thirty (30) days, the long term unsecured debt obligations of which are rated at least (i) "AA" by S&P, (ii) "AA" and/or "F1+" (for securities) and/or "AAmmf" (for money market funds), by Fitch and (iii) "Aa2" by Moody's.

Environmental Indemnity: shall mean that certain Environmental Indemnity Agreement made by Borrower and Guarantor for the benefit of Lender, dated as of the Closing Date, as the same may be amended, restated or supplemented from time to time.

Environmental Laws: shall have the meaning given to such term in Section 4.21 hereof.

Equipment: shall have the meaning given to such term in the Security Instrument.

ERISA: shall mean the Employee Retirement Income Security Act of 1974, as amended from time to time, and the rules and regulations promulgated thereunder.

ERISA Affiliate: shall mean all members of a controlled group of corporations and all trades and business (whether or not incorporated) under common control and all other entities which, together with Borrower, are treated as a single employer under any or all of Section 414(b), (c), (m) or (o) of the Code or Title IV of ERISA.

Event of Default: shall have the meaning given to such term in Section 8.1 hereof.

Excess Cash Flow: shall mean, at any time that no monetary or material non-monetary Default, no Event of Default and no Cash Management Period exists, the portion of any Gross Revenues deposited into the Clearing Account during the present calendar month (plus any amounts disbursed to the Operating Account by Lender pursuant to Section 3.4.2(7) hereof) that exceeds the aggregate amount of the following payments coming due on the next Payment Date: (i) payments into each Reserve as required under Section 3.3 hereof on such next Payment Date;

(ii) payments of Debt Service due on such next Payment Date (plus, if applicable, any Loan Expenses and other amounts then due to Lender under the Loan Documents); (iii) payments of the monthly portion of the fees charged by the Deposit Bank in accordance with the Clearing Account Agreement; and (iv) payments of outstanding operating expenses and, as set forth in the Approved Operating Budget, anticipated operating expenses through such next Payment Date.

Exchange Act: shall have the meaning given to such term in Section 9.1.2 hereof.

Exit Fee: shall have the meaning given to such term in Section 2.7.2 hereof.

Extension Conditions: shall have the meaning given to such term in Section 2.9 hereof.

First Extended Maturity Date: shall have the meaning given to such term in Section 2.9.

First Extension Term: shall have the meaning given to such term in Section 2.9.

Fitch: shall mean Fitch, Inc., a division of Fitch Ratings Ltd.

Force Funded Initial CapEx Reserve: shall have the meaning given to such term in Section 3.3.3 hereof.

Force Majeure Event: means a delay caused by any of the following events, to the extent that Borrower gives Lender prompt written notice of the occurrence of the same (but in all events within ten (10) Business Days of the occurrence of such event) and, after such initial notification, promptly after the request of Lender, notifies Lender of the status of such delay: (i) acts of declared or undeclared war by a foreign enemy; (ii) riots; (iii) casualty or condemnation; (iv) floods or hurricanes; (v) earthquakes; (vi) acts of God; (vii) governmental preemption in the case of a pandemic, epidemic or national emergency; (viii) unavailability of materials to the extent not within the reasonable control of Borrower or an applicable contractor; (ix) strikes, lockouts or other labor trouble; (x) omissions or delays in acting by any Governmental Authority; and (xi) any other event or circumstance not within the reasonable control of Borrower or any applicable contractor, but “Force Majeure Event” shall expressly not include (A) inefficiencies on the part of Borrower, Borrower’s construction manager, architect or any trade contractor or other design professional; (B) late performance caused by failure to hire an adequate number of trade contractors, supervisors and/or laborers or by the failure to order supplies and materials in an orderly or timely fashion; (C) any cause or occurrence which Borrower, or Borrower’s construction manager, architect or any trade contractor could reasonably control or circumvent; (D) delays, stoppage or any other interference with construction caused by insolvency, bankruptcy or any lack of funds of Borrower or Borrower’s construction manager, architect or any trade contractor; and (E) delays due to the COVID-19 pandemic unless a Governmental Authority hereafter directs that construction cease or be limited in scope due to the COVID-19 pandemic.

Future Lender(s): shall have the meaning given to such term in Section 9.1.1 hereof.

GAAP: shall mean generally accepted accounting principles in the United States of

America as of the date of the applicable financial report.

Governmental Authority: shall mean any court, board, agency, commission, office or authority of any nature whatsoever for any governmental unit (federal, state, commonwealth, county, district, municipal, city or otherwise) now or hereafter in existence.

Government Lists: shall have the meaning given to such term in Section 5.31 hereof.

Gross Revenues: means all revenues and income of any nature derived directly or indirectly from the Property, or from the use or operation thereof, whether on or off the site and from whatever source, including, without limitation, all cash receipts of Borrower from Leases in place at the Property and all other income, rents, additional rents, revenues, cash receipts, parking revenues, issues, profits, proceeds of the sale of all or any portion of the Property, reimbursement of previously paid real estate taxes, insurance and condemnation proceeds, all revenues collected from vending machines and any concessions and Lease Termination Payments.

Guarantor: shall mean, individually and collectively, jointly and severally, each of (i) Sean Kia, an individual, (ii) Ryan Andrade, an individual and (iii) any other Person that now or hereafter guarantees any of Borrower's obligations hereunder or any other Loan Document.

Guaranty: shall mean, as each may be modified, amended or restated from time to time, (i) that certain Guaranty of Recourse Obligations, dated as of the Closing Date, made by Guarantor in favor of Lender, (ii) that certain Completion Guaranty, dated as of the Closing Date, made by Guarantor in favor of Lender, and (iii) any other guaranty agreement entered into in favor of Lender from time to time in connection with the Debt or any obligation of any Borrower Party.

Hazardous Substances: shall have the meaning given to such term in Section 4.21 hereof.

Imprest Funds: shall have the meaning given to such term in Section 3.3.9 hereof.

Imprest Replenishment Advance: shall have the meaning given to such term in Section 3.3.9 hereof.

Improvements: shall have the meaning given to such term in the Security Instrument.

In Balance: shall mean, as of any date of determination, that the available balance of the Initial CapEx Reserve, plus the available balance of any Force Funded Initial CapEx Reserve, plus the unapplied portion of any Imprest Funds, plus the remainder of the Additional Borrower Equity, in each case as allocated to each applicable line item of the Initial CapEx Budget, is greater than the anticipated cost to complete all such work contemplated by such line item of the Initial CapEx Budget in accordance with all Legal Requirements (in all material respects) and all other requirements of this Agreement, as reasonably determined by Lender and, at Lender's option, Lender's Construction Consultant (taking into account the Initial CapEx Budget and any actual or projected cost overruns).

In Place NOI: as calculated by Lender on any date of determination, shall mean:

(A) the Operating Revenues for the most recently-completed three (3) calendar months, multiplied by four (4); less

(B) (1) the Operating Expenses for the most recently-completed twelve (12) calendar months (other than Taxes, Insurance Premiums and management fees payable to Manager due and payable during such period) plus (2) the greater of (x) all Taxes due and payable during the most recently-completed twelve (12) calendar months or (y) the budgeted Taxes for the current calendar year as set forth in the Approved Operating Budget, plus (3) the greater of (x) all Insurance Premiums due and payable during the most recently-completed twelve (12) calendar months or (y) the budgeted Insurance Premiums for the current calendar year as set forth in the Approved Operating Budget, plus (4) the greater of (x) all management fees due and payable to Manager during such period or (y) an assumed management fee of three percent (3%) of Gross Revenues for such period.

Increased Cost Payment Date: shall have the meaning given to such term in Section 2.8(4) hereof.

Indemnified Liabilities: shall have the meaning given to such term in Section 5.30 hereof.

Indemnified Party: shall have the meaning given to such term in Section 5.30 hereof.

Index Floor: shall mean 1.12606% per annum.

Initial CapEx Approved Plans and Specifications: means plans, layouts, drawings, designs and/or specifications submitted by Borrower and approved in writing by Lender in accordance with Section 5.37 hereof (such approval not to be unreasonably withheld, conditioned or delayed), setting forth in reasonable detail the requirements for completion of the work contemplated by the Initial CapEx Budget and the Initial CapEx Proposed Scope of Work, as each of the same may be amended from time to time upon the prior written approval of Lender (such approval not to be unreasonably withheld, conditioned or delayed). Lender reserves the right to use the services of Lender's Construction Consultant in connection with its initial approval of and any requested amendment to the Initial CapEx Approved Plans and Specifications and Borrower shall pay the fees of such Lender's Construction Consultant in connection therewith.

Initial CapEx Budget: shall mean the budget attached hereto as Schedule 1 (as the same may be amended and/or modified (a) with Lender's prior written consent, such approval not to be unreasonably withheld, conditioned or delayed or (b) as otherwise set forth in accordance with Section 5.37(2) hereof). Lender reserves the right to use the services of Lender's Construction Consultant in connection with and any requested amendment to the Initial CapEx Budget and Borrower shall pay the fees of such Lender's Construction Consultant in connection therewith.

Initial CapEx Disbursement Schedule: shall mean a schedule promulgated by Borrower in connection with each request for advance from the Initial CapEx Reserve, in each case certified by Borrower as being true, correct and complete as of such date of certification and

detailing (i) each line item of the approved Initial CapEx Budget, and the costs expected to be incurred thereunder, (ii) the percentage of completion of each such line item as of the date of such certification, (iii) the amount of the Initial CapEx Reserve drawn and Additional Borrower Equity spent to date for each such line item, (iv) the amount of the Initial CapEx Reserve and Additional Borrower Equity remaining, as of such date, to be drawn or spent for each such line item and (v) any expected budget variance for each such line item.

Initial CapEx Proposed Scope of Work: shall mean the scope of work attached hereto as Schedule 2.

Initial CapEx Reserve: shall have the meaning given to such term in Section 3.3.3 hereof.

Initial CapEx Reserve Amount: shall have the meaning given to such term in Section 3.3.3 hereof.

Initial CapEx Reserve Conditions Precedent: shall mean each of the following:

(A) Borrower shall have delivered to Lender, and Lender shall have approved in accordance with the terms of this Agreement, the Initial CapEx Approved Plans and Specifications;

(B) Borrower shall have submitted to Lender for approval and Lender shall have approved in its reasonable discretion the Initial CapEx Disbursement Schedule;

(C) Borrower shall have delivered to Lender evidence reasonably satisfactory to Lender that all licenses, permits, variances and certificates necessary for the work contemplated by the Initial CapEx Budget and Initial CapEx Approved Plans and Specifications have been or will be obtained and that such work will otherwise comply with all applicable Legal Requirements in all material respects; and

(D) Borrower shall have delivered to Lender copies of executed trade contracts such that at least ninety percent (90%) of the Initial CapEx Budget has been “bought out.”

Initial CapEx Reserve Undrawn Commitment Fee: shall have the meaning given to such term in Section 3.3.3 hereof.

Initial CapEx Reserve Undrawn Fee Amount: shall have the meaning given to such term in Section 3.3.3 hereof.

Initial Payment Date: shall mean the first Payment Date after the Closing Date (i.e., June 9, 2022).

Insurance Premiums: shall have the meaning given to such term in Section 7.1.2 hereof.

Insured Casualty: shall have the meaning given to such term in Section 7.2.2 hereof.

Intellectual Property: shall have the meaning given to such term in Section 4.28 hereof.

Interest and Carry Reserve: shall have the meaning given to such term in Section 3.3.10 hereof.

Interest Period: shall mean (i) the period from the Closing Date through and including the last calendar day prior to the Initial Payment Date and (ii) each period thereafter from the Initial Payment Date (and each Payment Date thereafter) through the day immediately preceding the next Payment Date (even if such Interest Period extends beyond the Maturity Date).

Interest Rate: shall mean, for any Interest Period, (x) the Spread plus the Benchmark for such Interest Period (or, if the Alternate Rate is applicable pursuant to Section 2.8 hereof, the Alternate Rate Spread plus the Alternate Rate Index for such Interest Period) or (y) when applicable pursuant to this Agreement or any other Loan Document, the Default Rate.

Interest Rate Cap Opinion: shall have the meaning given to such term in Section 2.6.1(3) hereof.

Interest Rate Protection Agreement: shall have the meaning given to such term in Section 2.6.1 hereof.

ISDA Definitions: shall mean the 2006 ISDA Definitions published by the International Swaps and Derivatives Association, Inc. or any successor thereto, as amended or supplemented from time to time, or any successor definitional booklet for interest rate derivatives published from time to time by the International Swaps and Derivatives Association, Inc. or such successor thereto.

ISDA Fallback Adjustment: shall mean the spread adjustment (which may be a positive or negative value or zero) that would apply for derivatives transactions referencing the ISDA Definitions to be determined upon the occurrence of an index cessation event with respect to the then-current Benchmark.

ISDA Fallback Rate: shall mean the rate that would apply for derivatives transactions referencing the ISDA Definitions to be effective upon the occurrence of an index cessation date with respect to the then-current Benchmark, excluding the applicable ISDA Fallback Adjustment.

Issuer: shall have the meaning given to such term in Section 9.1.3 hereof.

Late Payment Charge: shall have the meaning given to such term in Section 2.2.5 hereof.

Leases: shall mean all leases, licenses and other agreements or arrangements heretofore or hereafter entered into affecting the use, enjoyment or occupancy of, or the conduct of any activity upon or in, the Property or the Improvements, including any guarantees, extensions, renewals, modifications or amendments thereof and all additional remainders, reversions and other rights and estates appurtenant thereunder.

Lease Termination Payments: shall mean (i) all fees, penalties, commissions or other payments made to Borrower in connection with or relating to the rejection, buy-out, termination, surrender or cancellation of any Lease (including in connection with any bankruptcy proceeding), (ii) any security deposits or proceeds of letters of credit held by Borrower in lieu of cash security deposits, which Borrower is permitted to retain pursuant to the applicable provisions of any Lease and (iii) any payments made to Borrower relating to unamortized tenant improvements and leasing commissions under any Lease.

Legal Requirements: shall mean all statutes, laws, rules, orders, regulations, ordinances, judgments, decrees and injunctions of Governmental Authorities (including those regarding fire, health, handicapped access, sanitation, ecological, historic, zoning, environmental protection, wetlands and building laws and the Americans with Disabilities Act of 1990, Pub. L. No. 89-670, 104 Stat. 327 (1990), as amended, and all regulations promulgated pursuant thereto) applicable to Borrower, any Loan Document or all or part of the Property or the construction, ownership, use, alteration or operation thereof, whether now or hereafter enacted and in force, and all permits, licenses and authorizations and regulations relating thereto, and all covenants, agreements, restrictions and encumbrances contained in any instrument, either of record or actually known to Borrower, at any time in force to which Borrower or all or part of the Property is subject, including, without limitation, any which may (i) require repairs, modifications or alterations in or to the Property or any part thereof, or (ii) in any way limit the use and enjoyment thereof.

Lender: shall have the meaning given to such term in the introductory paragraph of this Agreement.

Lender Account: means the following Eligible Account owned by Lender, as the same may be changed from time to time by Lender in its sole discretion:

Bank:	Bank of America, NA
Banks Address:	100 North Tryon Street Charlotte, NC 28255
ABA#:	026009593
Account #:	488096504051
Account Name:	ACM CRE FUND I-L, LP
Reference:	Loan #57 – Wyndham Pointe

Lender Group: shall have the meaning given to such term in Section 9.1.3 hereof.

Lender's Construction Consultant: shall mean any Person retained by Lender as a construction consultant in relation to the Property.

Lender's Environmental Consultant: shall have the meaning given to such term in Section 5.8.1 hereof.

Liabilities: shall have the meaning given to such term in Section 9.1.3 hereof.

Licenses: shall have the meaning given to such term in Section 4.11 hereof.

Lien: means any mortgage, deed of trust, lien (statutory or otherwise), pledge,

hypothecation, easement, restrictive covenant, preference, assignment, security interest, PACE Loan or any other encumbrance, or charge or transfer of, on or affecting all or any part of the Property or any interest therein, or any direct or indirect interest in Borrower or Sole Member, including any conditional sale or other title retention agreement, any financing lease having substantially the same economic effect as any of the foregoing, the filing of any financing statement, and mechanic's, materialmen's and other similar liens and encumbrances.

Loan: shall have the meaning given to such term in the Recitals.

Loan Documents: shall mean this Agreement and all other documents, agreements and instruments now or hereafter evidencing, securing or governing the Loan, including the following: (i) the Note, (ii) the Security Instrument, (iii) the Assignment of Leases and Rents, (iv) the Assignment of Agreements, (v) the Clearing Account Agreement, (vi) each Guaranty, (vii) the Environmental Indemnity, (viii) the Assignment and Subordination of Property Management Agreement, (ix) the Assignment of Interest Rate Protection Agreement, and (x) the Post Closing Agreement; as each of the foregoing may be (and each of the foregoing defined terms shall refer to such documents as they may be) amended, restated, replaced, severed, split, supplemented or otherwise modified from time to time (including pursuant to Section 9.2 hereof).

Loan Expenses: shall have the meaning given to such term in Section 5.29 hereof.

Loan to Value Ratio: means, as of any date of determination, the ratio computed as follows: (i) the numerator of the ratio shall be equal to the Principal plus all accrued and unpaid interest on the Principal, plus all other sums constituting Debt due to Lender under this Agreement and the other Loan Documents; and (ii) the denominator of the ratio shall be the aggregate "as is" value of the Property as determined in an Acceptable Appraisal.

Major Contract: means (i) any management, brokerage or leasing agreement, (ii) any cleaning, maintenance, service or other contract or agreement of any kind (other than Leases) entered into by or on behalf of Borrower of a material nature (materiality for these purposes to mean contracts which extend beyond one year or have an obligation of Borrower to pay more than \$100,000 per annum (in each case, unless cancelable on thirty (30) days or less notice without requiring the payment of termination fees or payments of any kind)), in either case, relating to the ownership, leasing, management, use, operation, maintenance, repair or restoration of the Property, whether written or oral or (iii) any contract or agreement of any kind that is between Borrower and an Affiliate of Borrower. Notwithstanding the foregoing, neither the Management Agreement nor any Approved Lease shall constitute a "Major Contract" for purposes of the Loan Documents.

Management Agreement: means that certain Property Management Agreement, dated as of May 4, 2022 by and between Borrower and Manager, pursuant to which Manager is to manage the Property, as the same may be amended, restated, replaced, supplemented or otherwise modified from time to time in accordance with Section 5.12 hereof.

Manager: means The Robinson Family Group LLC, an Arizona limited liability company, or any successor, assignee or replacement manager appointed by Borrower in accordance with Section 5.12 hereof.

Material Alteration: means (x) any alteration affecting structural elements of the Property, the roof of the Property or any building system of the Property or (y) any alteration the cost of which exceeds \$100,000.00 or requires any License; *provided, however*, that in no event shall “Material Alteration” mean (i) any Required Repairs or (ii) Approved Initial CapEx performed in accordance with the terms hereof.

Maturity Date: means the date on which the final payment of principal of the Note becomes due and payable as therein provided, whether at the Stated Maturity Date, by declaration of acceleration, or otherwise.

Moody’s: shall mean Moody’s Investors Service, Inc.

Multiemployer Plan: means a “multiemployer plan” as defined in Section 3(37) of ERISA.

New Lending Office: has the meaning given to such term in Section 2.5(6) hereof.

Note or Notes: shall mean any promissory note or notes, in form and substance satisfactory to Lender in its sole discretion, executed and delivered by Borrower and payable to the order of the Lender, in an aggregate principal amount equal to the stated principal amount of the Loan, as the same may be amended, restated, extended, supplemented, replaced or split from time to time.

Notice: shall have the meaning given to such term in Section 6.1 hereof.

O & M Program: shall have the meaning given to such term in Section 5.8.3 hereof.

OFAC: shall have the meaning given to such term in Section 5.31 hereof.

Officer’s Certificate: means a certificate delivered to Lender by Borrower which is signed by a duly authorized officer of Borrower.

Operating Account: shall mean deposit account number 833377788, which shall be an Eligible Account, maintained by Borrower at JPMorgan Chase Bank, NA (routing number 122100024).

Operations Agreements: shall mean any covenants, restrictions, easements, declarations or agreements of record relating to the construction, operation or use of the Property, together with all amendments, modifications or supplements thereto.

Operating Expenses: means, with respect to the period being measured, all reasonable and necessary expenses of operating the Property in the ordinary course of business which are paid or payable by or on behalf of Borrower and which are directly associated with and fairly allocable to the Property for the applicable period, including ad valorem real estate taxes and assessments, state franchise tax assessments, insurance premiums, utilities, maintenance costs, accounting and legal fees and expenses, property management fees payable pursuant to a property management agreement (including non-customary management fees such as construction management fees) for such period, and other professional fees; but excluding Capital Expenses,

Debt Service, any of the foregoing expenses which are paid from deposits to cash reserves (if any) paid to Lender and previously included as Operating Expenses, any payment or expense for which Borrower was or is to be reimbursed from proceeds of the Loan (including any disbursements from a Reserve funded from proceeds of the Loan) or insurance or by any third party (other than a tenant under an Approved Lease), any non-cash charges such as depreciation and amortization, and any cost or expense rejected or not permitted by Lender under this Agreement or the Loan Documents or in any subsequent writing by Lender. Operating Expenses shall also not include federal, state or local income taxes or legal and other professional fees unrelated to the operation of the Property.

Operating Revenue: means, with respect to the period being measured, all cash receipts of Borrower from Leases in place at the Property and other recurring sources of income, as reasonably determined by Lender, which are properly allocable to the Property for the applicable period, as reasonably determined by Lender, but excluding (i) security deposits and earnest money deposits until they are forfeited by the depositor, (ii) advance rentals until they are earned, (iii) rents due and payable under any Lease which are more than thirty (30) days delinquent (other than rents due and payable under any Lease which are not more than ninety (90) days delinquent to the extent all delinquent rents are then paid current), (iv) proceeds from a sale or financing and proceeds from an Interest Rate Protection Agreement, (v) extraordinary items of income, such as those resulting from casualty or condemnation or Lease Termination Payments of tenants, (vi) any reimbursement of real estate tax payments (but not any reimbursement of Operating Expenses paid by a tenant under an Approved Lease), and (vii) any cash receipts or revenues of Borrower resulting from any Leases for which the underlying tenant (a) is the subject of a Bankruptcy Proceeding or (b) is subject to a “month-to-month” tenancy to the extent such rents exceed five percent (5%) of the applicable period’s Operating Revenue.

Other Charges: shall mean all ground rents, maintenance charges, impositions other than Taxes, and any other charges, including vault charges and license fees for the use of vaults, chutes and similar areas adjoining the Property, now or hereafter levied or assessed or imposed against the Property or any part thereof.

Other Taxes: has the meaning given to such term in Section 2.5(2) hereof.

PACE Loan: means (x) any “Property-Assessed Clean Energy loan” or (y) any other indebtedness, without regard to the name given to such indebtedness, which is (i) incurred for improvements to the Property for the purpose of increasing energy efficiency, increasing use of renewable energy sources, resource conservation, or a combination of the foregoing, and (ii) repaid through multi-year assessments against the Property.

Participant: shall have the meaning given to such term in Section 9.3 hereof.

Participant Register: shall have the meaning given to such term in Section 9.3 hereof.

Patriot Act: shall have the meaning given to such term in Section 5.31 hereof.

Patriot Act Offense: shall have the meaning given to such term in Section 5.31 hereof.

Payment Date: means the 9th day of each calendar month (or, if such 9th day is not a Business Day, then the first Business Day thereafter). The first Payment Date hereunder following the Initial Payment Date shall be July 11, 2022.

Permitted Encumbrances: means (i) the Liens created by the Loan Documents, (ii) all Liens and other matters disclosed in the Title Policy, (iii) Liens, if any, for Taxes or Other Charges not yet due and payable, (iv) any workers', mechanics' or other similar Liens on the Property provided that any such Lien is (x) bonded or discharged within forty-five (45) days after Borrower first receives notice of such Lien and (y) being contested by Borrower in good faith in accordance with the requirements of this Agreement, (v) Approved Leases and (vi) such other title and survey exceptions as Lender approves in writing in Lender's sole and absolute discretion.

Permitted Indebtedness: shall have the meaning given to such term in Section 5.22 hereof.

Permitted Transfers: shall mean:

(i) an Approved Lease entered into in accordance with the Loan Documents; or

(ii) a Permitted Encumbrance; or

(iii) provided no Event of Default shall then exist or will result from such Transfer, a present Transfer (but not a pledge or encumbrance) of a direct or indirect ownership interests in Sole Member to any Person not an Embargoed Person so long as Guarantor remains in Control (in the sense of clause (ii) of the definition of Control) of Borrower and Sole Member and each of the following conditions are satisfied:

(A) such Transfer shall not cause the transferee, together with its Affiliates, to either acquire Control of Borrower or Sole Member or, unless such Person is shown on Schedule 4.18 hereto as already owning a 20% or greater interest, to increase its direct or indirect interest in Borrower or Sole Member to an amount which equals or exceeds twenty percent (20%);

(B) after giving effect to such Transfer, Guarantor shall continue to own at least 2.25% of all equity interests (direct or indirect) in Borrower;

(C) the Property continues to be operated pursuant to the Management Agreement and the requirements of Section 5.13 remain satisfied with respect to Borrower; and

(D) unless such Person is shown on Schedule 4.18 hereto as already owning a 20% or greater interest in Borrower, if such Transfer would cause the transferee, together with its Affiliates, to acquire or to increase its direct or indirect interest in Borrower to an amount which equals or exceeds twenty percent (20%), (x) Borrower shall provide to Lender thirty (30) days prior written notice thereof, (y) such transferee, and all other Persons that shall then become an owner of twenty percent (20%) or more

of an indirect interest in Borrower, shall be a Vetted Transferee, and (z) Borrower shall have provided to Lender copies of all instruments effecting such Transfer not less than fifteen (15) days prior to such Transfer.

Notwithstanding the foregoing, in no event shall any Transfer of any of Sole Member's direct 100% limited liability company interest in Borrower constitute a Permitted Transfer hereunder.

Permitted Use: shall have the meaning given to such term in Section 4.11 hereof.

Person: means any individual, corporation, partnership, limited liability company, joint venture, estate, trust, unincorporated association, bank, any other person or entity, and any federal, state, county or municipal government or any bureau, department or agency thereof and any fiduciary acting in such capacity on behalf of any of the foregoing.

Phase I Environmental Assessment: means that certain Phase I Environmental Site Assessment prepared by Partner Engineering and Science, Inc. on March 22, 2022 as Partner Project No. 22-360759.2.

Plan: shall mean (i) an employee benefit or other plan established or maintained by Borrower or any ERISA Affiliate or to which Borrower or any ERISA Affiliate makes or is obligated to make contributions and (ii) which is subject to Title IV of ERISA or Section 302 of ERISA or Section 412 of the Code.

Policies: shall have the meaning given to such term in Section 7.1.2 hereof.

Post Closing Agreement: means that certain Post Closing Agreement, among Borrower and Lender dated as of the Closing Date.

Prepayment Premium: means, on any date of determination, the positive difference, if any, of \$1,540,000.00 less the aggregate amount of all regularly-scheduled interest payments made at any time on or prior to such date of determination under this Agreement (other than (x) interest payments made at the Default Rate and (y) fees, including but not limited to origination fees, extension fees, exit fees, servicing fees and late charges, but expressly including any paid Undrawn Commitment Fees) and received by Lender; provided that if such amount is less than Zero Dollars (\$0.00), such amount will be deemed to be Zero Dollars (\$0.00).

Principal: means, as of any date of determination, the outstanding principal balance of the Loan, which shall equal all advanced and unpaid principal, as determined by Lender pursuant to Section 2.1.2 hereof.

Proceeds: shall have the meaning given to such term in Section 7.2.2 hereof.

Property: means the parcel(s) of real property and Improvements thereon owned by Borrower and encumbered by the Security Instrument; together with all rights pertaining to such real property and Improvements, and all other collateral for the Loan as more particularly described in the Security Instrument and referred to therein as the "Trust Property." The Property is located in Fort Worth, Tarrant County, Texas.

Property Condition Report: means that certain Property Condition Report prepared by Partner Engineering and Science, Inc. on March 22, 2022 as Project No. Partner 22-360759.2.

Protective Advance: means any advance deemed necessary or appropriate in Lender's sole and exclusive discretion to protect or preserve the value of the Property, Lender's lien priority with respect to the Property and to ensure the Property's compliance with Legal Requirements.

Purchase and Sale Agreement: means that certain Agreement of Purchase and Sale (Wyndham Pointe Apartments) dated as of February 24, 2022 by and between Co3 Wyndham 200 LLC, a Texas limited liability company, as Seller, and Tides Equities LLC, a Delaware limited liability company, as Purchaser, with Purchaser's interest in such Agreement of Purchase and Sale (Wyndham Pointe Apartments) having been assigned to and assumed by Borrower pursuant to that certain Assignment and Assumption of Purchase and Sale Agreement dated as of May 10, 2022 and with such Agreement of Purchase and Sale having been further amended by that certain Amendment to Purchase and Sale Agreement dated as of May 31, 2022.

Qualified Carrier: shall have the meaning given to such term in Section 7.1.1 hereof.

Quarter: means any calendar quarter ending on March 31, June 30, September 30 or December 31.

Rating Agencies: means each of S&P, Moody's, Fitch or any other nationally recognized statistical rating agency designated by Lender.

Reference Time: with respect to any setting of the then-current Benchmark shall mean (1) if such Benchmark is Term SOFR, two (2) Business Days prior to the first day of such Interest Period, and (2) if such Benchmark is not Term SOFR, the time determined by Lender in accordance with the terms hereof.

Register: shall have the meaning given to such term in Section 9.3 hereof.

Registration Statement: shall have the meaning given to such term in Section 9.1.3 hereof.

Relevant Governmental Body: shall mean the Board of Governors of the Federal Reserve System or the Federal Reserve Bank of New York, or a committee officially endorsed or convened by the Board of Governors of the Federal Reserve System or the Federal Reserve Bank of New York, or any successor thereto.

Remedial Work: shall have the meaning given to such term in Section 5.8.2 hereof.

REMIC Trust: shall mean any "real estate mortgage investment conduit" within the meaning of Section 860D of the Code that holds any interest in all or any portion of the Loan.

Rent Roll: shall have the meaning given to such term in Section 4.16 hereof.

Replacement Impound: shall mean the annual amount necessary to pay for anticipated capital improvements at the Property, which shall initially equal \$250 per apartment unit at the Property (as the same may be adjusted by Lender from time to time upon thirty (30) days' notice to Borrower in Lender's reasonable discretion based on the then current Approved Capital Budget and/or any property condition report and/or other supplemental due diligence performed by Lender after the Closing Date).

Replacement Reserve: shall have the meaning given to such term in Section 3.3.6 hereof.

Required Minimum Equity: means \$7,486,228.00 of cash equity (and not Loan proceeds) invested by Borrower's constituent owners in the Property, taking into account all cash equity contributed by Borrower on or before the date hereof for closing costs related to closing the Loan.

Required Repairs: shall have the meaning given to such term in Section 3.3.1 hereof.

Required Repairs Reserve: shall have the meaning given to such term in Section 3.3.1 hereof.

Reserves: shall mean the Required Repairs Reserve, Tax and Insurance Reserve, Initial CapEx Reserve, Force Funded Initial CapEx Reserve, Replacement Reserve, Casualty/Condemnation Reserve, Security Deposit Reserve, Interest and Carry Reserve, and any other funded or unfunded reserve established under this Agreement.

Restoration: shall have the meaning given to such term in Section 7.4.1 hereof.

S&P: shall mean Standard & Poor's, a division of The McGraw-Hill Companies, Inc.

Second Extended Maturity Date: shall have the meaning given to such term in Section 2.9.

Second Extension Term: shall have the meaning given to such term in Section 2.9.

Secondary Market Provided Information: shall have the meaning given to such term in Section 9.1.1 hereof.

Secondary Market Transaction: shall have the meaning given to such term in Section 9.1.1 hereof.

Securities: shall have the meaning given to such term in Section 9.1.1 hereof.

Securities Act: shall have the meaning given to such term in Section 9.1.2 hereof.

Securitization: shall have the meaning given to such term in Section 9.1.1 hereof.

Security Deposit Reserve: shall have the meaning given to such term in Section 3.3.8 hereof.

Security Instrument: shall mean that certain Deed of Trust, Assignment of Leases and Rents, Security Agreement and Fixture Filing, made by Borrower to a trustee for the benefit of Lender, dated as of the Closing Date, as the same may be amended, restated or supplemented from time to time.

Servicer: shall mean a servicer selected by Lender to service the Loan, which Servicer may be an Affiliate of the Lender.

Servicing Agreement: shall have the meaning given to such term in Section 10.3 hereof.

Significant Casualty: shall have the meaning given to such term in Section 7.2.2 hereof.

SOFR: shall mean a rate equal to the secured overnight financing rate as published by the SOFR Administrator on the SOFR Administrator's Website.

SOFR Administrator: shall mean the Federal Reserve Bank of New York (or a successor administrator of the secured overnight financing rate).

SOFR Administrator's Website: shall mean the website of the Federal Reserve Bank of New York, currently at <http://www.newyorkfed.org>, or any successor source for the secured overnight financing rate identified as such by the SOFR Administrator from time to time.

Sole Member: means TIDES ON BOCA RATON NORTH PARTNERS, LLC, a Delaware limited liability company.

Special Purpose Entity: shall have the meaning given to such term in Section 5.13 hereof.

Spread: shall mean 4.20%.

State: means the state in which the Property is located.

Stated Maturity Date: shall mean June 9, 2025, as the same may be extended pursuant to Section 2.9 hereof.

Subaccount: shall have the meaning given to such term in Section 3.1 hereof.

Taxes: means all real estate and personal property taxes, assessments, water rates or sewer rents, maintenance charges, impositions, vault charges and license fees, now or hereafter levied or assessed or imposed against all or part of the Property. In no event shall any PACE Loan be considered a Tax for purposes of the Loan Documents.

Tax and Insurance Reserve: shall have the meaning given to such term in Section

3.3.2 hereof.

Term: means the entire term of this Agreement, which shall expire upon the indefeasible repayment in full of the Debt.

Term SOFR: shall mean the Term SOFR Reference Rate for a tenor of one month as of the Reference Time, as such rate is published by the Term SOFR Administrator; provided, however, that if as of 5:00 p.m. (New York City time) as of the Reference Time the Term SOFR Reference Rate for a tenor of one month has not been published by the Term SOFR Administrator and a Benchmark Replacement Date with respect to the Term SOFR Reference Rate has not occurred, then Term SOFR will be the Term SOFR Reference Rate for a tenor of one month as published by the Term SOFR Administrator on the first preceding Business Day for which such Term SOFR Reference Rate for a tenor of one month was published by the Term SOFR Administrator so long as such first preceding Business Day is not more than three (3) Business Days prior to such Reference Time. Notwithstanding the foregoing or anything herein to the contrary, in no event shall Term SOFR be less than the Index Floor.

Term SOFR Administrator: shall mean CME Group Benchmark Administration Limited (CBA), or a successor administrator of the Term SOFR Reference Rate selected by Lender in its discretion.

Term SOFR Reference Rate: shall mean the forward-looking term rate based on SOFR.

Title Policy: means the ALTA mortgagee title insurance policy in the form acceptable to Lender issued with respect to the Property and insuring the Lien of the Security Instrument.

Title Update: means (i) a notice of title continuation showing that since the date of the original Title Policy or prior Title Update, there has been no adverse change in the state of title to the Property not previously approved by Lender (other than a Permitted Encumbrance), together with (ii) an endorsement to the Title Policy in form and substance reasonably satisfactory to Lender and paid for in full by Borrower, insuring that since the date of the original Title Policy or prior Title Update, there has been no change in the state of title (other than a Permitted Encumbrance) or priority of the Lien of the Security Instrument encumbering the Property which shall have the effect of, inter alia, updating the date of the Title Policy to the date of such Title Update, increasing the coverage of the Title Policy to the outstanding principal amount of the Loan as of the date of such Title Update and insuring that the priority of the Lien of the Security Instrument is not subject to any Liens other than Permitted Encumbrances; provided, however, that such endorsement shall not be required if such Title Policy automatically provides such required coverage without the satisfaction of any conditions other than delivery of the title continuation described in the foregoing clause (i).

Toxic Mold: shall have the meaning given to such term in Section 4.21 hereof.

Transfer: shall mean (i) any sale, conveyance, transfer, encumbrance, pledge, hypothecation, lease or assignment, or the entry into any agreement to sell, convey, transfer, encumber, pledge, hypothecate, lease or assign, whether by law or otherwise, of, on, in or affecting

(x) all or part of the Property (including any legal or beneficial direct or indirect interest therein), (y) any direct or indirect interest in Borrower (including any profit interest), or (z) any direct or indirect interest in Sole Member or (ii) any change of Control of Borrower or Sole Member or (iii) entering into or subjecting the Property to a PACE Loan. For purposes hereof, (i) a Transfer of an interest in Borrower or Sole Member shall be deemed to include (A) if Borrower or Sole Member or the controlling shareholder of Borrower or Sole Member is a corporation, the voluntary or involuntary sale, conveyance or transfer of such corporation's stock (or the stock of any corporation directly or indirectly controlling such corporation by operation of law or otherwise) or the creation or issuance of new stock in one or a series of transactions by which an aggregate of more than ten percent (10%) of such corporation's stock shall be vested in a party or parties who are not, as of the Closing Date, stockholders or any change in the control of such corporation and (B) if Borrower, Sole Member or controlling shareholder of Borrower or Sole Member is a limited or general partnership, joint venture or limited liability company, the change, removal, resignation or addition of a general partner, managing partner, limited partner, joint venturer or member or the transfer of the partnership interest of any general partner, managing partner or limited partner or the transfer of the interest of any joint venturer or member and (ii) a change of Control of Borrower or Sole Member shall be deemed to have occurred if there is any change in the identity of any individual or entity or any group of individuals or entities who have the right, by virtue of any partnership agreement, articles of incorporation, by-laws, articles of organization, operating agreement or any other agreement, with or without taking any formative action, to cause Borrower (or Sole Member) to take some action or to prevent, restrict or impede Borrower (or Sole Member) from taking some action which, in either case, Borrower (or Sole Member) could take or could refrain from taking were it not for the rights of such individuals.

UCC: means the Uniform Commercial Code as in effect in the State or, with respect to the Clearing Account Agreement, the state designated therein, as the case may be.

Unadjusted Benchmark Replacement: shall mean the applicable Benchmark Replacement excluding the related Benchmark Replacement Adjustment.

Underwriter Group: shall have the meaning given to such term in Section 9.1.3 hereof.

Underwriters: shall have the meaning given to such term in Section 9.1.3 hereof.

Undrawn Commitment Fee: shall have the meaning given to such term in Section 2.7.5 hereof.

U.S. Person: means any Person that is a "United States person" as defined in Section 7701(a)(30) of the Code.

Vetted Transferee: shall mean a transferee for whom, prior to the Transfer, Lender shall have received evidence (or documentation necessary to determine) that the proposed transferee (1) has never been convicted of a felony, (2) has never been indicted or convicted for a Patriot Act Offense and is not on any Government List, (3) satisfies and is in compliance with all of the covenants and conditions set forth in Section 5.31, (4) has never been the subject of a voluntary or involuntary (to the extent the same has not been discharged) bankruptcy proceeding

and (5) has no material outstanding judgments or litigations or regulatory actions continuing against such proposed transferee or its interests.

Welfare Plan: means an employee welfare benefit plan, as defined in Section 3(1) of ERISA.

Withdrawal Liability: has the meaning given to such term under Part I of Subtitle E of Title IV of ERISA.

1.2 Principles of Construction. Unless otherwise specified, (i) all references to sections and schedules are to those in this Agreement, (ii) the words “hereof,” “herein” and “hereunder” and words of similar import refer to this Agreement as a whole and not to any particular provision, (iii) all definitions are equally applicable to the singular and plural forms of the terms defined, (iv) the word “including” means “including but not limited to,” and (v) accounting terms not specifically defined herein shall be construed in accordance with GAAP.

2. GENERAL LOAN TERMS

2.1 The Loan.

2.1.1 Advance of the Loan. Subject to the terms and conditions of this Agreement, Lender has agreed to make the Loan to Borrower and Borrower shall accept the Loan from Lender in one or more advances as provided herein. The Loan shall mature on the Maturity Date. On the Closing Date, Lender shall make the initial advance of the Loan in the original Principal amount of Nineteen Million Three Hundred Thirty-Three Thousand One Hundred Sixty-Five and No/100 Dollars (\$19,333,165.00) (the “***Closing Date Advance***”) and thereafter Lender shall make one or more advances of the Loan (not to exceed, in the aggregate with the Closing Date Advance, the maximum principal amount of the Loan) in accordance with the terms of this Agreement. Borrower hereby acknowledges receipt of the Closing Date Advance, the proceeds of which are being and shall be used to, among other things, (i) acquire the Property, (ii) fund certain of the Reserves, (iii) establish the initial Imprest Funds and (iv) pay certain transaction costs. The Loan is not a revolving credit facility and therefore, may not be drawn, repaid and redrawn. Any payments of Principal on the Loan shall be applied to permanently reduce the Loan in accordance with this Agreement and, once repaid, no portion of the Loan may be re-borrowed.

2.1.2 Evidence of the Loan.

(1) Lender shall maintain, in accordance with its usual practice, true, correct and complete electronic or written records evidencing the outstanding Debt owed by Borrower to Lender hereunder and under each of the other Loan Documents, including without limitation the amount of principal and interest payable and paid to Lender from time to time under this Agreement.

(2) The entries made in the electronic or written records maintained pursuant to this Section 2.1 shall be prima facie evidence of the existence and amounts of the Debt therein recorded; provided, however, that the failure of Lender to maintain such records or any error therein shall not in any manner affect the obligation of Borrower to repay the correct amount owed pursuant to the Loan, including all disbursements made hereunder and all other obligations

of Borrower hereunder or under any other Loan Document, in accordance with the terms of this Agreement and the other Loan Documents.

(3) Lender will use reasonable efforts to account to Borrower monthly with a written statement of the amount outstanding under the Loan, the balance of the Reserves and any charges and payments made pursuant to this Agreement or any other Loan Document; provided, however, that the failure of Lender to provide such written statement shall not constitute a default or breach by Lender of this Agreement or any other Loan Documents or excuse the strict compliance by Borrower with the terms, covenants and conditions of the Loan Documents. In the absence of manifest error, such accounting rendered by Lender shall be deemed final, binding and conclusive, unless Lender is notified by Borrower in writing to the contrary within thirty (30) calendar days of receipt of each accounting, which notice shall be deemed an objection only to items specifically objected to therein.

2.2 Scheduled Payments; Interest; Computations.

2.2.1 Generally.

(1) From and after the Closing Date, interest on the Principal shall accrue at the Interest Rate and be due and payable as hereinafter provided. On the Closing Date, Borrower shall and hereby promises to pay interest on the Principal from the Closing Date through and including the calendar day before the Initial Payment Date. On the first Payment Date after the Initial Payment Date and each Payment Date thereafter through and including the Stated Maturity Date, Borrower shall pay interest on the Principal which has accrued through the last day of the Interest Period immediately preceding such Payment Date. All accrued and unpaid interest shall be due and payable on the Maturity Date.

2.2.2 Making of Payments. Each payment by Borrower shall be made in funds being immediately available to Lender by 3:00 p.m., New York City time, on the date such payment is due, and deposited to the Lender Account. Whenever any such payment shall be stated to be due on a day that is not a Business Day, such payment shall be made on the first Business Day thereafter. All such payments shall be made irrespective of, and without any deduction, set-off or counterclaim whatsoever and are payable without relief from valuation and appraisal laws and with all costs and charges incurred in the collection or enforcement thereof, including reasonable attorneys' fees and court costs. The payment obligations of Borrower hereunder are absolute and unconditional, without any right of rescission, setoff, counterclaim or defense for any reason against Lender. Payment of the Debt by Borrower, when due and payable pursuant to the terms of this Agreement and the other Loan Documents, is not subject to compromise, adjustment, extension, satisfaction, rescission, set-off, counterclaim, defense, abatement, suspension, deferment, deductible, reduction, termination or modification, whether arising out of transactions concerning the Loan, or otherwise.

2.2.3 Computations. The Principal shall bear interest at the Interest Rate. Whenever, subsequent to the date hereof, the applicable Benchmark is increased or decreased, the Interest Rate, as set forth herein, shall be similarly changed without notice or demand of any kind by an amount equal to the amount of such change in the applicable Benchmark on the day of such change. The monthly interest due on the Principal shall be computed for the actual number of days

elapsed during the month in question on the basis of a year consisting of three hundred sixty (360) days and shall be calculated by determining the average daily principal balance outstanding for each day of the month in question. The daily rate shall be equal to 1/360th multiplied by the Interest Rate. If any statement furnished by Lender for the amount of a monthly payment due exceeded the actual amount that should have been paid because the applicable Benchmark decreased and such decrease was not reflected in the monthly statement, Borrower shall make the payment specified in the monthly statement from Lender and Borrower shall receive a credit for the overpayment, which credit shall be applied towards the next subsequent monthly payment due hereunder. If any statement furnished by Lender for the amount of a monthly payment due was less than the actual amount that should have been paid because the applicable Benchmark increased and such increase was not reflected in the monthly statement, Borrower shall make the payment specified in the monthly statement from Lender and Borrower shall be required to pay any resulting underpayment with the next subsequent monthly payment due hereunder (without penalty or premium).

2.2.4 Default Rate. After the occurrence and during the continuance of an Event of Default, the entire unpaid Debt shall bear interest at the Default Rate (calculated from the date the Event of Default occurred until the earlier of the date upon which the Event of Default is cured or the Debt is paid in full), and shall be payable upon demand from time to time, to the extent permitted by applicable law.

2.2.5 Late Payment Charge. If any Principal (except the payment due on the Stated Maturity Date or earlier acceleration of the Loan), interest or other sum due under any Loan Document is not paid by Borrower on the date on which it is due, Borrower shall pay to Lender upon demand an amount equal to the lesser of five percent (5%) of such unpaid sum or the maximum amount permitted by applicable law (the “**Late Payment Charge**”), in order to defray the expense incurred by Lender in handling and processing such delinquent payment and to compensate Lender for the loss of the use of such delinquent payment. Such amount shall be secured by the Loan Documents.

2.3 Loan Repayment.

2.3.1 Repayment. Borrower shall pay to Lender on the Maturity Date the Principal, all accrued and unpaid interest and all other amounts due hereunder and under the Note, the Security Instrument and the other Loan Documents (including, without limitation, any applicable Prepayment Premium). Borrower shall have no right to prepay all or any portion of the Principal except in accordance with Section 2.3.2, Section 2.3.3, Section 2.8, Section 3.4.5, and Section 5.33. If prior to the Stated Maturity Date the Debt is accelerated by reason of an Event of Default, then Lender shall be entitled to receive, in addition to the Principal and accrued interest and other sums due under the Loan Documents, an amount equal to the Prepayment Premium, if any, the Exit Fee, if any, and the Undrawn Commitment Fees, if any. During the continuance of an Event of Default, all proceeds of repayment, including any payment or recovery on the Property (whether through foreclosure, deed-in-lieu of foreclosure, or otherwise), payments pursuant to Section 2.3.2 or otherwise, shall be applied in such order and in such manner as Lender shall elect in Lender’s absolute discretion.

2.3.2 Mandatory Prepayments. The Loan is subject to mandatory prepayment

in certain instances of Insured Casualty or Condemnation (each a “**Casualty/Condemnation Prepayment**”), in the manner and to the extent set forth in Section 7.4.2 hereof. Except during the continuation of an Event of Default, each Casualty/Condemnation Prepayment, after deducting Lender’s actual out of pocket costs and expenses (including attorneys’ fees and expenses) in connection with the settlement or collection of the Proceeds or Award, shall be applied by Lender in the following order of priority: *First*, accrued and unpaid interest at the Interest Rate; *Second*, to Principal; and *Third*, to the Exit Fee, the Prepayment Premium and any other amounts then due and owing under the Loan Documents (including, without limitation, any Undrawn Commitment Fees); provided that if no Event of Default is continuing, any such mandatory prepayment under this Section 2.3.2 shall be without the payment of the Prepayment Premium. Notwithstanding anything to the contrary contained herein, each Casualty/Condemnation Prepayment shall be applied in inverse order of maturity and shall not extend or postpone the due dates of the monthly installments due under the Note or this Agreement, or change the amounts of such installments.

2.3.3 Optional Prepayments. Provided no Event of Default has occurred and is continuing, Borrower shall have the right to prepay the Principal in full (but not in part, except as expressly provided in Section 2.3.3, Section 2.8, Section 3.4.5 and Section 5.33), provided that (I) Borrower gives Lender at least thirty (30) days prior written notice thereof (which notice shall be revocable in writing until two (2) Business Days prior to such specified prepayment date so long as Borrower promptly reimburses Lender for any out-of-pocket costs and expenses actually incurred in connection with such prepayment notice and revocation) and (II) such prepayment is accompanied by all other amounts due hereunder or under any other Loan Documents, including, without limitation, (a) the Prepayment Premium applicable thereto, if any, (b) the Exit Fee, if any, and (c) any accrued and unpaid Undrawn Commitment Fees. Except as expressly set forth herein, no partial prepayments of Principal are permitted.

2.3.4 Breakage Indemnity. Borrower shall indemnify Lender against any loss or expense which Lender may sustain or incur in liquidating or redeploying deposits from third parties acquired to effect or maintain the Loan or any part thereof as a consequence of (i) any payment or prepayment of the Loan or any portion thereof made on a date other than a Payment Date, (ii) any payment or prepayment of the Loan or any portion thereof made on a date that is a Payment Date if Borrower did not give the prior written notice of such prepayment required pursuant to the terms of this Agreement, (iii) Borrower’s revocation of any notice of prepayment, (iv) any default in payment or prepayment of the Principal or any part thereof or interest accrued thereon, as and when due and payable (at the date thereof or otherwise, and whether by acceleration or otherwise), (v) Lender’s determination in accordance with Section 2.8(2) hereof that the Loan shall bear interest at the Alternate Rate or Lender’s determination in accordance with Section 2.10 hereof to replace the Benchmark with the applicable Benchmark Replacement and/or (vi) with respect to any advance of the principal amount of the Loan requested to be made pursuant to the terms hereof, if such advance is not made on the date specified by Borrower in its request for such advance due to a failure of Borrower to satisfy, or cause to be satisfied, any one or more of the conditions to such advance. Lender shall deliver to Borrower a statement for any such sums which it is entitled to receive pursuant to this Section 2.3.4, which statement shall be binding and conclusive absent manifest error. Borrower’s obligations under this Section 2.3.4 are in addition to Borrower’s obligations to pay any Prepayment Premium applicable to a payment or prepayment of Principal and shall survive the payment of the Debt.

2.4 Release of Property. Lender shall, upon the written request and at the expense of Borrower, upon the indefeasible payment in full of the Debt in accordance herewith, release or, if requested by Borrower, assign to Borrower's designee (without any representation or warranty by and without any recourse against Lender whatsoever) the Lien of the Loan Documents if not theretofore released.

2.5 Taxes.

(1) Subject to Section 2.5(6), any and all payments by or on account of any obligations of Borrower to Lender under this Agreement or any other Loan Document shall be made free and clear of, and without deduction or withholding for, any and all present or future taxes, levies, imposts, deductions, charges or withholdings, and all liabilities with respect thereto (including penalties, interest and additions to tax), imposed by any Governmental Authority, excluding, in the case of Lender, (i) such taxes (including income taxes or franchise taxes) as are imposed on or measured by the net income, overall receipts or total capital of Lender by the jurisdiction in which Lender is organized or maintains a lending office or any political subdivision thereof, and (ii) any branch profits taxes imposed by the United States of America (all such non-excluded taxes, levies, imposts, deductions, charges, withholdings and liabilities being referred to specifically for purposes of this Section 2.5 as "**Covered Taxes**").

(2) In addition, Borrower shall pay to the relevant Governmental Authority any present or future stamp or documentary, intangible, recording, filing or similar taxes or any other excise, transfer, or property taxes, charges or similar levies which arise from any payment made hereunder or from the execution, delivery, performance, enforcement or registration of, from the receipt or perfection of a security interest under, or otherwise with respect to, this Agreement or any other Loan Document (hereinafter referred to as "**Other Taxes**").

(3) Subject to Section 2.5(6), Borrower shall indemnify and hold harmless Lender for the full amount of any and all Covered Taxes or Other Taxes (including any Covered Taxes or Other Taxes imposed by any jurisdiction on amounts payable under this Section 2.5) paid or payable by Lenders and any liability (other than any penalties, interest, additions, and expenses that accrue both (i) after the 180th day after the receipt by Lenders of written notice of the assertion of such Covered Taxes or Other Taxes and (ii) before the date that Lender provides Borrower with a certificate relating thereto pursuant to Section 2.5(9)) arising therefrom or with respect thereto, whether or not such Covered Taxes or Other Taxes were correctly or legally asserted by the relevant Governmental Authority. Payments under this indemnification shall be made within ten (10) days from the date Lender makes written demand therefor.

(4) If Borrower shall be required by applicable law to deduct or withhold any Covered Taxes or Other Taxes from or in respect of any sum payable hereunder to Lenders, then, subject to Section 2.5(6):

(a) the sum payable shall be increased to the extent necessary so that after making all required deductions (including deductions applicable to additional sums payable under this Section 2.5), Lender receives an amount equal to the sum it would have received had no such deductions been made;

(b) Borrower shall make such deductions; and

(c) Borrower shall pay the full amount deducted to the relevant Governmental Authority in accordance with applicable law.

(5) Within ten (10) days after the date of any payment by Borrower of Covered Taxes or Other Taxes to a Governmental Authority, Borrower shall furnish to Lender the original or a certified copy of a receipt evidencing payment thereof, or other evidence of payment reasonably satisfactory to Lender.

(6) Borrower will not be required to pay any additional amounts in respect of United States Federal income tax pursuant to Section 2.5(4) to Lender or to indemnify Lender pursuant to Section 2.5(3) to the extent that the obligation to withhold amounts with respect to United States Federal income tax existed on the date Lender became a party to this Agreement or, with respect to payments to a lending office newly designated by such Lender (a “**New Lending Office**”), the date such Lender designated such New Lending Office with respect to the applicable Loan; provided, however, that this clause shall not apply to the extent the additional amounts Lender (or any assignee therefrom) through a New Lending Office, would be entitled to receive (without regard to this clause) do not exceed the additional amounts that the Person making the transfer, or Lender (or such assignee) making the designation of such New Lending Office, would have been entitled to receive in the absence of such transfer or designation.

(7) If Borrower is required to pay additional amounts to or for the account of Lender pursuant to this Section 2.5, then Lender shall use its reasonable efforts (consistent with legal and regulatory restrictions) to file any certificate or document reasonably requested by Borrower or to designate a lending office from a different jurisdiction (if such a lending office exists) so as to eliminate or reduce any such additional payments by Borrower which may accrue in the future if such filing or changes, in the reasonable judgment of Lender, would not require Lender to disclose information Lender deems confidential and is not otherwise disadvantageous to Lender.

(8) If Lender, in its reasonable judgment, receives a refund of any Covered Taxes or Other Taxes as to which it has been indemnified by Borrower or with respect to which Borrower has paid additional amounts pursuant to this Section 2.5 it shall promptly pay to Borrower an amount equal to such refund (but only to the extent of indemnity payments made, or additional amounts paid, by Borrower under this Section 2.5 with respect to the Covered Taxes or Other Taxes giving rise to such refund) and any interest paid by the relevant Governmental Authority with respect to such refund, provided, that Borrower, upon the request of Lender, shall repay the amount paid over to Borrower (plus any penalties, interest or other charges imposed by the relevant Governmental Authority) to Lender in the event Lender is required to repay the applicable refund to such Governmental Authority.

(9) Lender, if claiming reimbursement or compensation pursuant to this Section 2.5, shall deliver to Borrower a certificate setting forth in reasonable detail the amount payable to Lender hereunder and such certificate shall be conclusive and binding on Borrower in the absence of manifest error.

Failure or delay on the part of Lender to demand compensation pursuant to this Section 2.5 shall not constitute a waiver of Lender's right to demand such compensation. The agreements and obligations of Borrower in this Section 2.5 shall survive the payment of all other obligations under the Loan Documents.

2.6 Interest Rate Protection Agreements.

2.6.1 Interest Rate Protection Agreement. As of the Closing Date (except with respect to the Interest Rate Cap Opinion, which shall be delivered pursuant to the Post Closing Agreement), Borrower has entered into, made all payments required under, and satisfied all conditions precedent to the effectiveness of, an interest rate protection agreement that satisfies all of the following conditions (such interest rate protection agreement together with (i) any extension thereof or (ii) any other interest rate protection agreement entered into pursuant to Section 2.9 hereof, being referred to herein as the "***Interest Rate Protection Agreement***"):

(1) the Interest Rate Protection Agreement is with a bank or other financial institution which has (or has a guarantor reasonably acceptable to Lender with) (a) a long-term unsecured debt rating of "A" or higher by S&P and (b) a long-term unsecured debt rating of not less than "A2" by Moody's (an "***Acceptable Counterparty***"); has a term ending no earlier than the then-applicable Stated Maturity Date; is an interest rate cap in respect of a notional amount not less than the maximum principal amount of the Loan that shall have the effect of capping the Benchmark at three and one-half percent (3.50%) per annum; and provides that the only obligation of Borrower thereunder is the making of a single payment upon the execution and delivery thereof. Notwithstanding the foregoing, subject to the below Section 2.6.1(5), Borrower shall be permitted to obtain an Interest Rate Protection Agreement on or about the Closing Date that has a term ending no earlier than the Payment Date occurring in June, 2024.

(2) Borrower's interest in such Interest Rate Protection Agreement has been assigned to Lender pursuant to documentation reasonably satisfactory to Lender in form and substance, and the counterparty to such Interest Rate Protection Agreement has executed and delivered to Lender an acknowledgment of such assignment, which acknowledgment includes such counterparty's agreement to pay directly into the Clearing Account all sums payable by such counterparty pursuant to the Interest Rate Protection Agreement and shall otherwise be reasonably satisfactory to Lender in form and substance.

(3) In connection with an Interest Rate Protection Agreement, Borrower shall obtain and deliver to Lender an opinion of counsel from counsel (in-house or independent) for the issuer of the Interest Rate Protection Agreement (upon which Lender and its successors and assigns may rely) (the "***Interest Rate Cap Opinion***") which shall provide in relevant part, that: (a) the issuer is duly organized, validly existing, and in good standing under the laws of its jurisdiction of incorporation and has the organizational power and authority to execute and deliver, and to perform its obligations under, the Interest Rate Protection Agreement; (b) the execution and delivery of the Interest Rate Protection Agreement by the issuer, and any other agreement which the issuer has executed and delivered pursuant thereto, and the performance of its obligations thereunder have been and remain duly authorized by all necessary action and do not contravene any provision of its certificate of incorporation or by-laws (or equivalent organizational documents) or any law, regulation or contractual restriction binding on or affecting it or its

property; (c) all consents, authorizations and approvals required for the execution and delivery by the issuer of the Interest Rate Protection Agreement, and any other agreement which the issuer has executed and delivered pursuant thereto, and the performance of its obligations thereunder have been obtained and remain in full force and effect, all conditions thereof have been duly complied with, and no other action by, and no notice to or filing with any governmental authority or regulatory body is required for such execution, delivery or performance; and (d) the Interest Rate Protection Agreement, and any other agreement which the issuer has executed and delivered pursuant thereto, has been duly executed and delivered by the issuer and constitutes the legal, valid and binding obligation of the issuer, enforceable against the issuer in accordance with its terms, subject to applicable bankruptcy, insolvency and similar laws affecting creditors' rights generally, and subject, as to enforceability, to general principles of equity (regardless of whether enforcement is sought in a proceeding in equity or at law).

(4) In the event of any downgrade, withdrawal or qualification of the rating of the issuer of the Interest Rate Protection Agreement such that it ceases to have (a) a long-term unsecured debt rating of "A-" or higher by S&P and (b) a long-term unsecured debt rating of not less than "A3" by Moody's, Borrower shall, not later than thirty (30) days following receipt of notice from Lender or the Servicer of such downgrade, withdrawal or qualification, either (i) replace (or cause the cap provider to replace) the Interest Rate Protection Agreement with a replacement Interest Rate Protection Agreement from an Acceptable Counterparty (with terms substantially identical to the Interest Rate Protection Agreement being replaced, or otherwise approved by Lender in its reasonable discretion and the Rating Agencies) or (ii) if a guaranty was delivered in connection with the Interest Rate Protection Agreement from an Acceptable Counterparty at closing, cause the issuer to provide a replacement guaranty of its obligations under the Interest Rate Protection Agreement from another Acceptable Counterparty.

(5) Borrower covenants and agrees to have in place at least forty-five (45) days prior to the Payment Date occurring in June, 2024 another Interest Rate Protection Agreement (or an extension of the initial Interest Rate Protection Agreement) complying with all requirements of Section 2.6.1 hereof and having a term ending not earlier than the Stated Maturity Date.

2.6.2 Execution of Documents. Borrower shall promptly execute and deliver to the counterparty of the Interest Rate Protection Agreement such confirmations and agreements as may be reasonably requested by such counterparty in connection with such Interest Rate Protection Agreement.

2.6.3 No Obligation of Lender. Borrower agrees that Lender shall not have any obligation, duty or responsibility to Borrower or any other Person by reason of, or in connection with, any Interest Rate Protection Agreement (including any duty to provide or arrange any Interest Rate Protection Agreement, to consent to any mortgage or pledge of the Property or any portion thereof as security for Borrower's performance of its obligations under any Interest Rate Protection Agreement, or to provide any credit or financial support for the obligations of Borrower or any other Person thereunder or with respect thereto). No Interest Rate Protection Agreement shall alter, impair, restrict, limit or modify in any respect the obligation of Borrower to pay interest on the Loan as and when the same becomes due and payable in accordance with the provisions of the Loan Documents.

2.6.4 Receipts from Interest Rate Protection Agreements. All payments made by the counterparty to the Interest Rate Protection Agreement shall be deposited into the Clearing Account and applied in the same manner as Gross Revenues are applied under Section 3.4.

2.7 Fees; Prepayment Premium.

2.7.1 Origination Fee. On the Closing Date, Borrower shall pay to Lender an origination fee of \$211,981.04, which fee shall be fully earned and non-refundable on the Closing Date and shall be paid to Lender directly from the Closing Date Advance.

2.7.2 Exit Fee. Upon the earlier to occur of (i) the Stated Maturity Date, or (ii) the prepayment in full of the Loan (the earlier of the foregoing, the “**Exit Fee Date**”), Borrower shall pay an exit fee to Lender (the “**Exit Fee**”) in an amount equal to: (w) if the Exit Fee Date occurs prior to the monthly Payment Date occurring in November, 2023, \$0.00; (x) if the Exit Fee Date occurs on or after the monthly Payment Date occurring in November, 2023 and prior to the monthly Payment Date occurring in May, 2024, \$52,995.26; (y) if the Exit Fee Date occurs on or after the monthly Payment Date occurring in May, 2024 and prior to the monthly Payment Date occurring in November, 2024, \$105,990.52; and (z) if the Exit Fee Date occurs on or after the monthly Payment Date occurring in November, 2024, \$211,981.04. The Exit Fee shall be deemed to be fully earned by Lender on the monthly Payment Date occurring in November, 2023 if the Loan has not been repaid in full prior to such date.

2.7.3 Prepayment Premium.

(1) **Permitted Prepayments.** Borrower may elect to prepay the Loan in full as set forth in Section 2.3.3; provided, that contemporaneously with such prepayment Borrower shall pay to Lender the Prepayment Premium, if any.

(2) **Acceleration.** If the Loan is accelerated for any reason, other than Casualty or Condemnation at a time that no Event of Default is continuing, Borrower shall pay to Lender, in addition to all other amounts outstanding under the Loan Documents, the Prepayment Premium that would be payable on the date of acceleration calculated as if Borrower had elected to make a voluntary prepayment of the Loan pursuant to Section 2.3.3.

(3) **Acknowledgment of Borrower.** Borrower acknowledges that (a) Lender is making the Loan in consideration of the receipt by Lender of all interest and other benefits intended to be conferred by the Loan Documents and (b) if payments of Principal are made to Lender on or prior to the Stated Maturity Date, for any reason whatsoever, whether voluntary, as a result of Lender’s acceleration of the Loan after an Event of Default, by operation of law or otherwise, Lender will not receive all such interest and other benefits and may, in addition, incur costs. For these reasons, and to induce Lender to make the Loan, Borrower agrees that, except for prepayments provided in Section 2.3.2 hereof, Section 2.8 hereof, Section 3.4.5 hereof, Section 5.33 hereof and Article 7 hereof, all repayments and prepayments, if any, whether voluntary or involuntary, will be accompanied by the Prepayment Premium applicable thereto; *provided, however*, that the foregoing shall not be deemed to imply that the Loan may be voluntarily prepaid in any manner or under any circumstance other than as expressly set forth in this Agreement. Such Prepayment Premium shall be required whether payment is made by

Borrower, by a Person on behalf of Borrower, or by the purchaser at any foreclosure sale, and may be included in any bid by Lender at such sale. Borrower further acknowledges that (A) it is a knowledgeable real estate developer and/or investor; (B) it fully understands the effect of the provisions of this Section 2.7.3, as well as the other provisions of the Loan Documents; (C) the making of the Loan by Lender at the Interest Rate and other terms set forth in the Loan Documents are sufficient consideration for Borrower's obligation to pay a Prepayment Premium (if required); and (D) Lender would not make the Loan on the terms set forth herein without the inclusion of such provisions. Borrower also acknowledges that the provisions of this Agreement limiting the right of prepayment and providing for the payment of the Prepayment Premium and other charges specified herein were independently negotiated and bargained for, and constitute a specific material part of the consideration given by Borrower to Lender for the making of the Loan except as expressly permitted hereunder. Furthermore, Borrower hereby acknowledges that the Prepayment Premium constitutes liquidated damages to compensate Lender for reinvestment costs, lost opportunity costs, and the loss by Lender of its bargained-for investment in the Loan. Borrower agrees that such liquidated damages are not a penalty but are a reasonable estimate in good faith of the actual damages sustained by the holder hereof as a result of such prepayment, which actual damages are impossible to ascertain with precision.

2.7.4 Intentionally Omitted.

2.7.5 Undrawn Commitment Fee. In addition to the payments of principal and interest set forth above, on each applicable Payment Date, to the extent applicable pursuant to Section 3.3.3 hereof, Borrower shall pay to Lender the Initial CapEx Reserve Undrawn Commitment Fee (the "***Undrawn Commitment Fee***"). To the extent applicable pursuant to the preceding sentence, the Initial CapEx Reserve Undrawn Commitment Fee shall accrue on a daily basis and shall be payable in arrears on each applicable Payment Date on the basis of a 360-day year and the actual number of days in the applicable Interest Period.

2.7.6 Additional Interest. All fees payable by Borrower hereunder, including but not limited to the Origination Fee, any Exit Fee, any Undrawn Commitment Fees and any Prepayment Premium, to the extent applicable, shall be deemed additional interest payable hereunder. Notwithstanding the foregoing, any payments made by Borrower to reimburse Lender for any costs or expenses incurred by such parties and payable by Borrower pursuant to the terms of this Agreement shall not be deemed additional interest hereunder.

2.8 Increased Costs; Capital Adequacy.

(1) If any Change in Law shall:

(a) impose, modify or deem applicable any reserve, special deposit or similar requirement against assets of, deposits with or for the account of, or credit extended by, Lender (except any such reserve requirement reflected in the Interest Rate);

(b) subject Lender to any taxes (other than Covered Taxes, Other Taxes or taxes excluded under Section 2.5(1)) on its loans, loan principal or other obligations, or its deposits, reserves, other liabilities or capital attributable thereto;

(c) impose on Lender any other condition affecting this

Agreement or the Loan;

(d) make it unlawful for Lender to make or maintain the indebtedness evidenced by the Loan on the basis of the then-current Benchmark; or

(e) impose new or modify existing capital requirements;

and such Change in Law increases the cost to Lender (or its holding company) of making or maintaining the Loan (or of maintaining its obligation to make the Loan) or reduces the amount of any sum received or receivable by Lender (or its holding company) under this Agreement (whether of principal, interest or otherwise), then, from time to time upon each such Change in Law, Borrower shall pay to Lender such additional amount or amounts as will compensate Lender for such additional costs incurred or reduction suffered.

(2) If at the time of or prior to any determination of the Interest Rate Lender determines (which determination shall be conclusive in the absence of manifest error) that (i) the Interest Rate does not adequately or fairly reflect the cost to Lender of making or maintaining the Loan due to changes in administrative costs, fees, tariffs or taxes or other matters outside of Lender's reasonable control, (ii) adequate and fair means do not or will not exist for determining the Interest Rate or (iii) there has been a Change in Law that makes it unlawful for the Loan to accrue interest based on the applicable Benchmark, then Lender shall promptly notify Borrower, and the Loan shall bear interest, and continue to bear interest until Lender determines that the applicable circumstance described in the foregoing clauses (i), (ii) or (iii) no longer pertains, at the Alternate Rate (and references herein to the Interest Rate shall instead refer to the Alternate Rate). If Lender determines in accordance with this Section 2.8(2) that the Loan shall bear interest at the Alternate Rate, Borrower shall promptly obtain (but in all events within thirty (30) days of written notice from Lender) an index rate derivative product comparable to the Interest Rate Protection Agreement delivered on or about the Closing Date (or shall cause such Interest Rate Protection Agreement to be modified into such a comparable index rate derivative product in a manner reasonably acceptable to Lender) which product shall cap exposure to fluctuations in such Alternate Rate Index and otherwise satisfies the requirements of Section 2.6 hereof (and such substitute index rate derivative product shall thereafter be deemed to be an Interest Rate Protection Agreement for purposes of the Loan Documents). In connection with any determination by Lender that the Loan shall bear interest at the Alternate Rate (and/or the implementation thereof), Lender shall have the right, but not any obligation, to make any Alternate Rate Conversion Conforming Changes from time to time as Lender determines, in its sole but good faith discretion, are necessary in connection with such conversion and/or the implementation thereof, and notwithstanding anything to the contrary contained herein or in any other Loan Documents, any amendments implementing such Alternate Rate Conversion Conforming Changes will become effective upon written notice from Lender to Borrower and without any further action or consent of Borrower.

(3) If Lender determines (in a manner generally consistent with Lender's determinations in similar contexts for similar loans) that any Change in Law regarding capital requirements has or would have the effect of reducing the rate of return on Lender's capital or on the capital of Lender's holding company, if any, as a consequence of this Agreement or the Loan made by Lender to a level below that which Lender or its holding company, as applicable, could have achieved but for such Change in Law (taking into consideration Lender's policies and

the policies of Lender's holding company, as applicable, with respect to capital adequacy), then from time to time Borrower shall pay to Lender such additional amount or amounts as will compensate Lender's holding company, as applicable, for any such reduction suffered.

(4) A certificate from Lender setting forth the amount or amounts necessary to compensate Lender or its holding company, under Sections 2.8(1), 2.8(2) or 2.8(3), shall be delivered to Borrower and shall be conclusive absent manifest error. Borrower shall pay Lender the amount shown as due on any such certificate within ten (10) days after receipt of such certificate (the date of such payment being the "***Increased Cost Payment Date***").

(5) Failure or delay on the part of Lender to demand compensation pursuant to this Section 2.8 shall not waive Lender's right to demand such compensation; provided that Borrower shall not be required to compensate Lender under this Section 2.8 for any increased costs or reductions incurred more than one hundred eighty (180) days prior to the date Lender notifies Borrower of the Change in Law giving rise to such increased costs or reductions and of Lender's intention to claim compensation for such increased costs or reduction; provided further, if the Change in Law giving rise to such increased costs or reductions is retroactive, then such 180 day period will be extended to include the period of such retroactive effect.

(6) Notwithstanding anything to the contrary in this Agreement, the Dodd-Frank Wall Street Reform and Consumer Protection Act and all requests, rules, guidelines or directives thereunder or issued in connection therewith shall be deemed to be a Change in Law and/or a change in capital adequacy requirements, as applicable, regardless of the date enacted, adopted or issued.

(7) Notwithstanding anything to the contrary in this Agreement, if any Change in Law affects Lender and results in Borrower having to pay additional amounts to Lender to compensate Lender for such additional costs incurred or reduction suffered, Borrower shall have the right to prepay the Loan in full, following payment to Lender of amounts due under this Section 2.8, together with any accrued Undrawn Commitment Fees and any Exit Fee, but without the obligation to pay a Prepayment Premium so long as no Event of Default is continuing. The election to prepay the Loan in full pursuant to this Section 2.8(7) shall be made in writing by Borrower not more than thirty (30) days after the Increased Cost Payment Date and such prepayment in full shall have been made within ninety (90) days of the Increased Cost Payment Date.

2.9 Extension Options. Borrower shall have the right, at its option, (i) to extend the Term and the Stated Maturity Date until June 9, 2026 (the "***First Extended Maturity Date***") (and the period of time from and after the originally scheduled Stated Maturity Date up to and including the First Extended Maturity Date is hereinafter referred to as the "***First Extension Term***") and (ii) if the Term and the Stated Maturity Date is duly extended to the First Extended Maturity Date, to further extend the Term and the Stated Maturity Date until June 9, 2027 (the "***Second Extended Maturity Date***") (and the period of time from and after the First Extended Maturity Date up to and including the Second Extended Maturity Date is hereinafter referred to as the "***Second Extension Term***"), in each case, by giving notice of such extension to Lender at least thirty (30) days prior to (but not more than ninety (90) days prior to) the then-applicable Stated Maturity Date. Upon receipt of such request to extend the Term until the First Extended Maturity Date or the Second Extended Maturity Date, as applicable, Lender will notify Borrower in writing of its approval of

such extension only following Borrower's satisfaction of the following conditions, as determined by Lender (collectively, the "***Extension Conditions***"):

(1) no monetary or material non-monetary Default and no Event of Default exists at the time such request is made and on the originally scheduled Stated Maturity Date or the First Extended Maturity Date, as applicable;

(2) Borrower delivers to Lender an Officer's Certificate confirming the accuracy of the statement contained in clause (1) above;

(3) on or prior to the originally scheduled Stated Maturity Date or the First Extended Maturity Date, as applicable, Borrower either (i) extends the term of the Interest Rate Protection Agreement to a date not earlier than the First Extended Maturity Date or the Second Extended Maturity Date, as applicable, or (ii) enters into a new interest rate protection agreement which expires no earlier than the First Extended Maturity Date or the Second Extended Maturity Date, as applicable, and which extension or new agreement is in respect of a notional amount of the maximum Principal amount and is otherwise on the same terms set forth in Section 2.6.1 hereof;

(4) on the originally scheduled Stated Maturity Date (in connection with extension to the First Extended Maturity Date) the Loan to Value Ratio of the Property is no more than 72%; provided that Lender shall have the option, in its sole and absolute discretion, to require an Acceptable Appraisal updated as of such date that is not more than sixty (60) days prior to the originally scheduled Stated Maturity Date, at Borrower's sole cost and expense, for the purpose of calculating the Loan to Value Ratio;

(5) on the First Extended Maturity Date (in connection with extension to the Second Extended Maturity Date) the Loan to Value Ratio of the Property is no more than 68%; provided that Lender shall have the option, in its sole and absolute discretion, to require an Acceptable Appraisal updated as of such date that is not more than sixty (60) days prior to the First Extended Maturity Date, at Borrower's sole cost and expense, for the purpose of calculating the Loan to Value Ratio;

(6) on the originally scheduled Stated Maturity Date (in connection with extension to First Extended Maturity Date), the Debt Service Coverage Ratio (Extension Test) is at least 1.25:1.00 and the Debt Yield is at least 7.90%;

(7) on the First Extended Maturity Date (in connection with extension to Second Extended Maturity Date), the Debt Service Coverage Ratio (Extension Test) is at least 1.35:1.00 and the Debt Yield is at least 8.00%;

(8) Borrower pays to Lender concurrently with the request to so extend the Term until the First Extended Maturity Date, an extension fee in an amount equal to 0.25% of the maximum Principal amount of the Loan and Borrower pays to Lender concurrently with the request to so extend the Term until the Second Extended Maturity Date, an extension fee in an amount equal to 0.25% of the maximum Principal amount of the Loan;

(9) Lender shall be satisfied that there are sufficient amounts available

in the Reserves to satisfy the requirements hereunder with respect to the First Extension Term or the Second Extension Term, as applicable;

(10) Lender shall be satisfied, in its reasonable discretion, that no event has occurred that would be reasonably likely to have a material adverse effect on (i) the financial condition of Borrower or Guarantor, or (ii) the condition of the Property; and

(11) Borrower shall pay all actual out-of-pocket costs and expenses incurred by Lender in connection with Lender's determination of Borrower's satisfaction of the Extension Conditions.

If Borrower is unable to satisfy all of the foregoing conditions within the applicable time frames for each, Lender shall have no obligation to extend the Stated Maturity Date hereunder.

2.10 Benchmark Replacement Setting.

2.10.1 Benchmark Replacement. Notwithstanding anything to the contrary herein or in any other Loan Document (and any Interest Rate Protection Agreement shall be deemed not to be a "Loan Document" for purposes of this Section 2.10), if a Benchmark Transition Event and its related Benchmark Replacement Date have occurred prior to the Reference Time in respect of any setting of the then-current Benchmark, then, in connection with a Benchmark Transition Event, such Benchmark Replacement will replace such Benchmark for all purposes hereunder and under any Loan Document in respect of such Benchmark setting and subsequent Benchmark settings without any amendment to, or further action or consent of any other party to this Agreement or any other Loan Document.

2.10.2 Benchmark Conforming Changes. In connection with respect to either the use or administration of Term SOFR or the use, administration, adoption or implementation of any Benchmark Replacement, Lender will have the right to make Benchmark Conforming Changes from time to time and, notwithstanding anything to the contrary herein or in any other Loan Document, any amendments implementing such Benchmark Conforming Changes will become effective without any further action or consent of Borrower or any other Borrower Party.

2.10.3 Notices; Standards for Decisions and Determinations. Lender will promptly notify Borrower of (i) any occurrence of a Benchmark Transition Event and its related Benchmark Replacement Date hereunder, (ii) the implementation of any Benchmark Replacement hereunder and (iii) the effectiveness of any Benchmark Conforming Changes. Any determination, decision or election that may be made by Lender pursuant to this Section 2.10, including any determination with respect to a tenor, rate or adjustment or of the occurrence or non-occurrence of an event, circumstance or date and any decision to take or refrain from taking any action or any selection, will be conclusive and binding absent manifest error and may be made in its sole discretion and without consent from Borrower or any other Borrower Party, except, in each case, as expressly required under this Section 2.10 (or the applicable defined terms used herein).

2.10.4 Replacement of Interest Rate Protection Agreement. In connection with the implementation of a Benchmark Replacement with this Section 2.10, Borrower shall promptly obtain (but in all events within thirty (30) days of written notice from Lender) an index rate derivative product comparable to the most recently delivered Interest Rate Protection Agreement

(or shall cause such Interest Rate Protection Agreement to be modified into such a comparable index rate derivative product in a manner reasonably acceptable to Lender) which product shall cap exposure to fluctuations in such Benchmark Replacement at two and one-half percent (2.5%) per annum and otherwise satisfies the requirements of Section 2.6 hereof (and such substitute index rate derivative product shall thereafter be deemed to be an Interest Rate Protection Agreement for purposes of the Loan Documents).

3. CASH MANAGEMENT AND RESERVES

3.1 Grant of Security Interest; Application of Funds.

3.1.1 Borrower has granted to Lender, within the security agreement provisions of the Security Instrument, and hereby grants to Lender, a first lien and security interest in the Clearing Account, the Operating Account and the Lender Account (including all Subaccounts and Reserves) (collectively, the “*Cash Management Accounts*”), together with the funds therein, any interest earned thereon and proceeds thereof, and Borrower hereby pledges the Cash Management Accounts (and the funds therein, any interest earned thereon and proceeds thereof) as collateral security for the payment of all Debt and the performance of all obligations. Borrower shall not, without obtaining the prior written consent of Lender, further pledge, assign or grant any security interest in the Cash Management Accounts or the monies deposited therein or permit any Lien to attach thereto, or any levy to be made thereon, or any UCC financing statements, except those naming Lender as the secured party, to be filed with respect thereto. Borrower, Lender and Deposit Bank shall enter into the Clearing Account Agreement on or prior to the Closing Date, which shall provide, in part, that (i) Lender shall have dominion and control over the Clearing Account at all times, (ii) prior to notice from Lender to Deposit Bank directing that all available funds be swept to the Lender Account, all available funds in the Clearing Account shall be swept by the Deposit Bank to Borrower’s Operating Account, and (iii) upon notice from Lender to Deposit Bank directing that all available funds be swept to the Lender Account, all available funds in the Clearing Account shall be swept by the Deposit Bank on a daily basis to the Lender Account or such other account as Lender shall direct in its discretion. During the continuance of a Cash Management Period, Lender shall be so entitled to direct Deposit Bank to sweep all available amounts deposited into the Clearing Account without any further authorization, consent or direction from Borrower or any other Person. Borrower shall not establish any deposit account other than the Operating Account and Clearing Account without the prior written consent of Lender and delivery to Lender of a deposit account control agreement in form and content reasonably satisfactory to Lender. The Lender Account will be under the sole control and dominion of Lender, and Borrower shall have no right of withdrawal therefrom.

This Agreement is, among other things, intended by the parties to be a security agreement for purposes of the UCC. As such, and in connection with the security grant contained in each security instrument, Lender is irrevocably authorized to file UCC financing statements naming the Borrower as debtor, to perfect the Lender’s security interest in the collateral, in all jurisdictions in which Lender believes in its sole discretion that such filing is appropriate. If Lender believes that an “all-asset” collateral description, as contemplated by Section 9-504(2) of the UCC, is appropriate, Lender is irrevocably authorized to use such a collateral description, whether in one or more separate filings or as part of the collateral description in a filing that particularly describes the collateral. Lender is irrevocably authorized to file such continuation statements and other

similar documents as it determines, in its sole opinion, are appropriate to protect and perfect its rights.

3.2 Cash Management Arrangements. Borrower shall cause all Gross Revenues (including Gross Revenues in the nature of sums payable by electronic transfer or credit card) to be deposited directly into the Clearing Account, which at all times shall be subject to Lender's dominion and control as more fully described in the Clearing Account Agreement and this Agreement. Borrower shall deliver such additional documents, including but not limited to letters to any tenants, property managers or payment processors, directing that all payments of Gross Revenues shall be paid into the Clearing Account (and providing that such tenants or other parties shall modify such payment directions only pursuant to instructions from Lender), as Lender shall reasonably require to demonstrate that all Gross Revenues are and shall be paid into the Clearing Account; provided, however, that so long as a Management Agreement is in full force and effect in accordance with the terms hereof, Manager shall be permitted to collect Gross Revenues directly from tenants under Leases so long as such Gross Revenues are cleared by Manager directly into the Clearing Account. Without in any way limiting the foregoing, all Gross Revenues received by Borrower or Manager shall be deposited into the Clearing Account within two (2) Business Days of receipt. The direction to any tenant and each other remitter of Gross Revenues to deposit such Gross Revenues into the Clearing Account shall not be modified except by Lender (or with Lender's prior written consent). Lender will establish subaccounts of the Lender Account (each, a "***Subaccount***") and each funded Reserve shall be held in a separate Subaccount. Borrower shall pay for all expenses of opening and maintaining all of the above accounts. Notwithstanding any contrary provision herein, Lender may, in its discretion, maintain the Lender Account (including any Subaccount thereof) on a ledger-entry basis rather than as a separate and identifiable account, and funds held in the Lender Account (including any Subaccount thereof) shall not constitute trust funds and may be held together with other monies held by Lender.

3.3 Reserves. Advances or disbursements of proceeds from each of the Reserves hereunder shall not be made more than once in any calendar month other than in the sole and absolute discretion of Lender (and thus, to the extent Borrower desires to draw upon multiple Reserves in any calendar month, Borrower shall submit such draw requests concurrently). Any advance or disbursement of proceeds from any Reserve hereunder made prior to or without the fulfillment by Borrower of all of the conditions precedent thereto, whether or not known to Lender, shall not constitute a waiver by Lender of the requirement that all conditions, including the unperformed conditions, shall be required with respect to all future advances or disbursements. Borrower agrees that, by its acceptance of any advance or disbursement of proceeds from any Reserve hereunder, it shall be bound in all respects by any disbursement request submitted on its behalf in connection therewith with the same force and effect as if Borrower had itself executed and submitted such request and whether or not such request is executed and/or submitted by an authorized Person. Borrower agrees that neither the insufficiency of the amount of, nor the unavailability of, the proceeds of any Reserve, is intended to, and shall not, constitute a limitation on the obligation of Borrower to pay any of the amounts which may be due with respect to payment of the costs intended to be covered thereby or which otherwise may be due in connection therewith under this Agreement or any of the other Loan Documents. This Section 3.3 is solely for the benefit of Lender and Borrower and all conditions to the obligations of Lender to make advances or disbursements hereunder are imposed solely and exclusively for the benefit of Lender and may be freely waived or reduced in whole or in part by Lender at any time if in its sole discretion it

deems it advisable to do so, and no Person other than Borrower (provided, however, that all conditions have been satisfied) shall have standing to require Lender to make any such advances or disbursements or to be a beneficiary hereunder or of any such advances or disbursements to be made hereunder. Lender may, in its sole and absolute discretion, accelerate all or any portion of the amounts to be advanced or disbursed under this Section 3.3 without regard to Borrower's satisfaction of the conditions to its entitlement to such advances or disbursements and no Person dealing with Borrower or any other Person shall have standing to demand any different performance from Lender. During the continuance of an Event of Default, Borrower hereby irrevocably authorizes Lender to make disbursements or advances hereunder directly to any third party to pay for the costs contemplated by the applicable Reserve or to satisfy any of the conditions hereof following Borrower's failure to do the same and all such direct advances shall satisfy pro tanto any obligations of Lender to Borrower hereunder regardless of the disposition thereof by such third party or other Person. The aforesaid authorizations shall (i) not prevent Borrower from paying any Person or from satisfying the conditions and obligations hereunder, out of its own funds, (ii) in no event be construed so as to relieve Borrower or others from their obligations to pay such Persons, or to satisfy such conditions and obligations and (iii) in no event obligate Lender to disburse any amounts for any such purposes (it being understood that during the continuance of an Event of Default, Lender shall have the right to apply such amounts in any manner and for any purpose as Lender shall determine in its discretion). Any funds remaining in the Reserves after the Debt has been paid in full shall be promptly returned to Borrower.

3.3.1 Required Repairs. Borrower shall perform and complete each item of the repairs and environmental remedial work at the Property described on Schedule 3.3.1 hereto (the "**Required Repairs**") by September 2, 2022. On the Closing Date, Borrower shall deposit with Lender \$9,562.50 which shall be held by Lender in a funded Reserve (the "**Required Repairs Reserve**") to pay for the costs and expenses of completing the Required Repairs. Provided no Event of Default shall have occurred and is continuing, Lender shall disburse funds held in the Required Repairs Reserve to Borrower in an aggregate amount not to exceed the amount allocated to such Required Repair on Schedule 3.3.1 hereto and in increments of at least \$50,000 (except for the last disbursement thereof which may be of a lesser amount), within ten (10) Business Days after Lender's determination that the conditions to disbursement have been satisfied (but not more often than once per month), so long as Borrower has delivered to Lender a request therefor meeting the requirements of this Section 3.3.1 and Exhibit D hereto, accompanied by the following items (which items shall be in form and substance reasonably satisfactory to Lender): (i) an Officer's Certificate (A) certifying that the Required Repairs or any portion thereof which are the subject of the requested disbursement have been completed in a good and workmanlike manner and in accordance with all applicable Legal Requirements, (B) identifying each Person that supplied materials or labor in connection with such Required Repairs or any portion thereof and (C) stating that each such Person has been or, upon receipt of the requested disbursement, will be paid in full with respect to the portion of the Required Repairs which is the subject of the requested disbursement; (ii) copies of invoices or other evidence reasonably acceptable to Lender of amounts paid or payable with respect to such requested disbursement; (iii) copies of appropriate Lien waivers or other evidence of payment reasonably satisfactory to Lender; (iv) at Lender's option, a title search for the Property indicating that it is free from all Liens not previously approved by Lender; (v) a copy of each License required to be obtained with respect to the portion of the Required Repairs which is the subject of the requested disbursement; and (vi) such other evidence as Lender shall reasonably request that the Required Repairs which are the subject of the requested

disbursement have been completed and paid for. Provided no Event of Default shall have occurred and is continuing, upon Borrower's completion of all Required Repairs in accordance with this Section 3.3.1, Lender shall release any funds remaining in the Required Repairs Reserve, if any, to Borrower. With respect to each disbursement from the Required Repairs Reserve, Borrower shall pay for the fees and out-of-pocket expenses of Lender's Construction Consultant relating to such disbursement.

3.3.2 Taxes and Insurance. Borrower shall pay to Lender (i) \$89,449.48 on the Closing Date on account of Taxes, (ii) \$37,998.35 on the Closing Date on account of Insurance Premiums, and (iii) on each Payment Date, (x) one-twelfth (1/12th) of the Taxes that Lender estimates will be payable during the next twelve (12) months in order to accumulate with Lender sufficient funds to pay all such Taxes at least thirty (30) days prior to their respective due dates and (y) one-twelfth (1/12th) of the Insurance Premiums that Lender estimates will be payable for the renewal of the coverage afforded by the Policies upon the expiration thereof in order to accumulate with Lender sufficient funds to pay all such Insurance Premiums prior to the expiration of the Policies. All such amounts shall be held by Lender for the benefit of Borrower in a funded Reserve (the "**Tax and Insurance Reserve**"). Lender will either (a) apply funds in the Tax and Insurance Reserve to payments of Taxes and Insurance Premiums required to be made by Borrower pursuant to Section 5.2 hereof and Section 7.1 hereof, provided that Borrower has promptly supplied Lender with notices of all Taxes and Insurance Premiums due and has not already paid the same directly, or (b) reimburse Borrower for such amounts upon presentation of evidence of payment; subject, however, to Borrower's right to contest Taxes in accordance with Section 5.2 hereof, or (c) in Lender's sole and absolute discretion, release such funds to Borrower or Manager for payment of such Taxes and Insurance Premiums due. In making any payment relating to Taxes and Insurance Premiums, Lender may do so according to any bill, statement or estimate procured from the appropriate public office (with respect to Taxes) or insurer or agent (with respect to Insurance Premiums), without inquiry into the accuracy of such bill, statement or estimate or into the validity of any tax, assessment, sale, forfeiture, tax lien or title or claim thereof. If Lender determines in its reasonable judgment that the funds in the Tax and Insurance Reserve will be insufficient to pay (or in excess of) the Taxes or Insurance Premiums next coming due, Lender may increase (or decrease) the monthly contribution required to be made by Borrower to the Tax and Insurance Reserve.

3.3.3 Initial CapEx Reserve. A portion of the Loan equal to One Million Eight Hundred Sixty-Four Thousand Nine Hundred Thirty-Nine and No/100 Dollars (\$1,864,939.00) (the "**Initial CapEx Reserve Amount**") shall remain unfunded on the Closing Date in an unfunded Reserve for payment and completion of the Approved Initial CapEx in accordance with this Section 3.3.3 (the "**Initial CapEx Reserve**").

Notwithstanding the foregoing, if less than the entirety of the Initial CapEx Reserve Amount shall have been advanced from the Initial CapEx Reserve by the Payment Date occurring in June, 2024 (the "**Initial CapEx Reserve Force Funding Date**"), then (I) Lender shall have the continuing right to advance to itself the portion of the Initial CapEx Reserve Amount not previously advanced for deposit into a funded Reserve (the "**Force Funded Initial CapEx Reserve**"), which amounts shall be made available as disbursements from such funded Reserve in the same manner (and subject to satisfaction of the same conditions) as advances otherwise would be made available from the Initial CapEx Reserve, and (II) on each Payment Date following the Initial CapEx Reserve

Force Funding Date (each such Payment Date, an “**ICR UCF Payment Date**”), and until the Payment Date following such time, if any, as Lender shall have elected pursuant to the foregoing clause (I) to advance to itself the entire portion of the Initial CapEx Reserve Amount not previously advanced, Borrower shall pay to Lender an undrawn commitment fee (the “**Initial CapEx Reserve Undrawn Commitment Fee**”) in an amount equal to the product of (1) the Interest Rate applicable to the Interest Period that expired on the day prior to such ICR UCF Payment Date, multiplied by (2) the Initial CapEx Reserve Undrawn Fee Amount (as hereinafter defined) applicable to such Interest Period that expired on the day prior to such ICR UCF Payment Date. For purposes of determining the foregoing Initial CapEx Reserve Undrawn Commitment Fee, the “**Initial CapEx Reserve Undrawn Fee Amount**” shall mean, as of each applicable ICR UCF Payment Date, the positive difference, if any, between the Initial CapEx Reserve Amount, less the average daily advanced balance of the Initial CapEx Reserve over the Interest Period that expired on the day prior to such ICR UCF Payment Date.

So long as (x) no monetary or material non-monetary Default, and no Event of Default, has occurred and is continuing, (y) the Loan is In Balance and (z) the Initial CapEx Reserve Conditions Precedent have been and remain satisfied, Lender shall make advances from the Initial CapEx Reserve to Borrower to the extent the requested advance plus the aggregate amount of all such prior advances from the Initial CapEx Reserve does not exceed the Initial CapEx Reserve Amount, within ten (10) Business Days after Lender’s determination that all of the conditions to advance have been satisfied, but not more frequently than once per month in accordance with and subject to the draw procedures set forth in **Exhibit D** hereto in increments of at least \$25,000 (except for the last advance thereof which may be of a lesser amount). Each advance from the Initial CapEx Reserve is also subject to the satisfaction of the following conditions:

(1) (x) to the extent Lender shall have not yet advanced or disbursed \$1,000,000 in the aggregate from the Initial CapEx Reserve for the costs of the Approved Initial CapEx, such advance is for Capital Expenses actually incurred in respect of Approved Initial CapEx and (y) to the extent Lender shall have advanced or disbursed \$1,000,000 or more in the aggregate from the Initial CapEx Reserve for the costs of the Approved Initial CapEx, such advance is for 50% of the Capital Expenses actually incurred in respect of Approved Initial CapEx and Borrower shall have delivered to Lender evidence acceptable to Lender that the remaining 50% of such Capital Expenses constituting the subject Approved Initial CapEx have been paid or are concurrently being paid solely out of Additional Borrower Equity;

(2) such advance is in accordance with the applicable line item of the Initial CapEx Budget and is for work performed in accordance with the Initial CapEx Approved Plans and Specifications in all material respects and such request for advance was received prior to the Completion Date;

(3) Lender shall have (if it desires) verified (by an inspection conducted at Borrower’s expense) performance of the work associated with such Approved Initial CapEx;

(4) the request for advance is accompanied by:

(a) an Officer’s Certificate certifying (i) that such funds will be

used to pay or reimburse Borrower for Approved Initial CapEx and a description thereof, (ii) that all outstanding trade payables (other than those to be paid from the requested advance or those constituting Permitted Indebtedness) have been paid in full, (iii) that the same has not been the subject of a previous advance from any Reserve (or a prior application of Imprest Funds, except in connection with an Imprest Replenishment Advance permitted pursuant to Section 3.3.9 hereof), (iv) that all previous advances of the Initial CapEx Reserve have been used to pay or reimburse the previously identified Approved Initial CapEx, (v) the representations and warranties made by Borrower in this Agreement and in the other Loan Documents are true and correct in all material respects on and as of the date of the making of such advance with the same force and effect as if made on and as of such date, or to the extent of any changes to any such representations and warranties, setting forth such changes (and such changes shall not materially adversely affect the value, operation or use of the Property, or Borrower's ability to repay the Loan), and (vi) all work relating to the work performed on or prior to the date of such certificate has been completed in a good and workmanlike manner in accordance with all Legal Requirements and substantially in accordance with the Initial CapEx Approved Plans and Specifications;

(b) lien releases (which may be partial or conditional, as applicable) executed and delivered by any general contractor, subcontractors, materialmen, vendors, suppliers and any other Persons performing work at the Property or as otherwise reasonably requested by Lender (or other evidence of payment satisfactory to Lender) with respect to all labor, services, materials or supplies for which any prior advances have been made and for which the current advance is being made; provided that such lien releases in respect of the current advance may be conditioned upon receipt of payment in the amount being paid to such Person pursuant to the requested advance;

(c) invoices or other evidence reasonably acceptable to Lender of amounts paid or payable with respect to such requested advance;

(d) a Title Update;

(e) an updated Initial CapEx Disbursement Schedule, accurate through the requested advance; and

(f) evidence reasonably acceptable to Lender of the balance of Imprest Funds then held in Borrower's Operating Account, together with an accounting of all Imprest Funds previously withdrawn from the Operating Account.

(5) Borrower shall have delivered to Lender, to the extent in effect as of the date of determination, copies of all executed trade contracts entered into by Borrower or its general contractor for the performance of the work contemplated by the Initial CapEx Budget, in each case certified by Borrower as true, correct and complete, together with, upon the request of Lender, customary "will serve" letters in form acceptable to Lender in its reasonable discretion from (i) any construction manager or general contractor, (ii) any architect or engineer preparing the Initial CapEx Approved Plans and Specifications and (iii) any other material contractor or vendor requested by Lender in its reasonable discretion;

(6) Borrower shall pay on demand all of the actual out-of-pocket costs

and expenses reasonably incurred by Lender, including reasonable attorneys' fees and expenses in connection with such advance and the fees and out-of-pocket expenses of Lender's Construction Consultant relating to such advance;

(7) all fees and expenses of Lender, including the fees and expenses referred to in Section 5.29, to the extent due and payable, shall have been (or contemporaneously are being) paid in full, and all title premiums and other title and survey charges shall have been (or contemporaneously are being) paid in full; and

(8) Lender shall have received satisfactory evidence that:

(a) all permits, licenses and approvals (if any) required for any work associated with such requested advance have been obtained and are in full force and effect; and

(b) such disbursement is solely in respect of labor and/or materials that have actually been incorporated into the Improvements as of the date of such request (and not building materials or furnishings not yet affixed to or incorporated into the Improvements).

Any funds advanced from the Initial CapEx Reserve shall be deemed to have been paid to and received by Borrower and shall be added to the outstanding principal balance of the Loan and bear interest at the Interest Rate.

3.3.4 Intentionally Omitted.

3.3.5 Intentionally Omitted.

3.3.6 Replacement Reserve. On each Payment Date from and after the Payment Date occurring in July, 2025, Borrower shall pay to Lender an amount equal to one-twelfth of the Replacement Impound, such amounts to be held by Lender in a funded Reserve (the "***Replacement Reserve***"). So long as no monetary or material non-monetary Default, and no Event of Default, has occurred and is continuing, Lender shall disburse funds held in the Replacement Reserve to Borrower within ten (10) Business Days after Lender's determination that the conditions to disbursement have been satisfied (but not more often than once per month), so long as Borrower has delivered to Lender a request therefor meeting the requirements of this Section 3.3.6 and Exhibit D hereto, and so long as each of the following additional conditions are satisfied: (i) such disbursement is for an Approved Budget Capital Expense; (ii) Lender shall have (if it desires and the amount of the disbursement exceeds \$50,000) verified (by an inspection conducted at Borrower's expense) performance of the work associated with such Approved Budget Capital Expense; and (iii) the request for disbursement is accompanied by (A) an Officer's Certificate certifying (1) that such funds will be used to pay or reimburse Borrower for Approved Budget Capital Expenses and a description thereof, (2) that all outstanding trade payables (other than those to be paid from the requested disbursement or those constituting Permitted Indebtedness) have been paid in full, (3) that the same has not been the subject of a previous disbursement, (4) that all previous disbursements have been used to pay the previously identified Approved Budget Capital Expenses, and (B) lien waivers or other evidence of payment satisfactory to Lender, (5) identifying each Person that supplied materials or labor in connection with such Approved Budget Capital

Expense or any portion thereof and stating that each such Person has been or, upon receipt of the requested disbursement, will be paid in full with respect to the portion of the Approved Budget Capital Expense which is the subject of the requested disbursement and (6) that the Approved Budget Capital Expense or any portion thereof which is the subject of the requested disbursement has been completed in a good and workmanlike manner and in accordance with all applicable Legal Requirements, (C) invoices or other evidence reasonably acceptable to Lender of amounts paid or payable with respect to such requested disbursement and (D) at Lender's option, a title search for the Property indicating that the Property is free from all Liens, claims and other encumbrances not previously approved by Lender and not Permitted Encumbrances. With respect to each disbursement from the Replacement Reserve, Borrower shall pay the fees and out-of-pocket expenses of Lender's Construction Consultant relating to such disbursement.

3.3.7 Casualty/Condemnation Reserve. Borrower shall pay, or cause to be paid, to Lender all Proceeds or Awards due to any Casualty or Condemnation which shall be held by Lender in a funded Reserve (the "***Casualty/Condemnation Reserve***") in accordance with the provisions of **Article 7** hereof. All amounts in the Casualty/Condemnation Reserve shall be disbursed in accordance with the provisions of **Article 7** hereof within ten (10) Business Days after the delivery by Borrower to Lender of a request therefor (but not more often than once per month), in the form of **Exhibit D** hereto, in increments of at least \$50,000. With respect to each disbursement from the Casualty/Condemnation Reserve, Borrower shall pay the actual fees and out-of-pocket expenses of Lender's Construction Consultant relating to such disbursement.

3.3.8 Security Deposit Reserve. Borrower shall keep and hold all security deposits under Leases in accordance with applicable Legal Requirements and at a separately designated account under Borrower's control at the Deposit Bank (and in the case of a letter of credit, assigned with full power of attorney and executed sight drafts to Lender) so that the security deposits shall not be commingled with any other funds of Borrower. After the occurrence of an Event of Default, Borrower shall, upon Lender's request, if permitted by applicable Legal Requirements, turn over to Lender the security deposits (and any interest theretofore earned thereon) under Leases, to be held by Lender in a funded Reserve (the "***Security Deposit Reserve***") subject to the terms of the Leases. Security deposits held in the Security Deposit Reserve will be released by Lender upon notice from Borrower together with such evidence as Lender may reasonably request that such security deposit is required to be returned to a tenant pursuant to the terms of a Lease or may be applied as rent pursuant to the rights of Borrower under the applicable Lease. Any letter of credit or other instrument that Borrower receives in lieu of a cash security deposit under any Lease entered into after the Closing Date shall (i) be maintained in full force and effect in the full amount unless replaced by a cash deposit as hereinabove described and (ii) if permitted pursuant to any Legal Requirements, name Lender as payee or mortgagee thereunder (or at Lender's option, be fully assignable to Lender).

3.3.9 Imprest Funds. On the Closing Date, a portion of the Loan equal to Five Hundred Thousand and No/100 Dollars (\$500,000.00) shall be funded by Lender to Borrower from the Closing Date Advance to be used by Borrower solely in accordance with this **Section 3.3.9** (such funds, as the same may be replenished from time to time in accordance with this **Section 3.3.9**, the "***Imprest Funds***"). Borrower covenants and agrees to hold the Imprest Funds in Borrower's Operating Account until expended in accordance with this **Section 3.3.9**. Provided that no Event of Default shall have occurred and be continuing, Borrower shall be entitled to apply

a portion of the Imprest Funds to Capital Expenses actually incurred in respect of Approved Initial CapEx in accordance with the applicable line item of the Initial CapEx Budget and for work performed in accordance with the Initial CapEx Approved Plans and Specifications (“**Permitted Applications of Imprest Funds**”). Subject to Borrower’s satisfaction of the terms and conditions set forth in Section 3.3.3 hereof relating to advances from the Initial CapEx Reserve, as part of regular advances from the Initial CapEx Reserve, Lender shall make advances of the available balance of the Initial CapEx Reserve to Borrower to replenish the Imprest Funds to an aggregate balance not to exceed \$500,000.00 (an “**Imprest Replenishment Advance**”), provided that as a condition to any such Imprest Replenishment Advance, Borrower shall have delivered to Lender a draw request with required backup for such Imprest Replenishment Advance satisfying all conditions for advances of the Initial CapEx Reserve under Section 3.3.3 hereof (as if such advance was to directly pay the costs of unreimbursed expenditures of Imprest Funds for Permitted Applications of Imprest Funds). Upon the occurrence and during the continuance of an Event of Default, at Lender’s request, Borrower shall promptly remit to Lender, for application by Lender in accordance with the terms of the Loan Documents, any portion of the Imprest Funds not previously applied by Borrower in accordance with this Section 3.3.9.

3.3.10 Interest and Carry Reserve. Borrower shall pay to Lender on the Closing Date an amount equal to One Hundred Thirteen Thousand and No/100 Dollars (\$113,000.00), with such amount to be held by Lender in a funded Reserve (the “**Interest and Carry Reserve**”) for payment of (x) Debt Service and (y) Approved Operating Expenses, in each case in the event of a shortfall in Gross Revenues sufficient to pay the same (the amount of any such shortfall in Gross Revenues, as determined by Lender in its reasonable discretion, a “**Shortfall**”). On each applicable Payment Date, provided that no monetary Default or material non-monetary Default has occurred and is continuing and no Event of Default has occurred and is continuing, Lender shall, to the extent of available proceeds in the Interest and Carry Reserve, disburse to itself funds from the Interest and Carry Reserve in an amount equal to any such Shortfall attributable to Debt Service (less any amounts otherwise paid by Borrower to Lender to cover such Shortfall), with such amount to be applied by Lender against Borrower’s obligation to pay Debt Service. In addition, provided that no monetary Default or material non-monetary Default has occurred and is continuing and no Event of Default has occurred and is continuing, upon Borrower’s request Lender shall, to the extent of available proceeds in the Interest and Carry Reserve, disburse to Borrower from the Interest and Carry Reserve (not more often than once per month) funds in an amount equal to any such Shortfall attributable to Approved Operating Expenses then payable (less any amounts otherwise paid by Borrower to cover such Shortfall in Approved Operating Expenses) within ten (10) Business Days after Lender’s determination that all of the conditions to disbursement have been satisfied, provided, that (A) such disbursement is for the payment of a Shortfall attributable to Approved Operating Expenses; (B) the request for disbursement is in accordance with and subject to the draw procedures set forth in Exhibit D hereto; and (C) the request for disbursement is accompanied by invoices or other evidence reasonably acceptable to Lender of amounts paid or payable with respect to such requested disbursement. Notwithstanding anything to the contrary set forth herein, the existence of the Interest and Carry Reserve (including any positive account balance therein) or any disbursement therefrom shall in no way waive or otherwise affect Borrower’s or any other Borrower Party’s obligations hereunder or under any

other Loan Document (including Borrower's obligation to pay Debt Service as and to the extent required under this Agreement).

3.4 Property Cash Flow Allocation Provided no Cash Management Period has occurred and is continuing, Borrower shall be entitled to apply Gross Revenues for any purpose permitted hereunder (including making Distributions out of Excess Cash Flow in accordance with Section 5.34 hereof).

3.4.2 On each Payment Date during the continuance of a Cash Management Period, provided no Event of Default is continuing, at any time that Gross Revenues deposited into the Clearing Account are being swept to the Lender Account, all such Gross Revenues deposited into the Lender Account during the immediately preceding Interest Period shall be applied by Lender as follows, in the following order of priority:

(1) First, to make payments into the Tax and Insurance Reserve as required under Section 3.3.2 hereof;

(2) Second, to Lender to pay the Debt Service due on such Payment Date (plus, if applicable, interest at the Default Rate, any Loan Expenses and other amounts then due to Lender under the Loan Documents);

(3) Third, to pay the monthly portion of the fees charged by the Deposit Bank in accordance with the Clearing Account Agreement;

(4) Fourth, funds to pay operating expenses in an amount equal to the amount of Approved Operating Expenses for such month (including a property management fee to Manager not to exceed 3.00% of Operating Revenues), plus funds to pay for extraordinary or other operating expenses not included in the then-applicable Approved Annual Budget, to the extent approved by Lender (if any), shall be disbursed to Borrower in the Operating Account;

(5) Fifth, to make payments into the Replacement Reserve, if and as required by this Agreement;

(6) Sixth, to the repayment of any Protective Advances; and

(7) Last, all remaining amounts shall be paid over to or retained by Lender and deposited into a funded Reserve held by Lender as cash collateral for the Loan; provided, however, that (x) upon such Cash Management Period ending, so long as no other Cash Management Period shall then exist, Lender shall disburse the balance of such cash collateral to the Operating Account and (y) upon the occurrence and during the continuance of an Event of Default, Lender may apply such cash collateral in accordance with Section 3.4.4 below.

3.4.3 The failure of Borrower to make (or provide sufficient cash for Lender to make, including by virtue of funds being swept to the Lender Account from the Clearing Account) all of the payments required under Section 3.4.2(1) through (6), as the case may be, on each Payment Date during the continuance of a Cash Management Period shall constitute an Event of Default under this Agreement.

3.4.4 Notwithstanding anything to the contrary contained in this Section 3.4 or elsewhere in the Loan Documents, during the continuance of an Event of Default, Lender may apply all Gross Revenues deposited into the Clearing Account, the Lender Account (including all Subaccounts and Reserves) and other proceeds of repayment in such order and in such manner as Lender shall elect.

3.4.5 Notwithstanding the foregoing, Borrower shall promptly notify Lender in writing upon becoming aware that a DSCR Cash Management Period has commenced (provided that Lender has not provided written notice of the same to Borrower), and, so long as no monetary or material non-monetary Default, and no Event of Default then exists, Borrower shall have the right, within ten (10) Business Days of such receipt or delivery of notice, to make a partial prepayment of Principal to Lender, in the amount necessary, as determined by Lender, to cause the Debt Service Coverage Ratio (Cash Management) to be equal to or greater than the applicable amount required to avoid such DSCR Cash Management Period (as set forth in the definition of “DSCR Cash Management Period”); provided, however, Borrower shall not exercise such right in consecutive Quarters, nor more than four (4) times during the Term.

4. REPRESENTATIONS AND WARRANTIES

Borrower represents and warrants to Lender as of the Closing Date that, except to the extent (if any) disclosed on Exhibit B hereto with reference to a specific Section of this Article 4:

4.1 Organization; Special Purpose.

(1) Borrower has been duly formed and is validly existing and in good standing under the laws of the state of its formation, with requisite power and authority, and all rights, licenses, permits and authorizations, governmental or otherwise, necessary to own its properties and to transact the business in which it is now engaged. Borrower is duly qualified to do business and is in good standing in each jurisdiction where it is required to be so qualified in connection with the Property, its business and its operations (as applicable).

(2) Borrower has at all times since its formation been, and currently is, a Special Purpose Entity.

4.2 Proceedings; Enforceability. Borrower has taken all necessary action to authorize the execution, delivery and performance of the Loan Documents. The Loan Documents to which Borrower is a party have been duly executed and delivered by Borrower and constitute legal, valid and binding obligations of Borrower enforceable against Borrower in accordance with their respective terms, subject to applicable bankruptcy, insolvency and similar laws affecting rights of creditors generally, and general principles of equity. The Loan Documents are not subject to, and Borrower has not asserted, any right of rescission, set-off, counterclaim or defense, including the defense of usury. No exercise of any of the terms of the Loan Documents, or any right thereunder, will render any Loan Document unenforceable.

4.3 No Conflicts. The execution, delivery and performance of the Loan Documents by Borrower and the transactions contemplated hereby will not conflict with or result in a breach of any of the terms or provisions of, or constitute a default under, or result in the creation or imposition of any Lien (other than pursuant to the Loan Documents) upon any of the property of

Borrower pursuant to the terms of, any agreement or instrument to which Borrower is a party or by which its property is subject, nor will such action result in any violation of the provisions of any statute or any order, rule or regulation of any Governmental Authority having jurisdiction over Borrower or any of its properties. Borrower's rights under the Licenses and the Management Agreement will not be adversely affected by the execution and delivery of the Loan Documents, Borrower's performance thereunder or the recordation of the Security Instrument. Any consent, approval, authorization, order, registration or qualification of or with any Governmental Authority required for the execution, delivery and performance by Borrower of the Loan Documents has been obtained and is in full force and effect.

4.4 Litigation. There are no actions, suits or other proceedings at law or in equity by or before any Governmental Authority now pending or threatened in writing against or affecting Borrower, Sole Member or the Property, which, if adversely determined, would reasonably be expected to materially adversely affect the condition (financial or otherwise) or business of Borrower (including the ability of Borrower to carry out its obligations under the Loan Documents), Sole Member or the use, value, condition or ownership of the Property.

4.5 Agreements. Borrower is not a party to any agreement or instrument or, to Borrower's knowledge, subject to any restriction which would reasonably be expected to materially and adversely affect Borrower or the Property, or Borrower's business, properties, operations or condition, financial or otherwise. Borrower is not in default in any material respect in the performance, observance or fulfillment of any of the obligations, covenants or conditions contained in any Permitted Encumbrance or any other agreement or instrument to which it is a party or by which it or the Property is bound.

4.6 Title. Borrower has good and marketable fee simple title to the real property and good title to the balance of the Property, free and clear of all Liens except the Permitted Encumbrances. All transfer taxes, deed stamps, intangible taxes or other amounts in the nature of transfer taxes required to be paid by any Person under applicable Legal Requirements in connection with the transfer of the Property to Borrower have been paid. The Security Instrument when properly recorded in the appropriate records, together with any UCC Financing Statements required to be filed in connection therewith, will create (i) a valid, perfected first priority lien on Borrower's interest in the Property and (ii) valid and perfected first priority security interests in and to, and perfected collateral assignments of, all personalty (including the Leases) which are capable of perfection by such recording and filing, all in accordance with the terms thereof, in each case subject only to any applicable Permitted Encumbrances. All mortgage, recording, stamp, intangible or other similar taxes required to be paid by any Person under applicable Legal Requirements in connection with the execution, delivery, recordation, filing, registration, perfection or enforcement of any of the Loan Documents have been paid. The Permitted Encumbrances do not materially adversely affect the value, operation or use of the Property, or Borrower's ability to repay the Loan. No Condemnation or other proceeding has been commenced or, to Borrower's knowledge, is contemplated with respect to all or part of the Property or for the relocation of roadways providing access to the Property. To Borrower's knowledge, there are no claims for payment for work, labor or materials affecting the Property which are or may become a Lien prior to, or of equal priority with, the Liens created by the Loan Documents. There are no outstanding options to purchase or rights of first refusal affecting all or any portion of the Property. To Borrower's knowledge, the survey for the Property delivered to Lender does not fail to reflect

any material adverse matter affecting the Property or the title thereto. Each parcel comprising the Property is a separate tax lot and is not a portion of any other tax lot that is not a part of the Property. To Borrower's knowledge, there are no pending or proposed special or other assessments for public improvements or otherwise affecting the Property, or any contemplated improvements to the Property that may result in such special or other assessments.

4.7 No Bankruptcy Filing. Borrower is not contemplating either the filing of a petition by it under any state or federal bankruptcy or insolvency law or the liquidation of all or a major portion of its property (a "***Bankruptcy Proceeding***"), and Borrower has no knowledge of any Person contemplating the filing of any such petition against it. In addition, neither Borrower nor Sole Member nor any principal nor Affiliate of Borrower or Sole Member has been a party to, or the subject of a Bankruptcy Proceeding for the past ten (10) years.

4.8 Full and Accurate Disclosure. No statement of fact made by Borrower in any Loan Document contains any untrue statement of a material fact or omits to state any material fact necessary to make statements contained therein not misleading. To Borrower's knowledge, all financial data, including the statements of cash flow and income and operating expense, that have been delivered to Lender in respect of Borrower and the Property (i) are true, complete and correct in all material respects, (ii) accurately represent, in all material respects and taken as a whole, the financial condition of Borrower and the Property as of the date of such reports, and (iii) to the extent prepared by an independent certified public accounting firm, have been prepared in accordance with GAAP consistently applied (or a federal income tax basis of accounting or such other accounting basis reasonably acceptable to Lender, in each case, consistently applied) throughout the periods covered, except as disclosed therein. Borrower has no known contingent liabilities, liabilities for taxes, unusual forward or long-term commitments, unrealized or anticipated losses from any unfavorable commitments or any liabilities or obligations not expressly permitted by this Agreement. Since the date of such financial statements, there has been no materially adverse change in the financial condition, operations or business of Borrower or the Property from that set forth in said financial statements.

4.9 Tax Filings. To the extent required, Borrower has filed (or has obtained effective extensions for filing) all federal, state and local tax returns required to be filed and have paid or made adequate provision for the payment of all federal, and material state and local taxes, charges and assessments payable by Borrower. Borrower believes that its tax returns (if any) properly reflect all income and other material taxes of Borrower for the periods covered thereby, subject only to reasonable adjustments required by the Internal Revenue Service or other applicable tax authority upon audit.

4.10 ERISA; No Plan Assets. As of the Closing Date and throughout the Term (i) no Borrower Party is or will be an "employee benefit plan," as defined in Section 3(3) of ERISA, (ii) none of the assets of any Borrower Party constitutes or will constitute "plan assets" of one or more such plans within the meaning of 29 C.F.R. Section 2510.3-101, (iii) no Borrower Party is or will be a "governmental plan" within the meaning of Section 3(32) of ERISA, and (iv) transactions by or with any Borrower Party are not and will not be subject to state statutes regulating investment of, and fiduciary obligations with respect to, governmental plans.

As of the Closing Date and throughout the Term, neither any Borrower Party, nor

any of its ERISA Affiliates, maintains, sponsors or contributes to a “defined benefit plan” (within the meaning of Section 3(35) of ERISA) or a Multiemployer Plan.

Neither Borrower nor any ERISA Affiliate has (i) failed to make any required contribution to a Multiemployer Plan when due, (ii) incurred any liability with respect to the partial or complete withdrawal (as such terms are defined in Section 4203 and 4205 of ERISA, respectively) from any Multiemployer Plan that remains unsatisfied, or (iii) received any notice from any Multiemployer Plan concerning the imposition of Withdrawal Liability or a determination that a Multiemployer Plan is, or is expected to be, insolvent, or in endangered or critical status within the meaning of Section 432 of the Internal Revenue Code or Title IV of ERISA. The Withdrawal Liability (contingent or otherwise) of Borrower and its ERISA Affiliates, with respect to a withdrawal from any Multiemployer Plan if such withdrawal were to occur, would not result in material liability to any Borrower Party.

4.11 Compliance. To Borrower’s knowledge, Borrower, the Property and the use thereof comply in all material respects with all applicable Legal Requirements (including with respect to parking and applicable zoning and land use laws, regulations and ordinances). Borrower is not in default or violation of any order, writ, injunction, decree or demand of any Governmental Authority, the violation of which would reasonably be expected to materially adversely affect the condition (financial or otherwise) or business of Borrower. The Property is used exclusively as residential rental apartments (the “*Permitted Use*”). No legal proceedings are pending or, to Borrower’s knowledge, threatened in writing with respect to the zoning of the Property. To Borrower’s knowledge, all certifications, permits, licenses and approvals, including certificates of completion and occupancy permits required for the legal use, occupancy and operation of the Property (collectively, the “*Licenses*”), have been obtained by Borrower and are in full force and effect. To Borrower’s knowledge, the use being made of the Property is in conformity with the certificate of occupancy (or temporary certificate of occupancy if then applicable) issued for the Property and all other restrictions, covenants and conditions affecting the Property.

4.12 Contracts. Except as set forth on **Schedule 4.12** attached hereto, Borrower has not entered into and is not bound by any Major Contract. Each Major Contract is in full force and effect and, to Borrower’s knowledge, there are no monetary or material non-monetary defaults thereunder by any party thereto. None of Borrower, Manager or any other Person acting on Borrower’s behalf has given or received any notice of material default under any of Major Contract that remains uncured or in dispute. Borrower has delivered to Lender true, correct and complete copies of the Major Contracts (including any amendments and supplements thereto). All service, maintenance or repair contracts affecting the Property have been entered into at arm’s-length in the ordinary course of Borrower’s business.

4.13 Federal Reserve Regulations; Investment Company Act; Bank Holding Company. No part of the proceeds of the Loan will be used for the purpose of purchasing or acquiring any “margin stock” within the meaning of Regulation U of the Board of Governors of the Federal Reserve System or for any other purpose that would be inconsistent with such Regulation U or any other regulation of such Board of Governors, or for any purpose prohibited by Legal Requirements or any Loan Document. Borrower is not (i) an “investment company” or a company “controlled” by an “investment company,” within the meaning of the Investment Company Act of 1940, as amended; or (ii) subject to any other federal or state law or regulation

which purports to restrict or regulate its ability to borrow money. Borrower is not a “bank holding company” or a direct or indirect subsidiary of a “bank holding company” as defined in the Bank Holding Company Act of 1956, as amended, and Regulation Y thereunder of the Board of Governors of the Federal Reserve System.

4.14 Easements; Utilities and Public Access. All easements, cross easements, licenses, air rights and rights-of-way or other similar property interests (collectively, “*Easements*”), if any, necessary for the full utilization of the Improvements for their intended purposes have been obtained, are described in the Title Policy and are in full force and effect. To borrower’s knowledge, there is no material default continuing beyond applicable notice and cure periods under the Easements. The Property has rights of access to public ways and is served by water, sewer, sanitary sewer and storm drain facilities adequate to service it for its intended uses. All public utilities necessary or convenient to the full use and enjoyment of the Property are located in the public right-of-way abutting the Property, and to Borrower’s knowledge all such utilities are connected so as to serve the Property without passing over other property absent a valid Easement. All roads necessary for the use of the Property for its current purpose have been completed and dedicated to public use and accepted by all Governmental Authorities.

4.15 Physical Condition. Except as set forth in the Property Condition Report, the Property, including all Improvements, parking facilities, systems, Equipment and landscaping, are in good condition, order and repair in all material respects (ordinary and reasonable wear and tear excepted); to Borrower’s knowledge, there exists no structural or other material defect or damages to the Property, whether latent or otherwise. Borrower has not received notice from any insurance company or bonding company of any defect or inadequacy in the Property, or any part thereof, which would adversely affect its insurability or cause the imposition of extraordinary premiums or charges thereon or any termination of any policy of insurance or bond. No portion of the Property is located in an area as identified by the Federal Emergency Management Agency as an area having special flood hazards. The Improvements have suffered no material casualty or damage which has not been fully repaired and the cost thereof fully paid.

4.16 Leases. The rent roll attached hereto as **Schedule 4.16** (as the same shall be updated from time to time pursuant to Section 6.3 hereof, the “*Rent Roll*”) is true, complete and correct in all material respects and the Property is not subject to any Leases other than the Leases described in the Rent Roll. Except as set forth on the Rent Roll: (i) each Lease is in full force and effect; (ii) to Borrower’s knowledge, there are no offsets, claims or defenses to the enforcement of the Leases; (iii) all rents due and payable under the Leases have been paid and no portion thereof has been paid for any period more than thirty (30) days in advance; (iv) the rent payable under each Lease is the amount of fixed rent set forth in the Rent Roll, and to Borrower’s knowledge there is no claim or basis for a claim by the tenant thereunder for an adjustment to the rent; (v) to Borrower’s knowledge, no tenant has made any material claim against the landlord under any Lease which remains outstanding, to Borrower’s knowledge there are no material defaults on the part of the landlord under any Lease, and, to Borrower’s knowledge, no event has occurred which, with the giving of notice or passage of time, or both, would constitute such a default; (vi) to Borrower’s knowledge there is no present material default by the tenant under any Lease; (vii) all security deposits under Leases are as set forth on the Rent Roll and are held consistent with Section 3.3.8 hereof; (viii) Borrower is the sole owner of the entire lessor’s interest in each Lease; (ix) each Lease is the valid, binding and enforceable obligation of Borrower and, to Borrower’s knowledge,

the applicable tenant thereunder, subject to applicable bankruptcy, insolvency and similar laws affecting rights of creditors generally, and general principles of equity; (x) no Person has any possessory interest in, or right to occupy, the Property except under the terms of the Lease; and (xi) the tenant under each Lease is a bona fide, independent third-party tenant. None of the Leases contains any option to purchase or right of first refusal to purchase the Property or any part thereof. Neither the Leases nor the rents have been assigned or pledged except to Lender (other than assignments and pledges in connection with prior financings which have been terminated), and no other Person has any interest therein except the tenants thereunder.

4.17 Fraudulent Transfer. Borrower has not entered into the Loan or any Loan Document with the intent to hinder, delay, or defraud any creditor, and Borrower has received reasonably equivalent value in exchange for its obligations under the Loan Documents. Giving effect to the transactions contemplated by the Loan Documents, the fair saleable value of Borrower's assets exceeds and will, immediately following the execution and delivery of the Loan Documents, exceed Borrower's total probable liabilities, including subordinated, unliquidated, disputed or contingent liabilities, including the maximum amount of its contingent liabilities or its debts as such debts become absolute and matured. Borrower's assets do not and, immediately following the execution and delivery of the Loan Documents will not, constitute unreasonably small capital to carry out its business as conducted or as proposed to be conducted. Borrower does not intend to, and does not believe that it will, incur debts and liabilities (including contingent liabilities and other commitments) beyond its ability to pay such debts as they mature (taking into account the timing and amounts to be payable on or in respect of obligations of Borrower).

4.18 Ownership of Borrower. The sole member of Borrower is the Sole Member. The membership interests of Sole Member in Borrower are owned free and clear of all Liens, warrants, options and rights to purchase. Borrower has no obligation to any Person to purchase, repurchase or issue any ownership interest in it. The organizational chart attached hereto as **Schedule 4.18** is true and accurate and shows all Persons with a twenty percent (20%) or greater direct or indirect interest in Borrower or that otherwise Control Borrower.

4.19 Purchase Options. Neither the Property nor any part thereof is subject to any purchase options or other similar rights in favor of third parties.

4.20 Management Agreement. Borrower has provided to Lender a true, correct and complete copy of the Management Agreement and except as expressly set forth in the definition of "Management Agreement," there are no amendments, supplements or modifications of any kind to the Management Agreement. The Management Agreement is in full force and effect. There is no default, breach or violation existing under the Management Agreement, and, to Borrower's knowledge, no event has occurred (other than payments due but not yet delinquent) that, with the passage of time or the giving of notice, or both, would constitute a default, breach or violation thereunder, by either party thereto.

4.21 Hazardous Substances. Except as disclosed in the Phase I Environmental Assessment, to Borrower's knowledge: (i) the Property is not in violation of any Legal Requirement pertaining to or imposing liability or standards of conduct concerning environmental regulation, contamination or clean-up of Hazardous Substances, including the Comprehensive Environmental Response, Compensation and Liability Act, the Resource Conservation and

Recovery Act, the Emergency Planning and Community Right-to-Know Act of 1986, the Hazardous Substances Transportation Act, the Solid Waste Disposal Act, the Clean Water Act, the Clean Air Act, the Toxic Substance Control Act, the Safe Drinking Water Act, the Occupational Safety and Health Act, any state super-lien and environmental clean-up statutes (including with respect to Toxic Mold), any local law requiring related permits and licenses and all amendments to and regulations in respect of the foregoing laws (collectively, “**Environmental Laws**”); (ii) the Property is not subject to any private or governmental Lien or judicial or administrative notice or action or inquiry, investigation or claim relating to hazardous, toxic and/or dangerous substances, toxic mold or fungus of a type and in quantities or concentrations that may pose a risk to human health or the environment or would negatively impact the value of the Property (“**Toxic Mold**”) or any other substances or materials which are included under or regulated by Environmental Laws (collectively, “**Hazardous Substances**”; provided, however, that “**Hazardous Substances**” shall exclude De Minimis Amounts); (iii) no Hazardous Substances are or have been (including the period prior to Borrower’s acquisition of the Property), discharged, generated, treated, disposed of or stored on, incorporated in, or removed or transported from the Property other than in compliance with all Environmental Laws; (iv) no Hazardous Substances are present in, on or under any nearby real property which would reasonably be expected to migrate to or otherwise adversely affect the Property in any material respect; (v) no Toxic Mold is on or present at the Property which requires remediation to protect from material danger to human health and safety or the value of the Property; (vi) no underground storage tanks exist on the Property and the Property has never been used as a landfill; and (vii) there have been no environmental investigations, studies, audits, reviews or other analyses conducted by or on behalf of Borrower which have not been provided to Lender.

4.22 Name; Principal Place of Business. Borrower does not use and will not use any trade name and has not done and will not do business under any name other than its actual name set forth herein. The principal place of business of Borrower is its primary address for notices as set forth in Section 6.1 hereof, and Borrower has no other place of business.

4.23 Other Debt. Borrower has no indebtedness, whether secured or unsecured, other than Permitted Encumbrances and Permitted Indebtedness.

4.24 Assignment of Leases and Rents. The Assignment of Leases and Rents creates a valid assignment of, or a valid security interest in, certain rights of the lessor under the Leases, subject only to a license granted to Borrower to exercise certain rights and to perform certain obligations of the lessor under the Leases, including the right to operate the Property. No Person other than Lender has any interest in or assignment of the Leases or any portion of the Gross Revenues due and payable or to become due and payable thereunder.

4.25 Insurance. Borrower has obtained and has delivered to Lender certificates of all of the Policies, with all premiums paid thereunder, reflecting the insurance coverages, amounts and other requirements set forth in this Agreement. No claims have been made under any of the Policies, and neither Borrower nor, to Borrower’s knowledge, any other Person, has done, by act or omission, anything which would impair the coverage of any of the Policies.

4.26 FIRPTA. The Sole Member is a U.S. Person and Borrower is a disregarded entity for U.S. tax purposes.

4.27 Fiscal Year. Each fiscal year of Borrower commences on January 1.

4.28 Intellectual Property/Websites. Other than as set forth on **Schedule 4.28**, neither Borrower nor any Affiliate (i) has or holds any tradenames, trademarks, servicemarks, logos, copyrights, patents or other intellectual property (collectively, “*Intellectual Property*”) with respect to the Property or the use or operations thereof or (ii) is the registered holder of any website with respect to the Property (other than tenant websites).

4.29 Operations Agreements. Each Operations Agreement is in full force and effect and neither Borrower nor, to Borrower’s knowledge, any other party to any Operations Agreement, is in default thereunder, and to Borrower’s knowledge, there are no conditions which, with the passage of time or the giving of notice, or both, would constitute a default thereunder.

4.30 Illegal Activity. No portion of the Property has been purchased by Borrower with proceeds of any illegal activity.

4.31 Intentionally Omitted.

4.32 Ground Lease. The Property is not subject to any ground lease.

4.33 Boundary. To Borrower’s knowledge, except as may otherwise be shown on the survey delivered to Lender prior to the Closing Date and disclosed in the Title Policy: (a) all of the Improvements which are located on the Property lie wholly within the boundaries and building restriction lines of the Property, (b) no improvements on adjoining properties encroach upon the Property, and (c) no easements or other encumbrances affecting the Property encroach upon any of the Improvements, so as to adversely affect the value or marketability of the Property except those which are insured against by title insurance.

4.34 Required Minimum Equity. As of the Closing Date, Borrower Party has invested the Required Minimum Equity into the Property.

4.35 Major Equity Holders. Each Person owning a direct or indirect interest (including any beneficial interests) equal to or greater than twenty percent (20%) of any Borrower Party is listed on **Schedule 4.35** hereto.

4.36 Purchase and Sale Agreement. Borrower has provided to Lender a true, correct and complete copy of the Purchase and Sale Agreement and except as expressly set forth in the definition of “Purchase and Sale Agreement,” there are no amendments, supplements or modifications of any kind to the Purchase and Sale Agreement. The Purchase and Sale Agreement is in full force and effect, and to Borrower’s knowledge, there is no default, breach or violation existing thereunder by either party thereto, and no event has occurred that, with the passage of time or the giving of notice, or both, would constitute a default, breach or violation by either party thereunder.

All of the representations and warranties in this **Article 4** and elsewhere in the Loan Documents (i) shall survive for so long as any portion of the Debt remains owing to Lender and (ii) shall be deemed to have been relied upon by Lender notwithstanding any investigation heretofore or hereafter made by Lender or on its behalf, provided, however, that the representations, warranties

and covenants set forth in Section 4.21 above shall survive to the extent of the survival of the Environmental Indemnity.

5. COVENANTS

Borrower hereby covenants and agrees with Lender that:

5.1 Existence. Borrower shall (i) do or cause to be done all things necessary to preserve, renew and keep in full force and effect its existence, rights, and franchises, (ii) continue to engage in the business presently conducted by it, (iii) obtain and maintain all Licenses, and (iv) do or cause to be done all things necessary for Borrower to qualify or remain qualified to do business and to remain in good standing under the laws of each jurisdiction, in each case as and to the extent required for the ownership, maintenance, management and operation of the Property.

5.2 Taxes and Other Charges. Borrower shall pay all Taxes and Other Charges prior to delinquency and deliver to Lender receipts for payment or other evidence reasonably satisfactory to Lender that the Taxes and Other Charges have been so paid no later than the date they would be delinquent if not paid. Borrower shall not suffer and shall promptly cause to be paid and discharged any Lien against the Property, and shall promptly pay for all utility services provided to the Property. After prior notice to Lender, Borrower, at its own expense, may contest by appropriate legal proceeding, promptly initiated and conducted in good faith and with due diligence, the amount or validity or application of any Taxes or Other Charges, provided that (i) no monetary or material non-monetary Default, and no Event of Default, has occurred and is continuing, (ii) such proceeding shall suspend the collection of the Taxes or such Other Charges by the taxing authority or Borrower shall have paid all Taxes or Other Charges being contested, (iii) such proceeding shall be permitted under and be conducted in accordance with the provisions of any other instrument to which Borrower is subject and shall not constitute a default thereunder, (iv) no part of or interest in the Property will be in imminent danger of being sold, forfeited, terminated, canceled or lost, (v) as security for the payment of such Taxes and Other Charges, Borrower shall deposit with Lender adequate reserves to insure the payment of any such Taxes or Other Charges, together with all interest and penalties thereon, as reasonably determined by Lender, which shall not be less than 110% of the Taxes and Other Charges being contested, and (vi) Borrower shall promptly upon final determination thereof pay the amount of such Taxes or Other Charges, together with all costs, interest and penalties. Lender may pay over any such security or part thereof held by Lender to the claimant entitled thereto at any time when, in the judgment of Lender, the entitlement of such claimant is established.

5.3 Access to Property. Borrower shall permit agents, representatives, consultants and employees of Lender to inspect the Property or any part thereof at reasonable hours upon reasonable advance notice, subject to the rights of tenants under the Approved Leases.

5.4 Repairs; Maintenance and Compliance; Alterations.

5.4.1 Repairs; Maintenance and Compliance. Borrower shall at all times maintain, preserve and protect all franchises and trade names, and Borrower shall cause the Property to be maintained in a good and safe condition and repair (ordinary wear and tear excepted) and shall not remove, demolish or alter the Improvements or Equipment (except for (x) alterations

performed in accordance with or permitted under Section 5.4.2 below (y) normal replacement of Equipment with Equipment of equivalent value and functionality and (z) alterations pursuant to Borrower's commencement and completion of the Approved Initial CapEx in accordance with the terms and conditions of this Agreement). Borrower shall promptly comply with all Legal Requirements in all material respects and promptly cure properly any known violation of a Legal Requirement. Borrower shall notify Lender in writing within five (5) Business Day after Borrower first receives notice of any such non-compliance. Borrower shall promptly repair, replace or rebuild any part of the Property that becomes damaged, worn or dilapidated and shall complete and pay for any Improvements at any time in the process of construction or repair.

5.4.2 Alterations. Borrower may, without Lender's consent, perform alterations to the Improvements and Equipment which (i) do not constitute a Material Alteration, (ii) are in the ordinary course of Borrower's business and (iii) are either (w) set forth in an Approved Capital Budget, (y) tenant improvements under an Approved Lease, (y) alterations that Borrower reasonably determines are necessary for the health and safety of the occupants of the Property, or (z) required by Legal Requirements. Borrower shall not perform any Material Alteration without Lender's prior written consent, which consent shall not be unreasonably withheld, conditioned or delayed; *provided, however*, that Lender may, in its sole and absolute discretion (other than alterations constituting Approved Initial CapEx performed in accordance with the Initial CapEx Budget), withhold or condition consent to any alteration the cost of which is reasonably estimated to exceed \$250,000.00. Lender may also, as a condition to giving its consent to a Material Alteration, require that Borrower deliver to Lender security for payment of the cost of such Material Alteration in an amount equal to the cost of the Material Alteration in excess of \$100,000, as estimated by Lender. Upon substantial completion of a Material Alteration, Borrower shall provide evidence reasonably satisfactory to Lender that (i) the Material Alteration was constructed in accordance with applicable Legal Requirements in all material respects and substantially in accordance with any plans and specifications approved by Lender (which approval shall not be unreasonably withheld, conditioned or delayed), (ii) all contractors, subcontractors, materialmen and professionals who provided work, materials or services in connection with the Material Alteration have been paid in full and have delivered unconditional releases of lien and (iii) all material Licenses necessary for the use, operation and occupancy of the Material Alteration have been issued. Additionally, Borrower shall obtain and deliver to Lender lien waivers (whether full, partial or conditional) from all contractors, subcontractors, materialmen and professionals providing work or services related to any Material Alteration permitted under this Section 5.4.2. Borrower shall reimburse Lender upon demand for all out-of-pocket costs and expenses (including the reasonable fees of Lender's Construction Consultant or any architect, engineer or other professional engaged by Lender) actually incurred by Lender in reviewing plans and specifications or in making any determinations necessary to implement the provisions of this Section 5.4.2.

5.5 Performance of Other Agreements. Borrower shall observe and perform each and every term to be observed or performed by it pursuant to the terms of the Loan Documents. Borrower shall observe and perform in all material respects each and every term to be observed or performed by it pursuant to the terms of any other material agreement or instrument affecting or pertaining to the Property

5.6 Cooperate in Legal Proceedings. Borrower shall reasonably cooperate with Lender with respect to, and permit Lender, at its option, to participate in, any proceedings before

any Governmental Authority which may in any way affect the rights of Lender under any Loan Document.

5.7 Further Assurances. Borrower shall, at Borrower's sole cost and expense, (i) execute and deliver to Lender such documents, instruments, certificates, assignments and other writings, and do such other acts necessary or desirable, to evidence, preserve and/or protect the collateral at any time securing or intended to secure the Debt and/or for the better and more effective carrying out of the intents and purposes of the Loan Documents, as Lender may reasonably require from time to time; (ii) provide all such information as Lender may require to ensure Borrower's ongoing compliance with Sections 5.26 and 5.31, including ensuring compliance with all "know your customer" procedures as Lender may from time-to-time institute with respect to loans that are of a similar size and nature as the Loan; and (iii) upon Lender's request therefor given from time to time after the occurrence and during the continuance of any monetary or material non-monetary Default or any Event of Default pay for (a) reports of UCC, federal tax lien, state tax lien, judgment and pending litigation searches with respect to Borrower and Sole Member and (b) searches of title to the Property, each such search to be conducted by search firms designated by Lender in each of the locations reasonably designated by Lender.

5.8 Environmental Matters.

5.8.1 Hazardous Substances. Borrower shall (i) keep the Property free from Hazardous Substances other than in De Minimis Amounts and otherwise in compliance with all Environmental Laws, (ii) promptly notify Lender if Borrower shall become aware that (A) any Hazardous Substance is on or reasonably anticipated to migrate onto the Property in violation of Environmental Laws, (B) the Property is in violation of any Environmental Laws or (C) any Hazardous Substance on or reasonably anticipated to migrate onto the Property shall pose a threat to the health, safety or welfare of humans and (iii) remove such Hazardous Substances and/or cure such violations and/or remove such threats, as applicable, as required by Environmental Law (or as shall be reasonably required by Lender in the case of removal which is not required by Environmental Law, but in response to the reasonable recommendations of a licensed hydrogeologist, licensed environmental engineer or other qualified environmental consulting firm engaged by Lender ("***Lender's Environmental Consultant***")), promptly after Borrower becomes aware of same, at Borrower's sole expense. Nothing herein shall prevent Borrower from recovering such expenses from any other party that may be liable for such removal or cure. Notwithstanding anything contained herein to the contrary, Borrower and tenants may use and store reasonable amounts of Hazardous Substances in De Minimis Amounts.

5.8.2 Environmental Monitoring.

(1) Borrower shall give prompt written notice to Lender after becoming aware of (i) any proceeding or inquiry by any party (including any Governmental Authority) with respect to the presence of any Hazardous Substance on, under, from or reasonably anticipated to migrate onto the Property, (ii) all claims made or threatened in writing by any third party (including any Governmental Authority) against Borrower or the Property or any party occupying the Property relating to any loss or injury resulting from any Hazardous Substance, and (iii) Borrower's discovery of any occurrence or condition on any real property adjoining or in the vicinity of the Property that could reasonably be expected to cause the Property to be subject to

any investigation or cleanup pursuant to any Environmental Law. Upon becoming aware of the presence of Toxic Mold at the Property, Borrower shall as recommended by a contractor approved by Lender (or if no contractor has been engaged Borrower shall) (i) undertake an investigation to identify the source(s) of such Toxic Mold and shall develop and implement an appropriate remediation plan to eliminate the presence of any Toxic Mold, (ii) perform or cause to be performed all acts reasonably necessary for the remediation of any Toxic Mold (including taking any action necessary to clean and disinfect any portions of the Property affected by Toxic Mold, including providing any necessary moisture control systems at the Property), and (iii) provide evidence reasonably satisfactory to Lender of the foregoing. Borrower shall permit Lender to join and participate in, as a party if it so elects, any legal or administrative proceedings or other actions initiated with respect to the Property in connection with any Environmental Law or Hazardous Substance, and, if an Event of Default is then continuing, Borrower shall pay all reasonable attorneys' fees and disbursements incurred by Lender in connection therewith.

(2) Lender may request and Borrower shall provide an inspection or audit of the Property prepared by a licensed hydrogeologist, licensed environmental engineer or qualified environmental consulting firm reasonably approved by Lender assessing the presence or absence of Hazardous Substances on, in or reasonably anticipated to migrate onto the Property in material violation of Environmental Laws (which inspection or audit shall not be required unless Lender has a good faith belief that there is a violation of Environmental Laws or a release of Hazardous Substances at the Property) and if Lender in its good faith judgment determines that reasonable cause exists for the performance of such environmental inspection or audit, then the cost and expense of such audit or inspection shall be paid by Borrower. Such inspections and audit may include soil borings and ground water monitoring at reasonable times and upon reasonable advance notice to Borrower. If Borrower fails to provide any such inspection or audit within thirty (30) days after such request, Lender may order same, and Borrower hereby grants to Lender and its employees and agents access to the Property and a license to undertake such inspection or audit at reasonable times and in a manner not to unreasonably interfere with operations at the Property or the rights of tenants under Approved Leases.

(3) If any environmental site assessment report prepared in connection with such inspection or audit recommends that an operations and maintenance plan be implemented for any Hazardous Substance, whether such Hazardous Substance existed prior to the ownership of the Property by Borrower, or presently exists or is reasonably suspected of existing, Borrower shall cause such operations and maintenance plan to be prepared and implemented at its expense upon request of Lender, and with respect to any Toxic Mold, Borrower shall take all action reasonably necessary to clean and disinfect any portions of the Improvements affected by Toxic Mold in or about the Improvements, including providing any necessary moisture control systems at the Property. If any investigation, site monitoring, containment, cleanup, removal, restoration or other work of any kind is reasonably necessary under an applicable Environmental Law ("**Remedial Work**"), Borrower shall commence all such Remedial Work within thirty (30) days after written demand by Lender and thereafter diligently prosecute to completion all such Remedial Work within such period of time as may be required under applicable Legal Requirements. All Remedial Work shall be performed by licensed contractors approved in advance by Lender (which approval shall not be unreasonably withheld) and under the supervision of a consulting engineer approved by Lender (which approval shall not be unreasonably withheld). All costs of such Remedial Work shall be paid by Borrower, including

Lender's reasonable attorneys' fees and disbursements incurred in connection with the monitoring or review of such Remedial Work. If Borrower does not timely commence and diligently prosecute to completion the Remedial Work, Lender may (but shall not be obligated to) cause such Remedial Work to be performed at Borrower's expense. Notwithstanding the foregoing, Borrower shall not be required to commence such Remedial Work within the above specified time period: (x) if prevented from doing so by any Governmental Authority, (y) if commencing such Remedial Work within such time period would result in Borrower or such Remedial Work violating any Environmental Law, or (z) if Borrower, at its expense and after prior written notice to Lender, is contesting by appropriate legal, administrative or other proceedings, conducted in good faith and with due diligence, the need to perform Remedial Work. Borrower shall have the right to contest the need to perform such Remedial Work, provided that, (1) Borrower is permitted by the applicable Environmental Laws to delay performance of the Remedial Work pending such proceedings, (2) neither the Property nor any part thereof or interest therein will be sold, forfeited or lost if Borrower fails to promptly perform the Remedial Work being contested, and if Borrower fails to prevail in contest, Borrower would thereafter have the opportunity to perform such Remedial Work, (3) Lender would not, by virtue of such permitted contest, be exposed to any risk of any civil liability for which Borrower has not furnished additional security as provided in clause (4) below, or to any risk of criminal liability, and neither the Property nor any interest therein would be subject to the imposition of any Lien for which Borrower has not furnished additional security as provided in clause (4) below, as a result of the failure to perform such Remedial Work and (4) Borrower shall have furnished to Lender additional security in respect of the Remedial Work being contested and the loss or damage that may result from Borrower's failure to prevail in such contest in such amount as may be reasonably requested by Lender but in no event more than 110% of the cost of such Remedial Work as reasonably estimated by Lender or Lender's Environmental Consultant and any loss or damage that may result from Borrower's failure to prevail in such contest.

(4) Borrower shall not install or permit to be installed on the Property any underground storage tank.

5.8.3 O & M Program. In the event any environmental report delivered to Lender in connection with the Loan recommends the development of or continued compliance with an operation and maintenance program for the Property (including, without limitation, with respect to the presence of asbestos and/or lead-based paint) ("***O & M Program***"), Borrower shall develop (or continue to comply with, as the case may be) such O & M Program and shall, during the term of the Loan, including any extension or renewal thereof, comply in all material respects with the terms and conditions of the O & M Program. Borrower shall not permit any such O & M Program to be amended, terminated, replaced or otherwise materially modified, in each case, without obtaining Lender's prior written consent thereto, not to be unreasonably withheld, conditioned or delayed. Without limiting the generality of the foregoing, Lender may require (a) periodic notices or reports in form, substance and at such intervals as Lender may reasonably specify, (b) an amendment to any O & M Program to address changing circumstances, laws or other matters, as reasonably determined by lender or Lender's Environmental Consultant, (c) at Borrower's sole cost and expense, supplemental examinations of the Property by consultants reasonably specified by Lender, (d) access to the Property during normal business hours after reasonable advance notice by Lender or its agents to review and assess the environmental condition of the Property and Borrower's compliance with any O & M Program and (e) variation of any O

& M Program in response to the reports provided by any such consultants.

5.9 Title to the Property. Borrower will warrant and defend the title to the Property, and the validity and priority of all Liens granted or otherwise given to Lender under the Loan Documents, subject only to Permitted Encumbrances, against the claims of all Persons.

5.10 Leases.

5.10.1 Generally. Subject to Borrower's rights otherwise set forth in this Section 5.10, Borrower shall not enter into any Lease or a proposed renewal, extension or modification of an existing Lease without the prior written consent of Lender. Notwithstanding the foregoing, so long as no Event of Default is continuing, Borrower may enter into an Approved Parameters Lease and may renew, extend or modify an Approved Parameters Lease if such renewal, extension or modification would not cause such Lease to fail to constitute an Approved Parameters Lease, in each case without Lender's prior written consent.

5.10.2 Additional Covenants with Respect to Leases. Borrower (i) shall observe and perform in all material respects the obligations imposed upon the lessor under the Leases in a commercially reasonable manner; (ii) shall promptly send copies to Lender of all material notices of monetary or material non-monetary default that Borrower shall send or receive under any Lease; (iii) shall enforce, in accordance with commercially reasonable practices for properties similar to the Property, the terms, covenants and conditions in the Leases to be observed or performed by the lessees; (iv) shall not collect any of the rents more than one (1) month in advance (other than security deposits); (v) shall not execute any other assignment of lessor's interest in the Leases or the rents (except as contemplated by the Loan Documents); (vi) shall not modify any Lease unless such Lease constitutes an Approved Parameters Lease prior to and following such modification and Borrower provides prompt written notice to Lender of the same; (vii) shall not convey or transfer or suffer or permit a conveyance or transfer of the Property so as to effect a merger of the estates and rights of, or a termination or diminution of the obligations of, lessees under Leases; (viii) shall promptly provide to Lender copies of all executed Leases and renewals thereof upon Lender's request therefor; and (ix) shall not cancel or terminate any Lease or accept a surrender thereof without the prior consent of Lender, except in a commercially reasonable manner (and in accordance with applicable Legal Requirements) after a default thereunder .

5.11 Estoppel Statement. After request by Lender, Borrower shall within ten (10) days furnish Lender with a statement addressed to Lender, its successors and assigns, duly acknowledged and certified, setting forth (i) the Principal, (ii) the Interest Rate, (iii) the date installments of interest and/or Principal were last paid, (iv) any offsets or defenses to the payment of the Debt, and (v) that the Loan Documents are valid, legal and binding obligations and have not been modified or if modified, giving particulars of such modification.

5.12 Property Management.

5.12.1 Management Agreement. Borrower shall (i) cause the Property to be managed pursuant to the Management Agreement; (ii) promptly perform and observe all of the covenants required to be performed and observed by it under the Management Agreement in all material respects and do all things necessary to preserve and to keep unimpaired its rights

thereunder; (iii) promptly notify Lender of any monetary or material non-monetary default under the Management Agreement of which it is aware; (iv) promptly deliver to Lender a copy of each financial statement, business plan, capital expenditure plan, and property improvement plan and any other material notice, report and estimate received by Borrower under the Management Agreement; and (v) promptly enforce, in Borrower's reasonable discretion, the performance and observance of all of the covenants required to be performed and observed by Manager under the Management Agreement. Without Lender's prior written consent (such consent not to be unreasonably withheld, conditioned or delayed), Borrower shall not (a) surrender, terminate, cancel, extend or renew the Management Agreement or otherwise replace Manager or enter into any other management agreement (except pursuant to Section 5.12.2 below); (b) reduce or consent to the reduction of the term of the Management Agreement; (c) materially increase or consent to the material increase of the amount of any charges under the Management Agreement; (d) otherwise modify, change, supplement, alter or amend in any material respect, or waive or release any of its rights and remedies under, the Management Agreement; or (e) suffer or permit the occurrence and continuance of a default beyond any applicable cure period under the Management Agreement (or any successor management agreement) if such default permits Manager to terminate the Management Agreement (or such successor management agreement).

5.12.2 Termination of Manager. If (i) an Event of Default shall be continuing, or (ii) Manager is in material default under the Management Agreement beyond the expiration of any applicable grace, notice and/or cure period, or (iii) Manager shall become a debtor in any bankruptcy or insolvency proceeding, or (iv) upon the gross negligence, malfeasance or willful misconduct of Manager as determined in good faith by Lender, or (v) upon the occurrence of a DSCR Cash Management Period, Borrower shall, at the request of Lender, terminate the Management Agreement and replace Manager with a replacement manager reasonably acceptable to Lender. Borrower's failure to appoint a reasonably acceptable manager within thirty (30) days after Lender's request of Borrower to terminate the Management Agreement shall constitute an Event of Default. Borrower may from time to time appoint a successor manager to manage the Property, provided that such successor manager and Management Agreement shall be approved in writing by Lender in Lender's reasonable discretion. If at any time Lender consents to the appointment of a new manager, such new manager and Borrower shall, as a condition of Lender's consent, execute an assignment and subordination of management agreement substantially in the form of the Assignment and Subordination of Property Management Agreement of even date herewith executed and delivered by Manager to Lender.

5.13 Special Purpose Entity. Borrower shall at all times be a Special Purpose Entity. Neither Borrower nor any of its direct or indirect members shall directly or indirectly make any change, amendment or modification to Borrower's organizational documents or otherwise take any action which would result in Borrower not being a Special Purpose Entity. A "*Special Purpose Entity*" shall have the meaning set forth on Exhibit C hereto.

5.14 Intentionally Omitted.

5.15 Change in Business or Operation of Property. Borrower shall not purchase or own any real property other than the Property and shall not enter into any line of business other than the ownership and operation of the Property for the Permitted Use, or otherwise cease to operate the Property for the Permitted Use or terminate such business for any reason whatsoever

(other than temporary cessation in connection with renovations to the Property in accordance with the terms of this Agreement).

5.16 Debt Cancellation. Borrower shall not cancel or otherwise forgive or release any claim or debt (other than termination of Leases in accordance herewith) owed to Borrower by any Person, unless in exchange for adequate consideration, in the ordinary course of Borrower's business, and all such claims or debt are in the aggregate equal to or less than one percent (1%) of Operating Revenues for the twelve (12) calendar months most recently ending.

5.17 Affiliate Transactions. Borrower shall not enter into, or be a party to, any transaction with an Affiliate of Borrower or any of the members of Borrower except in the ordinary course of business and on terms which are fully disclosed to Lender in advance and are no less favorable to Borrower or such Affiliate than would be obtained in a comparable arm's-length transaction with an unrelated third party.

5.18 Zoning. Borrower shall not initiate or consent to any zoning reclassification of any portion of the Property or seek any variance under any existing zoning ordinance or use or permit the use of any portion of the Property in any manner that could result in such use becoming a non-conforming use under any zoning ordinance or any other applicable land use law, rule or regulation, without the express prior written consent of Lender.

5.19 No Joint Assessment. Borrower shall not suffer, permit or initiate the joint assessment of the Property (i) with any other real property constituting a tax lot separate from the Property, and (ii) with any portion of the Property which may be deemed to constitute personal property, or any other procedure whereby the lien of any taxes which may be levied against such personal property shall be assessed or levied or charged to the Property.

5.20 Principal Place of Business. Borrower shall not change its principal place of business or chief executive office without first giving Lender thirty (30) days' prior notice.

5.21 Change of Name, Identity or Structure . Borrower shall not change its name, identity (including its trade name or names) or Borrower's corporate, partnership or other structure without notifying Lender of such change in writing at least thirty (30) days prior to the effective date of such change and, in the case of a change in Borrower's structure, without first obtaining the prior written consent of Lender. Borrower shall execute and deliver to Lender, prior to or contemporaneously with the effective date of any such change, any financing statement or financing statement change required by Lender to establish or maintain the validity, perfection and priority of the security interest granted herein. At the request of Lender, Borrower shall execute a certificate in form reasonably satisfactory to Lender listing the trade names under which Borrower intends to operate the Property, and representing and warranting that Borrower does business under no other trade name with respect to the Property.

5.22 Indebtedness. Borrower shall not directly or indirectly create, incur or assume any indebtedness other than (i) the Debt and (ii) unsecured trade payables or operational debt incurred in the ordinary course of business relating to the ownership and operation of the Property, which in the case of such unsecured trade payables and operational debt (A) are not evidenced by a note and (B) either (x) do not exceed in the aggregate, at any time, two percent (2%) of the maximum

principal balance of the Loan and are paid within sixty (60) days of the date due or (y) are costs of Required Repairs or Approved Initial CapEx incurred and paid in accordance with the terms of this Agreement (collectively, “*Permitted Indebtedness*”).

5.23 Licenses; Intellectual Property; Website.

5.23.1 Licenses. Borrower shall not Transfer any License required for the operation of the Property.

5.23.2 Intellectual Property. All Intellectual Property relating to the use or operation of the Property shall be held by and (if applicable) registered in the name of Borrower. Borrower shall not Transfer or let lapse any such Intellectual Property without Lender’s prior consent.

5.23.3 Website. Any website with respect to the Property (other than tenant websites) shall be maintained by or on behalf of Borrower and any such website shall be registered in the name of Borrower. Borrower shall not Transfer any such website without Lender’s prior consent.

5.24 Compliance with Restrictive Covenants, Etc. Borrower will not enter into any restrictive covenants, Operations Agreements or Easements, or modify, waive, release, terminate or replace any Easements, restrictive covenants or Operations Agreements, or suffer, consent to or permit the foregoing, without Lender’s prior written consent, which consent shall not be unreasonably withheld, conditioned or delayed.

5.25 ERISA.

(1) No Borrower Party shall engage in any transaction which would cause any obligation, or action taken or to be taken, hereunder (or the exercise by Lender of any of its rights under the Note, this Agreement or the other Loan Documents) to be a non-exempt (under a statutory or administrative class exemption) prohibited transaction under ERISA.

(2) No Borrower Party shall maintain, sponsor, contribute to or become obligated to contribute to, or suffer or permit any ERISA Affiliate to maintain, sponsor, contribute to or become obligated to contribute to, any Plan or any Welfare Plan. Borrower shall not permit the assets of any Borrower Party to become “plan assets,” whether by operation of law or under regulations promulgated under ERISA.

(3) Borrower shall deliver to Lender such certifications or other evidence from time to time throughout the Term, as requested by Lender in its sole discretion, that (A) no Borrower Party or any ERISA Affiliate is or maintains a Multiemployer Plan or an “employee benefit plan” as defined in Section 3(3) of ERISA, which is subject to Title I of ERISA, or is a “plan” under as defined in Section 4975(e)(1) of the Code which is subject to Section 4975 of the Code, or is a “governmental plan” within the meaning of Section 3(32) of ERISA; (B) no Borrower Party is subject to state statutes regulating investments and fiduciary obligations with respect to governmental plans; and (C) the assets of each Borrower Party do not constitute “plan assets” within the meaning of 29 C.F.R. Section 2510.3-101.

(4) Borrower shall deliver to Lender promptly, and in any event within ten (10) Business Days after receipt thereof by any Borrower Party or any ERISA Affiliate from a Multiemployer Plan or sponsor of a Multiemployer Plan, a copy of each notice received by any Borrower Party or ERISA Affiliate concerning (i) the imposition of Withdrawal Liability by a Multiemployer Plan or any other liability under Title IV of ERISA, (ii) the determination that a Multiemployer Plan is, or is expected to be, insolvent within the meaning of Title IV of ERISA, (iii) the termination of a Multiemployer Plan within the meaning of Title IV of ERISA, in each case, together with the amount of liability incurred by such Borrower Party or ERISA Affiliate in connection with any event described in the foregoing clauses (i), (ii) or (iii), and the action Borrower proposes be taken with respect to the same. Borrower shall not (and shall cause each other Borrower Party or ERISA Affiliate not to) waive any of its respective rights under ERISA with respect to such liability (including any Withdrawal Liability) or otherwise enter into any settlement or compromise with respect to any such liability (including any Withdrawal Liability) without Lender's consent, not to be unreasonably withheld, conditioned or delayed.

5.26 Transfers. Borrower shall not directly or indirectly make, suffer or permit the occurrence of any Transfer other than a Permitted Transfer without the express prior written consent of Lender, which consent may be given or withheld in Lender's sole discretion. Promptly upon the occurrence of any Permitted Transfer (unless such Permitted Transfer must be to a Vetted Transferee, in which case, not less than twenty (20) days prior to such Transfer), Borrower shall provide Lender (or shall cause the proposed transferee to provide Lender) with copies of all organizational documents of any transferee that owns, directly or indirectly, 20% or more of the equity interests in Borrower. Borrower shall pay within ten (10) days of demand all of the out-of-pocket costs and expenses incurred by Lender, including reasonable attorneys' fees and expenses.

5.27 Liens. Without Lender's prior written consent, Borrower shall not create, incur, assume, permit or suffer to exist any Lien on all or any portion of the Property or any direct or indirect legal or beneficial ownership interest in Borrower or Sole Member, except Liens in favor of Lender and Permitted Encumbrances. Notwithstanding the foregoing, after prior notice to Lender, Borrower, at its own expense, may contest by appropriate legal proceeding, promptly initiated and conducted in good faith and with due diligence, the amount or validity of any Lien filed against the Property, provided that (i) no monetary or material non-monetary Default, and no Event of Default, has occurred and is continuing, (ii) such proceeding shall suspend the collection of the Lien or Borrower shall have paid Lien being contested or posted a statutory bond sufficient under applicable Legal Requirements to fully protect the Property encumbered by such claim of Lien, (iii) such proceeding shall be permitted under and be conducted in accordance with the provisions of any other instrument to which Borrower is subject and shall not constitute a default thereunder, (iv) no part of or interest in the Property will be in danger of being sold, forfeited, terminated, canceled or lost, (v) as security for the payment of such Lien, Borrower shall deposit with Lender adequate reserves to insure the payment of any such Lien, together with all interest and penalties thereon, as reasonably determined by Lender, which shall not be less than 110% of the Lien being contested, and (vi) Borrower shall promptly upon final determination thereof pay the amount of such Lien, together with all costs, interest and penalties. Lender may pay over any such security or part thereof held by Lender to the claimant entitled thereto at any time when, in the reasonable judgment of Lender, the entitlement of such claimant is established.

5.28 Dissolution. Borrower shall not to the fullest extent permitted by law, engage in

any dissolution, liquidation or consolidation or merger with or into any other business entity, engage in any business activity not related to the ownership and operation of the Property or transfer, lease or sell, in one transaction or any combination of transactions, all or substantially all of the property or assets of Borrower except to the extent expressly permitted by the Loan Documents.

5.29 Expenses.

(1) Borrower shall reimburse Lender within ten (10) days after receipt of notice for the following (collectively “***Loan Expenses***”) all out-of-pocket costs and expenses (including reasonable attorneys’ fees and disbursements) incurred by Lender or Servicer in connection with the Loan, including (i) the preparation, negotiation, execution and delivery of the Loan Documents and the consummation of the transactions contemplated thereby and all the costs of furnishing all opinions by counsel for Borrower; (ii) Borrower’s and Lender’s ongoing performance under and compliance with the Loan Documents, including confirming compliance with environmental and insurance requirements; (iii) the negotiation, preparation, execution, delivery and administration of any consents, amendments, waivers or other modifications of or under any Loan Document and any other documents or matters reasonably requested by Lender or requested by Borrower; (iv) filing and recording of any Loan Documents; (v) title insurance, surveys, inspections and appraisals; (vi) the creation, perfection or protection of Lender’s Liens in the Property and the Cash Management Accounts (including fees and expenses for title and lien searches, intangibles taxes, personal property taxes, mortgage recording taxes, due diligence expenses, travel expenses, accounting firm fees, costs of appraisals, environmental reports and Lender’s Environmental Consultant, surveys and engineering reports); (vii) enforcing or preserving any rights in response to third party claims or the prosecuting or defending of any action or proceeding or other litigation, in each case against, under or affecting Borrower, the Loan Documents, the Property, or any other security given for the Loan; (viii) fees charged by Servicer in connection with the servicing of the Loan or any modification thereof; and (ix) enforcing any obligations of or collecting any payments due from Borrower under any Loan Document or with respect to the Property or in connection with any refinancing or restructuring of the Loan in the nature of a “work-out”, or any insolvency or bankruptcy proceedings.

(2) Any costs and expenses due and payable by Borrower hereunder which are not paid by Borrower within ten (10) days after demand may be paid by Lender from any amounts in the Clearing Account or Lender Account, with notice thereof to Borrower. The obligations and liabilities of Borrower under this Section 5.29 shall survive the Term and the exercise by Lender of any of its rights or remedies under the Loan Documents, including the acquisition of the Property by foreclosure or a conveyance in lieu of foreclosure.

5.30 Indemnity. Borrower shall defend, indemnify and hold harmless Lender and each of its Affiliates and their respective successors and assigns, including the directors, officers, partners, members, shareholders and agents of any of the foregoing (including any Servicer) and each other Person, if any, who Controls Lender, its Affiliates or any of the foregoing (each, an “***Indemnified Party***”), from and against any and all liabilities, obligations, losses, damages, (excluding consequential damages, except to the extent such consequential damages are payable as a result of a third-party claim), penalties, actions, judgments, suits, claims, costs, expenses and disbursements of any kind or nature whatsoever (including the reasonable fees and disbursements

of counsel for an Indemnified Party in connection with any investigative, administrative or judicial proceeding commenced or threatened, whether or not Lender shall be designated a party thereto, court costs and costs of appeal at all appellate levels, investigation and laboratory fees, consultant fees and litigation expenses), that may be imposed on, incurred by, or asserted against any Indemnified Party (collectively, the “**Indemnified Liabilities**”) in any manner, relating to or arising out of or by reason of the Loan, including: (i) any breach by Borrower of its obligations under, or any misrepresentation by Borrower contained in, any Loan Document; (ii) the use or intended use of the proceeds of the Loan; (iii) any information provided by or on behalf of Borrower, or contained in any documentation approved by Borrower; (iv) ownership of the Security Instrument, the Property or any interest therein, or receipt of any Gross Revenues; (v) any accident, injury to or death of persons or loss of or damage to property occurring in, on or about the Property or on the adjoining sidewalks, curbs, adjacent property or adjacent parking areas, streets or ways; (vi) any use, nonuse or condition in, on or about the Property or on adjoining sidewalks, curbs, adjacent property or adjacent parking areas, streets or ways; (vii) performance of any labor or services or the furnishing of any materials or other property in respect of the Property; (viii) the presence, disposal, escape, seepage, leakage, spillage, discharge, emission, release, or threatened release of any Hazardous Substance on, from or affecting the Property; (ix) any personal injury (including wrongful death) or property damage (real or personal) arising out of or related to such Hazardous Substance; (x) any lawsuit brought or threatened, settlement reached, or government order relating to such Hazardous Substance; (xi) any violation of the Environmental Laws which is based upon or in any way related to such Hazardous Substance, including the costs and expenses of any Remedial Work; (xii) any failure of the Property to comply with any Legal Requirement; (xiii) any claim by brokers, finders or similar persons claiming to be entitled to a commission in connection with any Lease or other transaction involving the Property or any part thereof, or any liability asserted against Lender with respect thereto; and (xiv) the claims of any lessee of any portion of the Property or any Person acting through or under any lessee or otherwise arising under or as a consequence of any Lease; *provided, however*, that Borrower shall not have any obligation to any Indemnified Party hereunder to the extent that it is finally judicially determined that such Indemnified Liabilities arise from the gross negligence, illegal acts, fraud or willful misconduct of any Indemnified Party. Any amounts payable to any Indemnified Party by reason of the application of this paragraph shall be payable on demand and shall bear interest at the Default Rate from the date loss or damage is sustained by any Indemnified Party until paid. The obligations and liabilities of Borrower under this Section 5.30 shall survive the Term and the exercise by Lender of any of its rights or remedies under the Loan Documents, including the acquisition of the Property by foreclosure or a conveyance in lieu of foreclosure.

5.31 Patriot Act Compliance.

(1) Borrower shall comply with the Patriot Act (as defined below) and all applicable requirements of Governmental Authorities having jurisdiction over Borrower and the Property, including those relating to money laundering and terrorism. Lender shall have the right, from time to time, to audit Borrower’s compliance with the Patriot Act and all applicable requirements of Governmental Authorities having jurisdiction over Borrower and the Property, including those relating to money laundering and terrorism. In the event that Borrower fails to comply with the Patriot Act or any such requirements of Governmental Authorities, then Lender may, at its option, cause Borrower to comply therewith and any and all costs and expenses incurred by Lender in connection therewith shall be secured by the Security Instrument and the other Loan

Documents and shall be due and payable within ten (10) days of written demand. For purposes hereof, the term “**Patriot Act**” means the Uniting and Strengthening America by Providing Appropriate Tools Required to Intercept and Obstruct Terrorism (USA PATRIOT ACT) Act of 2001, as the same was restored and amended by Uniting and Strengthening America by Fulfilling Rights and Ensuring Effective Discipline Over Monitoring Act (USA FREEDOM Act) of 2015, and as the same may be amended from time to time, and corresponding provisions of future laws.

(2) Neither Borrower nor any partner in Borrower or member of such partner nor, to Borrower’s knowledge, any owner of a direct or indirect interest in Borrower (a) is listed on any Government Lists (as defined below), (b) is a person who has been determined by competent authority to be subject to the prohibitions contained in Presidential Executive Order No. 13224 (Sept. 23, 2001) or any other similar prohibitions contained in the rules and regulations of OFAC (as defined below) or in any enabling legislation or other Presidential Executive Orders in respect thereof, (c) has been previously indicted for or convicted of any felony involving a crime or crimes of moral turpitude or for any Patriot Act Offense (as defined below), or (d) is currently under investigation by any Governmental Authority for alleged criminal activity. For purposes hereof, the term “**Patriot Act Offense**” means any violation of the criminal laws of the United States of America or of any of the several states, or that would be a criminal violation if committed within the jurisdiction of the United States of America or any of the several states, relating to terrorism or the laundering of monetary instruments, including any offense under (a) the criminal laws against terrorism; (b) the criminal laws against money laundering, (c) the Bank Secrecy Act, as amended, (d) the Money Laundering Control Act of 1986, as amended, or the (e) Patriot Act. “Patriot Act Offense” also includes the crimes of conspiracy to commit, or aiding and abetting another to commit, a Patriot Act Offense. For purposes hereof, the term “**Government Lists**” means (i) the Specially Designated Nationals and Blocked Persons Lists maintained by Office of Foreign Assets Control (“**OFAC**”), (ii) any other list of terrorists, terrorist organizations or narcotics traffickers maintained pursuant to any of the Rules and Regulations of OFAC that Lender notified Borrower in writing is now included in “Governmental Lists”, or (iii) any similar lists maintained by the United States Department of State, the United States Department of Commerce or any other government authority or pursuant to any Executive Order of the President of the United States of America that Lender notified Borrower in writing is now included in “Governmental Lists”.

(3) At all times throughout the term of the Loan, including after giving effect to any Transfers permitted pursuant to the Loan Documents, (a) none of the funds or other assets of Borrower, Sole Member or Guarantor shall constitute property of, or shall be beneficially owned, directly or indirectly, by any Person subject to trade restrictions under United States law, including, but not limited to, the International Emergency Economic Powers Act, 50 U.S.C. §§ 1701 et seq., The Trading with the Enemy Act, 50 U.S.C. App. 1 et seq., and any Executive Orders or regulations promulgated thereunder, with the result that the investment in Borrower, Sole Member or Guarantor, as applicable (whether directly or indirectly), would be prohibited by law (each, an “**Embargoed Person**”), or the Loan made by Lender would be in violation of law, (b) no Embargoed Person shall have any interest of any nature whatsoever in Borrower, Sole Member or Guarantor, as applicable, with the result that the investment in Borrower, Sole Member or Guarantor, as applicable (whether directly or indirectly), would be prohibited by law or the Loan would be in violation of law, and (c) none of the funds of Borrower, Sole Member or Guarantor, as applicable, shall be derived from any unlawful activity with the result that the investment in Borrower, Sole Member or Guarantor, as applicable (whether directly or indirectly), would be

prohibited by law or the Loan would be in violation of law.

5.32 Major Contracts. Borrower shall not, without Lender's prior consent (such consent not to be unreasonably withheld, conditioned or delayed): (a) enter into, surrender or terminate any Major Contract to which Borrower is a party or to which Borrower or the Property is subject (provided that Borrower may terminate a Major Contract if the other party thereto is in default and the termination of such agreement would be commercially reasonable); (b) increase or consent to the increase of the amount of any charges under any Major Contract to which it is a party or to which Borrower or the Property is subject, except as provided therein or on an arm's-length basis and commercially reasonable terms in the ordinary course of business; or (c) otherwise modify, change, supplement, alter or amend, or waive or release any of its rights and remedies under any Major Contract, in any material respect, except on an arm's-length basis and commercially reasonable terms in the ordinary course of business. Borrower shall give Lender prompt written notice of any of the foregoing which are permitted to be undertaken without Lender's prior consent.

5.33 Loan to Value Ratio. Borrower shall not permit the Loan to Value Ratio, at any time, to be greater than eighty-five percent (85%), as determined by Acceptable Appraisals. Lender shall have the right, from time to time (but not more than once annually pursuant to this Section 5.33), to order a new Acceptable Appraisal at Borrower's expense for the purpose of calculating the Loan to Value Ratio. Borrower shall notify Lender in writing if Borrower becomes aware that the Loan to Value Ratio is greater than eighty-five percent (85%) (provided that Lender has not provided written notice of the same to Borrower), and, so long as no Event of Default then exists, Borrower shall have ten (10) Business Days from the date of such notice (or the date upon which Lender provides notice to Borrower) to make a partial prepayment of Principal to Lender in the amount necessary, as determined by Lender, to cause the Loan to Value Ratio to be equal to eighty-five percent (85%).

5.34 Distributions. Borrower shall only make Distributions from Excess Cash Flow; provided that Borrower shall not make any Distributions during the Term while any Cash Management Period, any monetary or material non-monetary Default or any Event of Default is continuing; and provided, further, that until such time as the work set forth in the Initial CapEx Budget has been Completed in accordance with the requirements of this Agreement, Borrower shall not make any Distributions unless Borrower has first demonstrated to Lender's reasonable satisfaction that available cash reserves then held by Borrower for Completion of the Approved Initial CapEx are not less than (and, following such Distribution, will not be less than) the remaining Additional Borrower Equity.

5.35 Payment Processors. In no event shall any Borrower Party send a notice or provide an instruction to all or any of the payment processors to direct, disburse or distribute funds to any account other than the Clearing Account or Lender Account, as applicable and in accordance with the provisions set forth in Section 3.2 hereof.

5.36 Loan In Balance. Notwithstanding anything to the contrary contained in this Agreement, Borrower shall ensure that the Loan is at all times In Balance as reasonably determined by Lender, and Lender shall have no obligation to make any advances or disbursements from Reserves during any period when the Loan is not In Balance. To the extent, from time to time,

that the Loan is not In Balance, Borrower shall make, or cause to be made, within ten (10) Business Days of receipt of written notice from Lender, an additional cash equity contribution in the amount determined by Lender to be necessary to cause the Loan to be In Balance, such amount to be paid over to Lender. All cash equity paid to Lender pursuant to this Section 5.36 shall be held in a funded Reserve and disbursed for payment of costs of Approved Initial CapEx in the same manner as, and upon satisfaction of the conditions to, advances from the Initial CapEx Reserve; provided, however, that Lender shall disburse such proceeds prior to making further advances of Loan proceeds from the Initial CapEx Reserve.

5.37 Capital Improvements.

(1) Prior to commencing the work contemplated by the Initial CapEx Budget, Borrower shall submit for Lender's approval such approval not to be unreasonably withheld, conditioned or delayed (x) proposed Initial CapEx Approved Plans and Specifications addressing the Initial CapEx Proposed Scope of Work, which submission shall be accompanied by evidence reasonably acceptable to Lender that such proposed Initial CapEx Approved Plans and Specifications comply with all Legal Requirements in all material respects (including, without limitation, a certificate of Borrower's architect with respect to the same in form and substance reasonably acceptable to Lender), (y) a proposed construction contract with a general contractor reasonably acceptable to Lender and (z) a revised version of the Initial CapEx Budget (consistent with the Initial CapEx Budget, but showing with greater particularity (by further breaking down individual line items into their respective component line items) the anticipated cost to complete the Approved Initial CapEx). Borrower shall obtain Lender's approval of the Initial CapEx Approved Plans and Specifications and proposed construction contract and commence the performance of the work contemplated by the Initial CapEx Budget in accordance with such Initial CapEx Approved Plans and Specifications no later than the Commencement Date. Upon Lender's written approval of the proposed Initial CapEx Approved Plans and Specifications and the proposed construction contract, Borrower shall cause the work set forth in the Initial CapEx Budget to be diligently prosecuted until Completed, and to be Completed in its entirety by the Completion Date in accordance with the Initial CapEx Approved Plans and Specifications and all Legal Requirements in all material respects. Borrower shall cause all work commenced to be prosecuted with diligence and continuity in a good and workmanlike manner in accordance with applicable Legal Requirements until Completed. Commencing with the first calendar month following commencement of such work, Borrower shall provide Lender with a monthly report (in form and substance reasonably satisfactory to Lender) on the progress and status of such work, no later than the fifteen (15th) day of the next succeeding calendar month. Lender reserves the right to use Lender's Construction Consultant in connection with the approval and ongoing monitoring of all such proposed plans and specifications and capital improvement work contemplated by this Section 5.37. Time is of the essence as to Borrower's obligations under this Section 5.37.

(2) Notwithstanding the foregoing to the contrary, provided no Event of Default has occurred and is continuing:

(a) if Borrower shall demonstrate to Lender's reasonable satisfaction that a cost savings has actually been realized with respect to any line item in the Initial CapEx Budget, Borrower may reallocate such cost savings to the contingency line item set forth in the

Initial CapEx Budget without the prior written consent to Lender, but upon prior written notice to Lender;

(b) so long as Borrower provides prior written notice of the same to Lender, Lender's prior written approval shall not be required for any amendments or modifications of the Initial CapEx Approved Plans and Specifications (and accompanying changes to the Initial CapEx Budget) so long as each of the following conditions are satisfied: (x) such amendments or modifications (in the aggregate with any such prior amendments or modifications undertaken without Lender's prior written approval) would not result in the anticipated costs to be incurred under any line item of the Initial CapEx Budget being revised by more than the lesser of (i) ten percent (10%) of such line item or (ii) \$175,000.00, and (y) Borrower has complied with any resulting obligation under Section 5.36 to provide cash equity such that the Loan remains In Balance; and

(c) Borrower may reallocate the contingency set for in the Initial CapEx Budget to any other line item in the Initial CapEx Budget without Lender's prior written consent but upon prior written notice to Lender so long as: (x) the remaining contingency after such reallocation exceeds four percent (4%) of the total costs remaining to be spent in all other non-contingency line items of the Initial CapEx Budget and (y) Borrower shall not reallocate in excess of \$50,000 in the aggregate to any particular line item.

5.38 Interest Rate Hedge. Borrower shall cause an Interest Rate Protection Agreement, subject to a collateral assignment of such agreement to Lender, to be effective at all times for all Loan proceeds advanced pursuant to this Agreement.

5.39 Purchase and Sale Agreement. Borrower shall promptly deliver to Lender a copy of any notice received by it or delivered by it under the Purchase and Sale Agreement. Borrower shall not, without Lender's prior consent, terminate the Purchase and Sale Agreement or otherwise modify, change, supplement, alter or amend, or waive or release in writing any of its rights and remedies under, the Purchase and Sale Agreement in any material respect.

5.40 Additional Construction Covenants. Borrower hereby covenants and agrees with Lender that it will promptly comply with each of the following:

(1) Payment of Costs. Borrower shall pay all costs and expenses required for completion of the work contemplated by the Initial CapEx Budget as incurred, and shall only seek advances from Lender under Section 3.3.3 hereof for such costs.

(2) Compliance with Law. Borrower shall at all times maintain and comply with the terms and provisions of all Legal Requirements required for the construction, development and operation of the Property in accordance with the Permitted Use. Borrower shall notify Lender in writing within three (3) Business Days after Borrower first receives notice of any such non-compliance. As any construction progresses on the Property, Borrower shall promptly obtain such Licenses as and when they become available (and in any event before commencing any work requiring the issuance of any such License).

(3) Certain Materials to be Submitted. Upon Lender's request, Borrower shall deliver to Lender copies of all contracts, bills of sale, statements, receipted

vouchers or agreements under which Borrower claims title to any materials, fixtures or articles incorporated in the Property or otherwise subject to the lien of the Security Instrument, or under which it has incurred costs for which it is entitled to an advance of proceeds under Section 3.3.3 hereof, and deliver to Lender such other data or documents in connection with the work being performed by Borrower at the Property as Lender may from time to time reasonably request.

(4) Correction of Defects and Departures from the Plans. Upon written demand of Lender or Lender's Construction Consultant, Borrower shall correct any defects (including structural defects) in the Approved Initial CapEx or any material departures from the Initial CapEx Approved Plans and Specifications not otherwise approved by Lender.

(5) Security of Site. Borrower shall employ commercially reasonable means to protect from theft or vandalism all unoccupied portions of the Property under construction by Borrower and all tools and building materials stored thereon in connection therewith.

(6) Construction Contracts. Borrower shall perform and observe in all material respects and in a timely manner each and all material covenants, conditions, obligations and agreements on the part of Borrower to be performed or observed under each contract, architect or engineer's agreement relating to the Approved Initial CapEx (in each case, once entered into in accordance with the terms hereof, if not in place as of the Closing Date); provided, however, that Borrower shall be permitted to withhold payments in connection with any dispute with a contractor, engineer or architect if withholding such payment does not result in the cessation of construction for any material amount of time, result in any liens being recorded against the Property that are not timely discharged or bonded over as required under this Agreement, or in any way materially and adversely affect Lender's security interest in the Property. Borrower shall not waive, excuse, condone or in any manner release or discharge any contractor, engineer or architect from any material covenants, conditions, obligations or agreements to be performed or observed by such contractor, engineer or architect in respect of the Approved Initial CapEx, but shall, at its sole cost and expense, enforce in a commercially reasonable manner of all material covenants, conditions, obligations and agreements to be performed or observed by such contractor, engineer or architect pursuant to its applicable construction contract, the engineer's contract or architect's agreement. Borrower shall not alter, amend or change in any material respect, or terminate or cancel any such construction contract, the engineer's contract or architect's agreement relating to the Approved Initial CapEx, without obtaining Lender's prior written consent (not to be unreasonably withheld, conditioned or delayed). Notwithstanding the foregoing, Borrower shall have the right to (i) modify any construction contract to reflect changes in the Initial CapEx Approved Plans and Specifications to the extent such changes are permitted hereunder, and (ii) terminate any construction contract, engineer's contract or architect's agreement in the event of a material default thereunder (other than a default by Borrower), provided that any replacement is first approved by Lender (such approval not to be unreasonably withheld, conditioned or delayed), if Lender's approval was required hereunder with respect to the terminated contract or agreement. Borrower shall send to Lender any written notice of material default or breach of or under any such construction contract, engineer's contract or architect's agreement that Borrower either sends to (such notice to Lender to be sent concurrently therewith) or receives from (such notice to Lender to be sent promptly upon receipt by Borrower thereof) such contractor, engineer or architect performing work in respect of the Approved Initial CapEx. Lender reserves the right to use the

services of Lender's Construction Consultant in connection with its review and approval of any of the matters set forth in this Section 5.40 and Borrower shall pay the reasonable fees of such Lender's Construction Consultant in connection therewith.

(7) Lender's Diligence. Lender's acceptance of the Initial CapEx Approved Plans and Specifications, any architect's agreement, construction or engineer's contract, each of the other subcontracts, bonds and other construction documents (including Lender's acceptance of any modifications thereof and any Person providing work, labor or services pursuant thereto) shall not be deemed in any respect a representation or warranty, express or implied, that the Improvements will be structurally sound, have a value of any particular magnitude or otherwise satisfy a particular standard, and Lender shall have no duty to inform Borrower of Lender's assessment of any such construction document.

(8) Rights of Inspection. Lender, through its officers, agents and employees, shall have the right at all reasonable times, on reasonable prior notice so long as no Event of Default is continuing, (i) to enter upon the Property and inspect the work of construction and (ii) to examine, copy and make extracts of the books, records, accounting data and other documents pertaining to the Property, and Borrower will reasonably cooperate, and use reasonable efforts to cause its contractors to reasonably cooperate, with Lender and its representatives and consultants in connection with the same. Notwithstanding the foregoing or anything to the contrary set forth in the Loan Documents, it is expressly understood and agreed that Lender is under no duty to supervise or to inspect the work of construction, and that any such inspection by or on behalf of Lender is for the sole purpose of protecting the interests of Lender with respect to the Property. Failure to inspect the work or any part thereof shall not constitute a waiver of any of Lender's rights hereunder or under the other Loan Documents. Inspection not followed by notice of Default shall not constitute a waiver of any Default then existing; nor shall it constitute an acknowledgment that there has been or will be compliance with the Initial CapEx Approved Plans and Specifications or applicable Legal Requirements or that the construction is free from defective materials or workmanship. It is further understood and agreed that any consents or approvals of Lender hereunder are for the sole purpose of protecting the interests of Lender under the Loan Documents and Borrower shall have no right to rely on such approvals for Borrower's purposes.

6. NOTICES AND REPORTING

6.1 Notices. All notices, consents, approvals, demands and requests required or permitted hereunder or under any other Loan Document (a "***Notice***") shall be given in writing and shall be effective for all purposes if either hand delivered with receipt acknowledged, or by a nationally recognized overnight delivery service (such as Federal Express), or by certified or registered United States mail, return receipt requested, postage prepaid, or by email, provided that the recipient has acknowledged receipt by telephone and that a copy of such notice is sent concurrently by the other methods provided in this Section, in each case addressed as follows (or to such other address or Person as a party shall designate from time to time by notice to the other party):

If to Lender:

ACM CRE Fund I-L, LP
Attn: Gabriel Boyar
452 Fifth Avenue, 29th Floor
New York, NY 10018
E-mail: CREnotice@amherstcapital.com

with copies to:

ACM CRE Fund I-L, LP
Attn: David Skoien
5001 Plaza on the Lake, Suite 200
Austin, Texas 78746
E-mail: dskoien@amherst.com

and to:

Kramer Levin Naftalis & Frankel LLP
1177 Avenue of the Americas
New York, New York 10036
Attention: Justin R. Quinn, Esq.
E-mail: jquinn@kramerlevin.com

If to Borrower:

TIDES ON BOCA RATON NORTH OWNER, LLC
c/o Tides Equities, LLC
11726 San Vicente Boulevard, Suite 660
Los Angeles, California 90049
Attention: Ryan Andrade and Sean Kia
Email: randrade@tidesequities.com and skia@tidesequities.com

with a copy to:

TIDES ON BOCA RATON NORTH OWNER, LLC
c/o Tides Equities, LLC
11726 San Vicente Boulevard, Suite 660
Los Angeles, California 90049
Attention: Brien R. Kelley, Esq.
Email: legal@tidesequities.com

A Notice shall be deemed to have been given: in the case of hand delivery, at the time of delivery; in the case of registered or certified mail, when delivered or the first attempted delivery on a Business Day; in the case of overnight delivery, upon the first attempted delivery on a Business Day; or in the case of email, one (1) Business Day after delivery. Any notice party may amend, update or revise its notice address by sending written notice on its letterhead to all notice (and copy to) parties identified above.

6.2 Borrower Notices and Deliveries. Borrower shall (a) give prompt written notice to Lender of: (i) any litigation, governmental proceedings or claims or investigations pending or threatened (in writing) against Borrower or Sole Member which could reasonably be expected to materially adversely affect Borrower's or Sole Member's condition (financial or otherwise) or business or the Property; (ii) any material adverse change in Borrower's or Sole Member's condition, financial or otherwise, or of the occurrence of any Default or Event of Default of which Borrower has knowledge; and (b) furnish and provide to Lender: (i) any Securities and Exchange Commission or other public filings, if any, of Borrower, Sole Member or any Affiliate of any of the foregoing within two (2) Business Days of such filing and (ii) to the extent within Borrower's possession or control, all instruments, documents, boundary surveys, footing or foundation surveys, certificates, plans and specifications, appraisals, title and other insurance reports and agreements, reasonably requested, from time to time, by Lender. In addition, after request by Lender (but no more frequently than once in any year unless necessary in connection with a Secondary Market Transaction), Borrower shall (x) furnish to Lender within ten (10) days, a certificate addressed to Lender, its successors and assigns reaffirming all representations and warranties of Borrower set forth in the Loan Documents as of the date requested by Lender or, to the extent of any changes to any such representations and warranties, so stating such changes, and (y) use commercially reasonable efforts to furnish to Lender within thirty (30) days, tenant estoppel certificates addressed to Lender, its successors and assigns from each tenant at the Property in form and substance reasonably satisfactory to Lender.

6.3 Financial Reporting.

6.3.1 Bookkeeping. Borrower shall keep on a calendar year basis, in accordance with GAAP (or a federal income tax basis of accounting or such other accounting basis reasonably acceptable to Lender, in each case, consistently applied), proper and accurate books, records and accounts reflecting all of the financial affairs of Borrower and all items of income and expense and any services, Equipment or furnishings provided in connection with the operation of the Property, whether such income or expense is realized by Borrower, Manager or any Affiliate of Borrower. Lender shall have the right from time to time during normal business hours upon reasonable notice to examine such books, records and accounts at the office of Borrower or other Person maintaining them, and to make such copies or extracts thereof as Lender shall desire. Borrower shall pay any reasonable out-of-pocket costs incurred by Lender to examine such books, records and accounts, as Lender shall reasonably determine to be necessary or appropriate in the protection of Lender's interest.

6.3.2 Annual Reports.

(1) Borrower shall furnish to Lender annually, within 90 days after each calendar year, a complete copy of Borrower's annual financial statements, either internally prepared or prepared by a "big four" accounting firm or another independent certified public accountant reasonably acceptable to Lender, each in accordance with GAAP (or a federal income tax basis of accounting or such other accounting basis reasonably acceptable to Lender, in each case, consistently applied) and containing balance sheets and statements of profit and loss for Borrower and the Property in such detail as Lender may reasonably request; provided, however, that during the continuance of an Event of Default, Lender shall have the right to require financial statements audited by a "big four" accounting firm or another independent certified public

accountant reasonably acceptable to Lender. Each such statement (x) shall be in form and substance reasonably satisfactory to Lender, (y) shall set forth the financial condition and the income and expenses for the Property for the immediately preceding calendar year, and (z) shall be accompanied by an Officer's Certificate certifying: (1) that such statement is true, correct, complete and accurate in all material respects and presents fairly the financial condition of the Property and has been prepared in accordance with GAAP (or a federal income tax basis of accounting or such other accounting basis reasonably acceptable to Lender, in each case, consistently applied), (2) whether, to Borrower's knowledge, there exists an Event of Default or a Default, and if so, the nature thereof, the period of time it has existed and the action then being taken to remedy it and (3) that a statement attached to such Officer's Certificate including the following items is true, correct and accurate: (A) a list of tenants, if any, occupying more than one percent (1.00%) of the rentable space of the Property, (B) a list of any existing litigation involving Borrower or the Property in which the amount involved is \$1,000,000 (in the aggregate) or more or in which all or substantially all of the potential liability is not covered by insurance, and specifying the actions being taken in relation thereto and (C) a breakdown showing (i) the year in which each Lease then in effect expires, (ii) the percentage of rentable space covered by such Lease and (iii) the percentage of base rent with respect to which Leases shall expire in each such year, expressed both on a per year and a cumulative basis.

(2) Borrower shall cause Guarantor to furnish to Lender (x) within 90 days after each calendar year, a complete copy of Guarantor's annual financial statement, certified by Guarantor as being true, correct, complete and accurate in all material respects, prepared in accordance with GAAP (or a federal income tax basis of accounting or such other accounting basis reasonably acceptable to Lender, in each case, consistently applied) and containing balance sheets for Guarantor in such detail as Lender may reasonably request and (y) within fifteen (15) days of filing (but not later than October 15th of each year), complete copies of Guarantor's federal and state tax returns.

6.3.3 Monthly Reports. Borrower shall furnish to Lender within thirty (30) days after the end of each calendar month the following items: (i) monthly and year-to-date operating statements, and other information necessary and sufficient under GAAP (or a federal income tax basis of accounting or such other accounting basis reasonably acceptable to Lender, in each case, consistently applied) to fairly represent the financial position and results of operation of the Property during such calendar month, all in form reasonably satisfactory to Lender; (ii) a balance sheet for such calendar month; (iii) a comparison of the budgeted income and expenses and the actual income and expenses for each month and year-to-date for the Property, together with a detailed explanation of any variances of ten percent (10%) or more between budgeted and actual amounts for such period and year-to-date; (iv) a statement of the actual Capital Expenses made by Borrower during each calendar month as of the last day of such calendar month; (v) a statement that Borrower has not incurred any indebtedness other than indebtedness permitted hereunder; (vi) an aged receivables report; and (vii) rent rolls identifying the leased premises, names of all tenants, units leased, monthly rental and all other charges payable under each Lease, date to which paid, term of Lease, date of occupancy, date of expiration, concessions or inducements granted to tenants, and a year-by-year schedule showing by percentage the rentable area of the Improvements and the total base rent attributable to Leases expiring each year) and a delinquency report for the Property. Each such statement shall be accompanied by an Officer's Certificate certifying (1) that such items are true, correct, accurate, and complete and fairly present the financial condition and

results of the operations of Borrower and the Property in accordance with GAAP (or a federal income tax basis of accounting or such other accounting basis reasonably acceptable to Lender, in each case, consistently applied) (subject to normal year-end adjustments) and (2) whether to Borrower's knowledge there exists an Event of Default or a Default, and if so, the nature thereof, the period of time it has existed and the action then being taken to remedy it.

6.3.4 Other Reports. Borrower shall furnish to Lender, within fifteen (15) Business Days after request, such further detailed information with respect to the operation of the Property and the financial affairs of Borrower or Guarantor (to the extent in Borrower's or Guarantor's possession) as may be reasonably requested by Lender.

6.3.5 Annual Budget. Borrower shall prepare and submit (or shall cause Manager to prepare and submit) to Lender by November 30th of each year during the Term, for approval by Lender, which approval shall not be unreasonably withheld, conditioned or delayed, a proposed pro forma budget for the Property for the succeeding calendar year (the "**Annual Budget**", and each Annual Budget approved by Lender is referred to herein as the "**Approved Annual Budget**"), and, promptly after preparation thereof, any revisions to such Annual Budget. The Annual Budget shall consist of (i) an operating expense budget showing, on a month-by-month basis, in reasonable detail, each line item of Borrower's anticipated operating income and operating expenses (on a cash basis), including amounts required to establish, maintain and/or increase any monthly payments required hereunder (and once such Annual Budget has been approved by Lender (which approval shall not be unreasonably withheld, conditioned or delayed), such operating expense budget shall be referred to herein as the "**Approved Operating Budget**"), and (ii) a budget showing Capital Expenses, on a month-by-month basis, in detail reasonably satisfactory to Lender, each line item of anticipated Capital Expenses (and once such Annual Budget has been approved by Lender (which approval shall not be unreasonably withheld or delayed), such budget shall be referred to herein as the "**Approved Capital Budget**"). If the Annual Budget is not approved by Lender, Lender shall give a written explanation therefor, and Borrower shall re-submit such Annual Budget within ten (10) days thereof, and such process shall repeat until Borrower has delivered an Annual Budget acceptable to Lender. Notwithstanding the foregoing, the Approved Operating Budget with respect to the following twelve months is attached hereto as **Schedule 6.3.5** and incorporated herein. Until such time that an Annual Budget has been approved as an Approved Operating Budget, the Approved Operating Budget for the immediately preceding calendar year shall apply for all purposes hereunder (with adjustments to reflect actual increases in Taxes and Insurance Premiums and such other adjustments reasonably determined by Lender).

7. INSURANCE; CASUALTY; AND CONDEMNATION

7.1 Insurance.

7.1.1 Coverage. Borrower, at its sole cost, for the mutual benefit of Borrower and Lender, shall obtain and maintain during the Term the following policies of insurance:

(1) Property insurance insuring against loss or damage customarily included under so called "all risk" or "special form" policies including but not limited to: fire, lightning, vandalism, windstorm (including named storm), hail and malicious mischief, and subject

to subsection (10) below, coverage for damage or destruction caused by the acts of “Terrorists”, both foreign and domestic (or such policies shall have no exclusion from coverage with respect thereto) and such other insurable hazards as, under good insurance practices, from time to time are insured against for other property and buildings similar to the premises in nature, use, location, height, and type of construction. Each such insurance policy described above shall (i) be in an amount equal to 100% of the then replacement cost of the Improvements without deduction for physical depreciation, (ii) have deductibles no greater than \$100,000, (iii) be paid annually in advance and (iv) be on a replacement cost basis and contain either no coinsurance or, if coinsurance, an agreed amount endorsement, and shall cover, without limitation, all tenant improvements and betterments that Borrower is required to insure on a replacement cost basis. If necessary, such insurance policy shall also insure for boiler and machinery and ordinance of law coverage, coverage for loss to the undamaged portion of the building, costs of demolition and increased cost of construction in amounts satisfactory to Lender. Lender shall be named Mortgagee and Lender’s Loss Payee on a Standard Mortgagee Endorsement.

(2) Flood insurance if any part of the Property is located in an area now or hereafter designated by the Federal Emergency Management Agency as a Zone “A” & “V” Special Hazard Area, or such other Special Hazard Area if Lender so requires in its sole discretion. Such policy shall (i) be in an amount equal to (A) 100% of the full replacement cost of the Improvements on the Property (without any deduction for depreciation) or (B) such other amount as agreed to by Lender and (ii) have a deductible acceptable to Lender.

(3) Public liability insurance on an occurrence basis, including (i) “Commercial General Liability Insurance” with no exclusion for terrorism, (ii) “Owned”, “Hired” and “Non Owned Auto Liability”; and (iii) umbrella liability coverage for personal injury, bodily injury, death, accident and property damage, such insurance providing in combination no less than containing minimum limits per occurrence of \$1,000,000 and \$2,000,000 in the aggregate for any policy year with no deductible or self-insured retention; unless otherwise approved by Lender, together with at least \$25,000,000 excess and/or umbrella liability insurance for any and all claims. If the aggregate limit applying to the location is reduced by the payment of a claim or equal to or greater than fifty percent (50%) of the annual aggregate, Borrower shall arrange to have the aggregate limit restored by endorsement to the existing policy or the purchase of an additional insurance policy unless, in Lender’s reasonable judgment, Borrower maintains sufficient concurrent excess liability insurance to satisfy the liability requirements of this Agreement without the reinstatement of the aggregate limit. The policies described in this subsection shall also include coverage for elevators, escalators, independent contractors, “Contractual Liability” (covering, to the maximum extent permitted by law, Borrower’s obligation to indemnify Lender as required under this Agreement and the other Loan Documents), “Products” and “Completed Operations Liability” coverage. Liquor Liability, Automotive Liability and Garage Keepers Liability, or any other liability coverage deemed appropriate given the Property type and exposure, may be required at the discretion of the Lender. Lender shall be an Additional Insured on all liability policies.

(4) Rental loss and/or business interruption insurance (i) with Lender being named as “Lender Loss Payee”, (ii) in an amount equal to 100% of the projected Gross Revenues for a period of at least 24 months. The period of indemnification shall include the initial period of restoration, the period of time required to rebuild the Property following a Casualty, and an extended period of indemnity endorsement of at least 6 months which provides that after the

physical loss to the Property has been repaired, the continued loss of income will be insured until such income either returns to the same level it was at prior to the loss, or until the limit for such coverage as required above is exhausted, whichever first occurs, and notwithstanding that the policy may expire prior to the end of such period. In no event shall the period of indemnification, including the extended period of indemnity, be less than 24 months. The amount of such insurance shall be increased from time to time during the Term as and when the estimated or actual Gross Revenues increase. Coverage shall include acts of foreign and domestic terrorism.

(5) Comprehensive boiler and machinery insurance covering all mechanical and electrical Equipment against physical damage, rent loss and improvements loss and covering, without limitation, all tenant improvements and betterments that Borrower is required to insure pursuant to the lease on a replacement cost basis and in an amount equal to 100% of the full replacement cost of the Improvements on such Property (without any deduction for depreciation).

(6) Worker's compensation and disability insurance with respect to any employees of Borrower, as required by any Legal Requirement.

(7) During any period of repair or restoration, builder's "all-risk" insurance on the so called completed value basis in an amount equal to not less than the full insurable value of the Property, against such risks (including fire and extended coverage and collapse of the Improvements in an amount equal to not less than the full insurable value) as Lender may request, in form and substance acceptable to Lender.

(8) Coverage to compensate for ordinance of law, coverage for loss to the undamaged portion of the building, the cost of demolition and the increased cost of construction in amounts satisfactory to Lender.

(9) Upon thirty (30) days' notice, such other insurance and in such amounts as Lender may, from time to time, reasonably require against such other insurable hazards which at the time are commonly insured against for properties similar to the Property located in and around the region in which the Property is located.

(10) Notwithstanding anything in subsection (1) above to the contrary, Borrower shall be required to obtain and maintain coverage in its property insurance Policy, its Business Interruption/Rental Loss coverage and its Liability policies (or by a separate Policy) against loss or damage by terrorist acts, both foreign and domestic, in an amount equal to 100% of the "Full Replacement Cost" of the Property; provided that such coverage is available. In the event that such coverage with respect to terrorist acts is not included as part of the "all risk" property policy required by subsection (1) above, Borrower shall, nevertheless be required to obtain coverage for terrorism (as standalone coverage) in an amount equal to 100% of the "Full Replacement Cost" of the Property plus the rental loss and/or business interruption coverage under clause (4) above; provided that such coverage is available. Borrower shall obtain the coverage required under this subsection (10) from a carrier which otherwise satisfies the rating criteria specified in Section 7.1.2 below (a "**Qualified Carrier**") or in the event that such coverage is not available from a Qualified Carrier, Borrower shall obtain such coverage from the highest rated insurance company providing such coverage.

7.1.2 Policies. All policies of insurance (the “**Policies**”) required pursuant to Section 7.1.1 above shall (i) be issued by companies approved by Lender and authorized to do business in the State, with a claims paying ability rating of “A” or better by S&P (and the equivalent by any other Rating Agency), and a rating of A:X or better in the current Best’s Insurance Reports, unless otherwise approved by Lender; (ii) name Lender and its successors and/or assigns as their interest may appear as the mortgagee and loss payee (in the case of property insurance and business income/loss of rents coverage), and an additional insured (in the case of liability insurance); (iii) contain (in the case of property insurance and business income/loss of rents coverage) a Non-Contributory Standard Mortgagee Clause and a Lender’s Loss Payable Endorsement, or their equivalents, naming Lender as the person to which all payments made by such insurance company shall be paid; (iv) contain a waiver of subrogation in favor of Lender; (v) be assigned and the carrier-certified copies thereof delivered to Lender upon written request; (vi) contain such provisions as Lender deems reasonably necessary or desirable to protect its interest, including (A) endorsements providing that neither Borrower, Lender nor any other party shall be a co-insurer under the Property/Business Interruption Policies, (B) that Lender shall receive at least thirty (30) days’ prior written notice of any cancellation (ten (10) days’ notice for nonpayment of premium) of any of the Property Policies and, when available, Liability policies, (C) an agreement whereby the insurer waives any right to claim any premiums and commissions against Lender, provided that the policy need not waive the requirement that the premium be paid in order for a claim to be paid to the insured and (D) providing that Lender is permitted to make payments to effect the continuation of such policy upon notice of cancellation due to non-payment of premiums; (vii) the Non-Contributory Standard Mortgagee Clause or a Lender’s Loss Payable Endorsement or their equivalent shall insure Lender regardless of (A) any act, failure to act or negligence of or violation of warranties, declarations or conditions contained in such policy by any named insured, (B) the occupancy or use of the premises for purposes more hazardous than permitted by the terms thereof, or (C) any foreclosure or other action or proceeding taken by Lender pursuant to any provision of the Loan Documents; and (viii) be satisfactory in form and substance to Lender and approved by Lender as to amounts, form, risk coverage, deductibles, loss payees and insureds. Borrower shall pay the premiums for such Policies (the “**Insurance Premiums**”) as the same become due and payable and furnish to Lender evidence of the renewal of each of the Policies together with (unless such Insurance Premiums have been paid by Lender pursuant to Section 3.3 hereof) receipts for or other evidence of the payment of the Insurance Premiums reasonably satisfactory to Lender. If Borrower does not furnish such evidence and receipts at least thirty (30) days prior to the expiration of any expiring Policy, then Lender may, but shall not be obligated to, procure such insurance and pay the Insurance Premiums therefor, and Borrower shall reimburse Lender for the cost of such Insurance Premiums promptly on demand, with interest accruing at the Default Rate. Borrower shall deliver upon written request to Lender a certified copy of each Policy within thirty (30) days after its effective date. Borrower shall promptly forward to Lender a copy of each written notice received by Borrower of any modification, reduction or cancellation of any of the Policies or of any of the coverages afforded under any of the Policies. Borrower shall promptly forward to Lender a copy of each written notice received by Borrower of any modification, reduction or cancellation of any of the Policies or of any of the coverages afforded under any of the Policies. Within thirty (30) days after request by Lender, Borrower shall obtain such increases in the amounts of coverage required hereunder as may be reasonably requested by Lender, taking into consideration changes in the value of money over time, changes in liability laws, changes in prudent customs and practices, and the like. In the

event of foreclosure of the Security Instrument or other transfer of title to the Property in extinguishment in whole or in part of the Debt, all right, title and interest of Borrower in and to the Policies then in force with respect to the Property and all proceeds payable thereunder shall thereupon vest in the purchaser at such foreclosure or in Lender or other transferee in the event of such other transfer of title.

Borrower may provide any required insurance under a blanket policy or policies covering the Property and Improvements and other property and assets not part of the Property, provided that Lender is provided a full schedule of locations and values for all properties on such blanket policy and such blanket policy: (i) otherwise complies with the requirements set forth in this Section 7.1 and is approved by Lender; (ii) except in the case of liability insurance, specifies how much coverage and which sub limits apply exclusively to the Improvements and that any allocated coverage shall equal or exceed the coverage amounts specified in this Section 7.1; and (iii) must properly identify and fully protect the Property as if a separate policy were issued for 100% of the replacement cost, with sub limits as permitted herein, at the time of loss.

7.2 Casualty.

7.2.1 Notice; Restoration. If the Property is damaged or destroyed, in whole or in part, by fire or other casualty (a “**Casualty**”), Borrower shall promptly give notice thereof to Lender. Following the occurrence of a Casualty, Borrower, regardless of whether insurance proceeds are available, shall promptly proceed to restore, repair, replace or rebuild the Property in accordance with Legal Requirements to be of at least equal value and of substantially the same character as prior to such damage or destruction.

7.2.2 Settlement of Proceeds.

(1) If a Casualty covered by any of the Policies (an “**Insured Casualty**”) occurs where the loss does not exceed \$250,000.00, and no Event of Default has occurred and is continuing, Borrower may settle and adjust any claim without the prior consent of Lender; provided such adjustment is carried out in a competent and timely manner. Borrower is hereby authorized to collect and account for the insurance proceeds (the “**Proceeds**”) but shall promptly deposit such Proceeds into the Casualty/Condemnation Reserve.

(2) In the event of an Insured Casualty where the loss equals or exceeds \$250,000.00 (a “**Significant Casualty**”), so long as no Event of Default is continuing, Borrower and Lender shall settle and adjust any claim together, and Borrower may not settle such loss or claim without the prior written consent of Lender, not to be unreasonably withheld, conditioned or delayed; provided, however, that if an Event of Default is continuing, Lender may, in its sole discretion, settle and adjust any claim without the consent of Borrower and agree with the insurer(s) on the amount to be paid on the loss. The Proceeds with respect to any Significant Casualty shall be due and payable solely to Lender and held by Lender in the Casualty/Condemnation Reserve and disbursed in accordance herewith. If Borrower or any party other than Lender is a payee on any check representing Proceeds with respect to a Significant Casualty, Borrower shall promptly endorse, and cause all such third parties to endorse, such check payable to the order of Lender. Borrower hereby irrevocably appoints Lender as its attorney-in-fact, coupled with an interest, to endorse such check payable to the order of Lender. The out-of-

pocket expenses incurred by Lender in the settlement, adjustment and collection of the Proceeds shall become part of the Debt and shall be reimbursed by Borrower to Lender within ten (10) days after demand.

(3) Notwithstanding anything to the contrary contained herein, if in connection with a Casualty any insurance carrier makes a payment under a property insurance Policy that (a) Borrower proposes be treated as business or rental interruption insurance, then, notwithstanding any designation (or lack of designation) by the insurance carrier as to the purpose of such payment, as between Lender and Borrower, such payment shall not be treated as business or rental interruption insurance proceeds unless Borrower has demonstrated to Lender's reasonable satisfaction that the remaining net Proceeds that will be received from the property insurance carriers are sufficient to pay 100% of the cost of fully restoring the Improvements or, if such net Proceeds are to be applied to repay the Debt in accordance with the terms hereof, that such remaining net Proceeds will be sufficient to pay the Debt in full or (b) constitutes business interruption insurance, Borrower shall cause all payments under such Policy to be directed to Lender, and if such payments are made to Borrower, they shall be held in trust by Borrower for Lender and deposited with Lender in the form received (with all necessary endorsements) within two (2) Business Days.

7.3 Condemnation.

7.3.1 Notice; Restoration. Borrower shall within two (2) Business Days give Lender notice of the actual or threatened (in writing) commencement of any condemnation or eminent domain proceeding affecting the Property (a "***Condemnation***") and shall deliver to Lender copies of any and all papers served in connection with such Condemnation. Following the occurrence of a Condemnation, Borrower, regardless of whether an Award is available, shall promptly proceed to restore, repair, replace or rebuild the Property in accordance with Legal Requirements to the extent practicable to be of at least equal value and of substantially the same character (and to have the same utility) as prior to such Condemnation.

7.3.2 Collection of Award. Lender is hereby irrevocably appointed as Borrower's attorney-in-fact, coupled with an interest, with exclusive power to collect, receive and retain any award or payment in respect of a Condemnation (an "***Award***") and to make any compromise, adjustment or settlement in connection with such Condemnation. Notwithstanding any Condemnation (or any transfer made in lieu of or in anticipation of such Condemnation), Borrower shall continue to pay the Debt at the time and in the manner provided for in the Loan Documents, and the Debt shall not be reduced unless and until any Award shall have been actually received and applied by Lender to out-of-pocket expenses of collecting the Award and to discharge of the Debt. Lender shall not be limited to the interest paid on the Award by the condemning authority but shall be entitled to receive out of the Award interest at the Interest Rate. If the Property is sold, through foreclosure or otherwise, prior to the receipt by Lender of such Award, Lender shall have the right, whether or not a deficiency judgment on the Note shall be recoverable or shall have been sought, recovered or denied, to receive all or a portion of the Award sufficient to pay the Debt. Borrower shall cause any Award that is payable to Borrower to be paid directly to Lender. Lender shall hold such Award in the Casualty/Condemnation Reserve and disburse such Award in accordance with the terms hereof.

7.3.3 Material Condemnation. Notwithstanding that the same shall not itself constitute an Event of Default, Borrower shall not be entitled to any rights under the Loan Documents conditioned upon no Event of Default continuing (including, without limitation, the right to draw funds from Reserves pursuant to Article 3), and Lender shall have the right to withhold, condition or delay its consent, approval or disapproval under the Loan Documents in its sole and absolute discretion as if an Event of Default was continuing, and a Cash Management Period shall be deemed to have occurred and shall continue until repayment in full of the Loan, in each case, upon the occurrence of any Condemnation proceeding that, in the reasonable judgment of Lender, (i) significantly impairs the value of the remaining Property, (ii) materially and adversely alters the operations at such remaining Property, or (iii) renders all or a material portion of such remaining Property unusable for its intended purposes.

7.4 Application of Proceeds or Award.

7.4.1 Application to Restoration. If an Insured Casualty constituting a Significant Casualty or a Condemnation occurs where (i) the loss is in an aggregate amount less than twenty percent (20%) of the Principal; (ii) in the reasonable judgment of Lender, the Property can be restored prior to the earlier of (a) twelve (12) months from the date of the Insured Casualty or Condemnation, (b) six (6) months before the Stated Maturity Date and (c) prior to the expiration of the rental or business interruption insurance with respect thereto, to the Property's pre-existing condition and utility as existed immediately prior to such Insured Casualty or Condemnation and to an economic unit not less valuable and not less useful than the same was immediately prior to the Insured Casualty or Condemnation, and after such restoration will adequately secure the Debt; and (iii) less than (x) thirty percent (30%), in the case of an Insured Casualty or (y) fifteen percent (15%), in the case of a Condemnation, of the rentable area of the Improvements has been damaged, destroyed or rendered unusable as a result of such Insured Casualty or Condemnation, then the Proceeds or the Award, as the case may be (after reimbursement of any out-of-pocket expenses incurred by Lender), shall be applied to reimburse Borrower for (or to directly pay) the cost of restoring, repairing, replacing or rebuilding the Property (the "**Restoration**"), and shall be made available to Borrower pursuant to Section 3.3.7 and as otherwise set forth herein. If an Insured Casualty not constituting a Significant Casualty occurs, Lender shall make Proceeds of such Insured Casualty (after reimbursement of any out-of-pocket expenses incurred by Lender) available to Borrower to reimburse Borrower for (or to directly pay) the cost of Restoration, in accordance with the provisions of Section 3.3.7, so long as is such Restoration can be completed not less than six (6) months prior to the Stated Maturity Date. Borrower shall commence and diligently prosecute such Restoration. Notwithstanding the foregoing in this Section 7.4.1, in no event shall Lender be obligated to apply the Proceeds or Award to reimburse Borrower for the cost of Restoration unless, in addition to satisfaction of the foregoing conditions, (x) no Event of Default shall have occurred and be then continuing (y) Borrower shall pay (and if required by Lender, Borrower shall deposit with Lender in advance) all costs of such Restoration in excess of the net amount of the Proceeds or the Award made available pursuant to the terms hereof; and (z) Lender shall have received evidence reasonably satisfactory to it that during the period of the Restoration, the Operating Revenues will be at least equal to the sum of the Operating Expenses and Debt Service and other reserve payments required hereunder, as reasonably determined by Lender.

7.4.2 Application to Debt.

(1) Except as provided in Section 7.4.1 above, any Proceeds and/or Award may, at the option of Lender in its sole discretion, be applied to the payment of (i) accrued but unpaid interest on the Note, (ii) the Principal and (iii) other charges due under the Note and/or any of the other Loan Documents, or applied to reimburse Borrower for the cost of any Restoration, in the manner set forth in Section 7.4.3 below. Any prepayment of the Loan made pursuant to this Section 7.4.2 shall be without any Prepayment Premium so long as no Event of Default is continuing.

(2) Throughout the term of the Loan if an Event of Default is continuing, then Borrower shall pay to Lender, with respect to any payment of the Debt pursuant to this Section 7.4.2, an additional amount equal to the Prepayment Premium applicable thereto; *provided, however*, that if an Event of Default (other than an Event of Default caused solely by the subject Casualty or Condemnation) is not continuing, then the Prepayment Premium applicable thereto shall not be payable.

7.4.3 Procedure for Application to Restoration. If Borrower is entitled to reimbursement out of the Proceeds or an Award held by Lender, such Proceeds or Award shall be disbursed from time to time from the Casualty/Condemnation Reserve upon Lender being furnished with (i) evidence reasonably satisfactory to Lender of the estimated cost of completion of the Restoration, (ii) a fixed price or guaranteed maximum cost construction contract for Restoration reasonably satisfactory to Lender, (iii) prior to the commencement of Restoration, all immediately available funds in addition to the Proceeds or Award that in Lender's reasonable judgment are required to complete the proposed Restoration shall be paid to Lender and deposited by Lender in the Casualty/Condemnation Reserve, (iv) such architect's certificates, waivers of lien, contractor's sworn statements, title insurance endorsements, bonds, plats of survey, permits, approvals, licenses and such other documents and items as Lender may reasonably require and approve in Lender's discretion, (v) all plans and specifications and construction contracts for such Restoration, such plans and specifications to be approved by Lender prior to commencement of any work (which approval shall not be unreasonably withheld, conditioned or delayed), and (vi) if so required by Lender in its sole discretion, one-hundred percent (100%) performance and completion bonds from the general contractors or all major subcontractors and material suppliers. Lender may, at Borrower's expense, retain a consultant to review and approve all requests for disbursements, which approval shall also be a condition precedent to any disbursement. No payment made prior to the final completion of the Restoration shall exceed ninety percent (90%) of the value of the work performed from time to time; funds other than the Proceeds or Award shall be disbursed prior to disbursement of such Proceeds or Award; and at all times, the undisbursed balance of such Proceeds or Award remaining in the hands of Lender, together with funds deposited for that purpose or irrevocably committed to the satisfaction of Lender by or on behalf of Borrower for that purpose, shall be at least sufficient in the reasonable judgment of Lender to pay for the cost of completion of the Restoration, free and clear of all Liens or claims for Lien. Provided no Event of Default then exists, any surplus that remains out of the Proceeds held by Lender after payment of such costs of Restoration shall be paid to Borrower. Any surplus that remains out of the Award received by Lender after payment of such costs of Restoration shall, in the discretion of Lender, be retained by Lender and applied to payment of the Debt or returned to Borrower.

7.4.4 Prepayment upon Casualty or Condemnation. Notwithstanding the

foregoing provisions in this Article 7, if the Loan or any portion thereof is included in a REMIC Trust and immediately following a release of any portion of the Lien of the Security Instrument in connection with a Casualty or Condemnation (but taking into account any proposed Restoration of the remaining portion of the Property that remains subject to the Lien), the Loan to Value Ratio of the remaining portion of the Property that remains subject to the Lien is greater than 125% (such value to be determined, in Lender's sole discretion, by any commercially reasonable method permitted to a REMIC Trust, based solely on real property and excluding any personal property and going concern value, if any), then the principal balance of the Loan must be paid down by an amount equal to the least of the following amounts: (i) the net Award or Proceeds, as applicable, (ii) the fair market value of the released property at the time of the release, or (iii) an amount such that the Loan to Value Ratio (as so determined by Lender) does not increase after the release, unless Lender receives an opinion of counsel acceptable to Lender that if such amount is not paid, the securitization will not fail to maintain its status as a REMIC Trust as a result of the related release of such portion of the Lien of the Security Instrument.

8. DEFAULTS

8.1 Events of Default. An "*Event of Default*" shall exist with respect to the Loan if any of the following shall occur:

(a) (i) any regularly scheduled monthly installment of principal or interest due under this Agreement is not paid when due, or (ii) the payment due on the Maturity Date is not paid when due, or (iii) any other portion of the Debt, or any other amount required to be paid hereunder or under any other Loan Document is not paid within ten (10) days of written demand;

(b) any of the Taxes are not paid when due (unless such failure results from Lender failing to timely pay such Taxes when required hereunder to the extent sufficient funds are then held in the Tax and Insurance Reserve allocated to Taxes and Borrower has timely complied with all disbursement requirements with respect thereto), subject to Borrower's right to contest Taxes in accordance with Section 5.2 hereof;

(c) the Policies are not kept in full force and effect (unless such failure results from Lender failing to timely pay Insurance Premiums for such Policies when required hereunder to the extent sufficient funds are then held in the Tax and Insurance Reserve allocated to Insurance Premiums and Borrower has timely complied with all disbursement requirements with respect thereto), or are not delivered to Lender upon request;

(d) a Transfer other than a Permitted Transfer occurs;

(e) any representation or warranty made by Borrower or Guarantor in any Loan Document, or in any report, certificate, financial statement or other instrument, agreement or document furnished by Borrower or Guarantor in connection with any Loan Document, shall be false or misleading in any material respect as of the date the representation or warranty was made provided that if such breach is reasonably susceptible of cure, then no Event of Default shall exist so long as Borrower shall cause such breach or its adverse consequences to be cured within thirty (30) days after notice from Lender; and provided further,

if the condition causing the representation or warranty to be false or misleading is susceptible of cure but cannot reasonably be cured within such thirty (30) day period and Borrower has commenced to cure such condition within such thirty (30) day period and thereafter diligently proceeds to cure same, then such thirty (30) day period shall be extended for such time as is reasonably necessary for Borrower to complete such cure, but such extended period shall in no event exceed sixty (60) days.

(f) Borrower, Sole Member or Guarantor shall make an assignment for the benefit of creditors, or shall admit in writing in a legal proceeding its inability to pay its debts as they become due;

(g) a receiver, liquidator or trustee shall be appointed for Borrower, Sole Member or Guarantor; or Borrower, Sole Member or Guarantor shall be adjudicated a bankrupt or insolvent; or any petition for bankruptcy, reorganization or arrangement pursuant to federal bankruptcy law, or any similar federal or state law, shall be filed by or against, consented to, or acquiesced in by, Borrower, Sole Member or Guarantor, as the case may be; or any proceeding for the dissolution or liquidation of Borrower, Sole Member or Guarantor shall be instituted; *provided, however*, if such appointment, adjudication, petition or proceeding was involuntary and not consented to by Borrower, Sole Member or Guarantor, as the case may be, only upon the same not being discharged, stayed or dismissed within sixty (60) days;

(h) (i) Borrower breaches any covenant contained in Sections 5.12.1 (a) - (e) or Sections 6.3.2 or 6.3.3 hereof and such breach remains uncured for a period of 10 days after Borrower's receipt of written notice thereof from Lender or (ii) Borrower breaches any covenant contained in Sections 2.6.1(5), 3.3.1, 5.13, 5.15, 5.16, 5.17, 5.18, 5.19, 5.20, 5.21, 5.22, 5.23, 5.24, 5.25, 5.26, 5.27, 5.28, 5.31, 5.33, 5.34, 5.35, 5.36, 5.37, 5.38, 5.39 or 5.40 hereof;

(i) except as expressly permitted hereunder, the actual alteration, improvement, demolition or removal of all or any portion of the Improvements without the prior written consent of Lender;

(j) an Event of Default as defined or described elsewhere in this Agreement or in any other Loan Document occurs; or any other event shall occur or condition shall exist, if the effect of such event or condition is to accelerate or to permit Lender to accelerate the maturity of any portion of the Debt;

(k) a default occurs under any term, covenant or provision set forth herein or in any other Loan Document which specifically contains a notice requirement or grace period and such notice has been given and such grace period has expired;

(l) the existence of any collusion, fraud, dishonesty or bad faith by or with the acquiescence of Borrower or any Borrower Party which in any way relates to or affects the Loan or the Property;

(m) failure of Borrower to repay the Loan in full within ninety (90) days of the occurrence of any transfer of all or any portion of the Property pursuant to a Condemnation proceeding that, in the reasonable judgment of Lender, (i) significantly impairs the value of the remaining Property, (ii) materially alters the Leases or the operations at such remaining

Property, or (iii) renders all or a material portion of such remaining Property unusable for its intended purposes;

(n) the dissolution, termination or merger, whether voluntarily or involuntarily, of Borrower or any Borrower Party that is not a natural person, or the death or declaration of legal incapacity of any Guarantor that is a natural person; provided, however, that the same occurring with respect to any one Guarantor that is a natural person (a “**Triggering Guarantor**”) shall not constitute an Event of Default if, within ten (10) Business Days of the occurrence of the same, the other Guarantor reaffirms in writing its obligations under each Guaranty and the Environmental Indemnity and provides evidence reasonably acceptable to Lender that the financial covenants set forth in Section 6 of the Guaranty remain satisfied without regard to the assets of such Triggering Guarantor);

(o) failure by Guarantor to comply with the financial covenants set forth in Section 6 of the Guaranty;

(p) the entry of a final judgment, final order or final decree for the payment of money against Borrower or Sole Member in excess of two percent (2%) of the Principal, which is not satisfied and paid, or enforcement of which has not been stayed, within thirty (30) days after the date of entry of such judgment, order or decree;

(q) this Agreement or any other Loan Document shall, in whole or in part, terminate, cease to be effective or cease to be a legally valid, binding and enforceable obligation of Borrower or any other Borrower Party; any party to any Loan Document (other than Lender) shall assert in writing that such document has ceased to be in full force and effect; or the Liens created pursuant to any Loan Document shall cease to be a fully perfected enforceable first priority security interest, in each case, due to an act or omission of Borrower or any Borrower Party;

(r) any required permit, certificate or approval with respect to the Property lapses or ceases to be in full force and effect and the same materially and adversely affects the value or operation of the Property, and such permit, certificate or approval is not reinstated within thirty (30) days of the date of the lapse occurs;

(s) failure to comply with the covenants set forth on Exhibit A to the Post Closing Agreement, time being of the essence; or

(t) a default shall be continuing under any of the other terms, covenants or conditions of this Agreement or any other Loan Document not otherwise specified in this Section 8.1, for ten (10) days after notice to Borrower (and Guarantor, if applicable) from Lender, in the case of any default which can be cured by the payment of a sum of money, or for thirty (30) days after notice from Lender in the case of any other default; *provided, however*, that if such non-monetary default is susceptible of cure but cannot reasonably be cured within such thirty (30)-day period, and Borrower (or Guarantor, if applicable) shall have commenced to cure such default as soon as commercially reasonable and thereafter diligently and expeditiously proceeds to cure the same, such thirty (30)-day period shall be extended for an additional period of time as is reasonably necessary for Borrower (or Guarantor, if applicable) in the exercise of due

diligence to cure such default, such additional period not to exceed sixty (60) days.

8.2 Remedies.

8.2.1 Acceleration. Upon the occurrence and during the continuance of an Event of Default (other than an Event of Default described in paragraph (f) or (g) of Section 8.1 above), in addition to any other rights or remedies available to it pursuant to the Loan Documents or at law or in equity, Lender may take such action, without notice or demand, that Lender deems advisable to protect and enforce its rights against Borrower and in and to the Property; including declaring the Debt to be immediately due and payable (including unpaid interest, Default Rate interest, Late Payment Charges, Prepayment Premium (if applicable), the Exit Fee (if applicable) and any other amounts owing by Borrower), without notice or demand; and upon any Event of Default described in paragraph (f) or (g) of Section 8.1 above, the Debt (including unpaid interest, Default Rate interest, Late Payment Charges, Prepayment Premium (if applicable), the Exit Fee (if applicable) and any other amounts owing by Borrower) shall immediately and automatically become due and payable, without notice or demand, and Borrower hereby expressly waives any such notice or demand, anything contained in any Loan Document to the contrary notwithstanding.

8.2.2 Remedies Cumulative. Upon the occurrence and during the continuance of an Event of Default, all or any one or more of the rights, powers, privileges and other remedies available to Lender against Borrower under the Loan Documents or at law or in equity may be exercised by Lender at any time and from time to time, whether or not all or any of the Debt shall be declared, or be automatically, due and payable, and whether or not Lender shall have commenced any foreclosure proceeding or other action for the enforcement of its rights and remedies under any of the Loan Documents. Any such actions taken by Lender shall be cumulative and concurrent and may be pursued independently, singly, successively, together or otherwise, at such time and in such order as Lender may determine in its discretion, to the fullest extent permitted by law, without impairing or otherwise affecting the other rights and remedies of Lender permitted by law, equity or contract or as set forth in the Loan Documents. Without limiting the generality of the foregoing, Borrower agrees that if an Event of Default is continuing, (i) to the extent permitted by applicable law, Lender is not subject to any “one action” or “election of remedies” law or rule, and (ii) all Liens and other rights, remedies or privileges provided to Lender shall remain in full force and effect until Lender has exhausted all of its remedies against the Property, the Security Instrument has been foreclosed, the Property has been sold and/or otherwise realized upon in satisfaction of the Debt or the Debt has been paid in full. To the extent permitted by applicable law, nothing contained in any Loan Document shall be construed as requiring Lender to resort to any portion of the Property for the satisfaction of any of the Debt in preference or priority to any other portion, and Lender may seek satisfaction out of the entire Property or any part thereof, in its discretion.

8.2.3 Severance. Subject to Section 9.2 hereof, Lender shall have the right from time to time to sever the Note and the other Loan Documents into one or more separate notes, mortgages (or deeds of trust) and other security documents in such denominations and priorities of payment and liens as Lender shall determine in its discretion for purposes of evidencing and enforcing its rights and remedies. Borrower shall execute and deliver to Lender from time to time, promptly after the request of Lender, a severance agreement and such other documents as Lender shall request in order to effect the severance described in the preceding sentence, all in form and

substance reasonably satisfactory to Lender. Borrower hereby absolutely and irrevocably appoints Lender as its true and lawful attorney, coupled with an interest, in its name and stead to make and execute all documents necessary or desirable to effect such severance during the continuance of an Event of Default, Borrower ratifying all that such attorney shall do by virtue thereof.

8.2.4 Delay. No delay or omission to exercise any remedy, right or power accruing upon an Event of Default, or the granting of any indulgence or compromise by Lender shall impair any such remedy, right or power hereunder or be construed as a waiver thereof, but any such remedy, right or power may be exercised from time to time and as often as may be deemed expedient. A waiver of one Default or Event of Default shall not be construed to be a waiver of any subsequent Default or Event of Default or to impair any remedy, right or power consequent thereon.

8.2.5 Lender's Right to Perform. If Borrower fails to perform any covenant or obligation contained herein and such failure shall continue either during the continuance of an Event of Default or for a period of five (5) Business Days after Lender's delivery of written notice thereof to Borrower, without in any way limiting Lender's right to exercise any of its rights, powers or remedies as provided hereunder, or under any of the other Loan Documents, Lender may, but shall have no obligation to, perform, or cause performance of, such covenant or obligation, including the right to make Protective Advances or to advance funds in excess of the stated amount of the Loan to preserve the Property, and all out of pocket costs, expenses, liabilities, penalties and fines of Lender incurred or paid in connection therewith shall be payable by Borrower to Lender upon demand and if not paid shall be added to the Debt (and to the extent permitted under applicable laws, secured by the Security Instrument and other Loan Documents) and shall bear interest thereafter at the Default Rate. Notwithstanding the foregoing, Lender shall have no obligation to send notice to Borrower of any such failure.

9. SECONDARY MARKET PROVISIONS

9.1 Sale of Note and Secondary Market Transaction.

9.1.1 General; Borrower Cooperation. Lender shall have the right at any time and from time to time, subject to Section 9.3, (i) to pledge, sell, assign, encumber or otherwise transfer the Loan or any portion thereof or the Loan Documents or any interest therein to one or more purchasers or investors (such purchaser or investors being, individually or collectively, the "***Future Lender(s)***"), (ii) to sell participation interests in the Loan to one or more purchasers or investors or (iii) to securitize the Loan or any portion thereof in one or more public or private single asset securitizations or pooled loan securitizations of rated single or multi-class securities (the "***Securities***") secured by or evidencing ownership interests in the Note and the Security Instrument (each such pledge, sale, assignment, participation and/or securitization is referred to herein as a "***Secondary Market Transaction***", and the transactions referred to in clause (iii) shall be referred to herein as a "***Securitization***"). In connection with any Secondary Market Transaction, Borrower shall reasonably cooperate in good faith with Lender and otherwise assist Lender in satisfying the market standards to which Lender customarily adheres or which may be reasonably required in the marketplace or by the Rating Agencies in connection with any such Secondary Market Transactions, including: (a) to (i) provide such financial and other information with respect to the Property, Borrower, Guarantor, Manager and any tenants of the Property (to the extent in

Borrower's possession), (ii) provide business plans and budgets relating to the Property and (iii) perform or permit or cause to be performed or permitted such site inspection, appraisals, surveys, market studies, environmental reviews and reports, engineering reports and other due diligence investigations of the Property, as may be reasonably requested from time to time by Lender or, if applicable, the Rating Agencies or as may be necessary or appropriate in connection with a Secondary Market Transaction or Exchange Act requirements upon reasonable advance notice (the items provided to Lender pursuant to this clause (a) being called the "**Secondary Market Provided Information**"), together, if customary, with appropriate verification of and/or consents to the Secondary Market Provided Information through letters of auditors or opinions of counsel of independent attorneys reasonably acceptable to Lender and, if applicable, the Rating Agencies; (b) at Borrower's expense, cause counsel to render opinions as to non-consolidation and any other opinion customary in securitization transactions with respect to the Property, Borrower and its Affiliates, which counsel and opinions shall be reasonably satisfactory to Lender and, if applicable, the Rating Agencies; (c) make such representations and warranties as of the closing date of any Secondary Market Transaction with respect to the Property, Borrower and the Loan Documents as are customarily provided in such transactions and as may be reasonably requested by Lender or, if applicable, the Rating Agencies and consistent with the facts covered by such representations and warranties as they exist on the date thereof, including the representations and warranties made in the Loan Documents; (d) provide current certificates of good standing and qualification with respect to Borrower and Sole Member from appropriate Governmental Authorities; and (e) execute such amendments to the Loan Documents and Borrower's organizational documents, as may be requested by Lender or, if applicable, the Rating Agencies or otherwise to effect a Secondary Market Transaction, provided that nothing contained in this clause (e) shall (i) result in any economic change to Borrower in the transaction (other than in a de minimus manner), (ii) expand the obligations of Borrower or Guarantor (other than in a de minimus manner), (iii) expand the rights of Lender (other than in a de minimus manner) or (iv) decrease Borrower's rights under the Loan Documents (other than in a de minimus manner). Borrower's cooperation obligations set forth herein shall continue until the Loan has been paid in full.

9.1.2 Use of Information. Borrower understands that all or any portion of the Secondary Market Provided Information and any of the financial statements, certificates, reports or information otherwise required by the Loan Documents relating to Borrower, Manager, Guarantor and the Property (such information, whether provided pursuant to Section 9.1 above or otherwise, together with the Secondary Market Provided Information, collectively, the "**Borrower Provided Information**") may be included in disclosure documents in connection with a Secondary Market Transaction, including a prospectus or private placement memorandum (each, a "**Disclosure Document**") and may also be included in filings with the Securities and Exchange Commission pursuant to the Securities Act of 1933, as amended (the "**Securities Act**"), or the Securities and Exchange Act of 1934, as amended (the "**Exchange Act**"), or provided or made available to investors or prospective investors in the Securities, the Rating Agencies, and service providers or other parties relating to the Secondary Market Transaction. If the Disclosure Document is required to be revised, Borrower shall reasonably cooperate with Lender in updating the Borrower Provided Information for inclusion or summary in the Disclosure Document or for other use reasonably required in connection with a Secondary Market Transaction by providing all current information pertaining to Borrower, Manager and the Property necessary to keep the Disclosure Document accurate and complete in all material respects with respect to such matters.

9.1.3 Borrower Obligations and Indemnity Regarding Disclosure Documents. In connection with a Disclosure Document, Borrower shall: (a) if requested by Lender, certify in writing that Borrower has carefully examined those portions of such Disclosure Document provided to Borrower, pertaining to Borrower, the Property, Manager and the Loan, and that such portions do not contain any untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading; and (b) indemnify (in a separate instrument of indemnity, if so requested by Lender) (i) any underwriter, syndicate member or placement agent (collectively, the “*Underwriters*”) retained by Lender or its issuing company affiliate (the “*Issuer*”) in connection with a Secondary Market Transaction, (ii) Lender and (iii) the Issuer that is named in the Disclosure Document or registration statement relating to a Secondary Market Transaction (the “*Registration Statement*”), and each of the Issuer’s directors, each of its officers who have signed the Registration Statement and each person or entity who controls the Issuer or the Lender within the meaning of Section 15 of the Securities Act or Section 20 of the Exchange Act (collectively within (iii), the “*Lender Group*”), and each of its directors and each person who controls each of the Underwriters, within the meaning of Section 15 of the Securities Act and Section 20 of the Exchange Act (collectively, the “*Underwriter Group*”) for any actual out-of-pocket losses, claims, damages or liabilities (the “*Liabilities*”) to which Lender, the Lender Group or the Underwriter Group may become subject (including reimbursing all of them for any reasonable legal or other expenses actually incurred in connection with investigating or defending the Liabilities) insofar as the Liabilities arise out of or are based upon any untrue statement or alleged untrue statement of any material fact contained in any of the Borrower Provided Information or in any of the applicable portions of such sections of the Disclosure Document applicable to Borrower, the Property or the Loan, or arise out of or are based upon the omission or alleged omission to state therein a material fact required to be stated in the applicable portions of such sections or necessary in order to make the statements in the applicable portions of such sections in light of the circumstances under which they were made, not misleading.

9.1.4 Borrower Indemnity Regarding Filings. In connection with filings under the Exchange Act, Borrower shall (i) indemnify Lender, the Lender Group and the Underwriter Group for any Liabilities to which Lender, the Lender Group or the Underwriter Group may become subject insofar as the Liabilities arise out of or are based upon the omission or alleged omission to state in the Borrower Provided Information a material fact required to be stated in the Borrower Provided Information in order to make the statements in the Borrower Provided Information, in light of the circumstances under which they were made not misleading and (ii) reimburse Lender, the Lender Group or the Underwriter Group for any reasonable legal or other expenses actually incurred by Lender, Lender Group or the Underwriter Group in connection with defending or investigating the Liabilities.

9.1.5 Indemnification Procedure. Promptly after receipt by an indemnified party under Section 9.1.3 above or Section 9.1.4 above of notice of the commencement of any action for which a claim for indemnification is to be made against Borrower, such indemnified party shall notify Borrower in writing of such commencement, but the failure to so notify Borrower will not relieve Borrower from any liability that it may have to any indemnified party hereunder except to the extent that failure to notify causes material prejudice to Borrower. If any action is brought against any indemnified party, and it notifies Borrower of the commencement thereof, Borrower will be entitled, jointly with any other indemnifying party, to participate therein and, to

the extent that it (or they) may elect by written notice delivered to the indemnified party promptly after receiving the aforesaid notice of commencement, to assume the defense thereof with counsel reasonably satisfactory to such indemnified party. After notice from Borrower to such indemnified party to assume the defense of such claim under this Section 9.1.5, Borrower shall not be responsible for any legal or other expenses subsequently incurred by such indemnified party in connection with the defense thereof other than costs of investigation; *provided, however*, if the defendants in any such action include both Borrower and an indemnified party, and any indemnified party shall have reasonably concluded that there are any legal defenses available to it and/or other indemnified parties that are different from or additional to those available to Borrower, then the indemnified party or parties shall have the right to select separate counsel to assert such legal defenses and to otherwise participate in the defense of such action on behalf of such indemnified party or parties. Borrower shall not be liable for the expenses of more than one separate counsel unless there are legal defenses available to it that are different from or additional to those available to another indemnified party.

9.1.6 Contribution. In order to provide for just and equitable contribution in circumstances in which the indemnity agreement provided for in Section 9.1.3 above or Section 9.1.4 above is for any reason finally judicially held to be unenforceable by an indemnified party in respect of any Liabilities (or action in respect thereof) referred to therein which would otherwise be indemnifiable under Section 9.1.3 above or Section 9.1.4 above, Borrower shall contribute to the amount paid or payable by the indemnified party as a result of such Liabilities (or action in respect thereof). In determining the amount of contribution to which the respective parties are entitled, the following factors shall be considered: (i) the Lender Group's and Borrower's relative knowledge and access to information concerning the matter with respect to which the claim was asserted; (ii) the opportunity to correct and prevent any statement or omission; and (iii) any other equitable considerations appropriate in the circumstances. Lender and Borrower hereby agree that it may not be equitable if the amount of such contribution were determined by pro rata or per capita allocation.

9.2 Severance of Loan. Lender shall have the right, subject to Section 9.3, at any time (whether prior to, in connection with, or after any Secondary Market Transaction), with respect to all or any portion of the Loan, to modify, split and/or sever all or any portion of the Loan as hereinafter provided. Without limiting the foregoing, Lender may (i) cause the Note and the Security Instrument to be split into a first and second mortgage loan, (ii) create one or more senior and subordinate notes (i.e., an A/B or A/B/C structure), (iii) create multiple components of the Note (and allocate or reallocate the Principal among such components), (iv) otherwise sever the Loan into two (2) or more loans secured by mortgages and by a pledge of partnership or membership interests (directly or indirectly) in Borrower (i.e., a senior loan/mezzanine loan structure), in each such case described in clauses (i) through (iv) above, in whatever proportion and whatever priority Lender determines, and (v) modify the Loan Documents with respect to the newly created notes or components of the Note such that the pricing and marketability of the Securities and the size of each class of Securities and the rating assigned to each such class by the Rating Agencies shall provide the most favorable rating levels and achieve the optimum rating levels for the Loan, as reasonably determined by Lender. Notwithstanding the foregoing, no such amendment, modification, severance or split described above shall (i) modify or amend any economic term of the Loan, (ii) increase the obligations, or decrease the rights, of Borrower under the Loan Documents; or (iii) expand the rights of Lender under the Loan Documents; *provided*,

however, that the foregoing shall be deemed to have not occurred if the outstanding principal balance of all the notes evidencing the Loan (or components of such notes) immediately after the effective date of such modification equals the Principal immediately prior to such modification and the weighted average of the interest rates for all such note(s) (or components thereof) immediately after the effective date of such modification equals the Interest Rate immediately prior to such modification. If requested by Lender, Borrower (and Borrower's constituent members, if applicable, and Guarantor) shall execute within ten (10) Business Days after such request, such documentation as Lender may reasonably request to evidence and/or effectuate any such modification or severance.

9.3 Registered Note

(1) The Lender, acting solely for this purpose as a non-fiduciary agent of the Borrower, shall maintain at one of its offices in the United States a copy of each assignment delivered to it and a register for the recordation of the names and addresses of the Future Lenders, and the principal amounts (and stated interest) of the Loan owing to, each Future Lender pursuant to the terms hereof from time to time (the “**Register**”). The entries in the Register shall be conclusive absent manifest error, and the Borrower, Lender and any Future Lenders shall treat each Person whose name is recorded in the Register pursuant to the terms hereof as a Lender hereunder for all purposes of this Agreement. The Register shall be available for inspection by the Borrower and any Future Lenders, at any reasonable time and from time to time upon reasonable prior notice.

(2) The Lender and each Future Lender that sells a participation shall, acting solely for this purpose as a non-fiduciary agent of the Borrower, maintain a register on which it enters the name and address of each Person with an interest in the Loans (a “**Participant**”) and the principal amounts (and stated interest) of each Participant's interest in the Loans or other obligations under the Loan Documents (the “**Participant Register**”); provided that the Lender and any Future Lenders shall have no obligation to disclose all or any portion of the Participant Register (including the identity of any Participant or any information relating to a Participant's interest in any commitments, loans, letters of credit or its other obligations under any Loan Document) to any Person except to the extent that such disclosure is necessary to establish that such commitment, loan, letter of credit or other obligation is in registered form under Section 5f.103-1(c) of the United States Treasury Regulations. The entries in the Participant Register shall be conclusive absent manifest error, and the Lender and any such Future Lenders shall treat each Person whose name is recorded in the Participant Register as the owner of such participation for all purposes of this Agreement notwithstanding any notice to the contrary.

Notwithstanding the foregoing, Lender's failure to comply with the foregoing shall not constitute a default or breach by Lender of this Agreement or any other Loan Document or excuse the compliance by Borrower with all covenants, including timely payment of all Debt when due.

10. MISCELLANEOUS

10.1 Recourse. Borrower acknowledges and agrees that the Loan and all Debt is a full recourse obligation to Borrower. Notwithstanding the foregoing, no direct or indirect principal, member, manager, partner (including, without limitation, general partners), agent, affiliate,

beneficiary, trustee, investor, shareholder, officer, director, fund manager or employee of Borrower (except for Guarantor pursuant to the Guaranty and the Environmental Indemnity) shall be personally liable for the Debt; but the foregoing shall not (i) constitute a waiver, release or impairment of any obligation evidenced or secured by any of the Loan Documents; (ii) affect the validity or enforceability of any separate agreement, indemnity or guaranty (including, without limitation, the Guaranty and the Environmental Indemnity) made in connection with the Loan or any of the rights and remedies of Lender thereunder; or (iii) constitute a prohibition against Lender commencing any appropriate action or proceeding in order for Lender to exercise its remedies against the Property.

10.2 Brokers and Financial Advisors.

(1) Borrower hereby represents that it has dealt with no financial advisors, brokers, underwriters, placement agents, agents or finders in connection with the Loan other than Northmarq (“**Broker**”). Such Broker’s fees shall be paid by Borrower pursuant to a separate agreement. Borrower shall indemnify and hold Lender harmless from and against any and all claims, liabilities, costs and expenses (including reasonable attorneys’ fees, whether incurred in connection with enforcing this indemnity or defending claims of third parties) of any kind in any way relating to or arising from a claim by any Person (including Broker) that such Person acted on behalf of Borrower in connection with the transactions contemplated herein. The provisions of this Section 10.2 shall survive the expiration and termination of this Agreement and the repayment of the Debt. Lender hereby represents that it has not dealt with any brokers in connection with the Loan.

(2) Notwithstanding anything in Section 10.2(1) above to the contrary, Borrower hereby acknowledges that (i) at Lender’s sole discretion, Broker may receive further consideration from Lender relating to the Loan or any other matter for which Lender may elect to compensate Broker pursuant to a separate agreement between Lender and Broker and (ii) Lender shall have no obligation to disclose to Borrower the existence of any such agreement or the amount of any such additional consideration paid or to be paid to Broker whether in connection with the Loan or otherwise.

10.3 Retention of Servicer.

(1) At the option of Lender, the Loan may be serviced by the Servicer and Lender may delegate all or any portion of its responsibilities under this Agreement and the other Loan Documents to the Servicer pursuant to a servicing agreement (the “**Servicing Agreement**”) between Lender and the Servicer. Borrower shall not be responsible for any setup fees or any other initial costs relating to or arising under the Servicing Agreement.

(2) Borrower shall pay any other fees and expenses of the Servicer and any third-party fees and expenses in connection with a prepayment, release of the Property, approvals under the Loan Documents requested by Borrower, assumption of Borrower’s obligations or modification of the Loan, as well as any fees and expenses in connection with the special servicing or work-out of the Loan or enforcement of the Loan Documents, including, special servicing fees, operating or trust advisor fees (if the Loan is a specially serviced loan or in connection with a workout), work-out fees, liquidation fees, reasonable attorneys’ fees and

expenses and other fees and expenses in connection with the modification or restructuring of the Loan.

10.4 Survival. This Agreement and all covenants, agreements, representations and warranties made herein and in the certificates delivered pursuant hereto shall survive the making by Lender of the Loan and the execution and delivery to Lender of the Note, and shall continue in full force and effect so long as any of the Debt is unpaid or such longer period if expressly set forth in this Agreement. All of Borrower's covenants and agreements in this Agreement shall inure to the benefit of the respective legal representatives, successors and assigns of Lender.

10.5 Lender's Discretion. Whenever pursuant to this Agreement or any other Loan Document, Lender exercises any right given to it to approve or disapprove, or consent or withhold consent, or any arrangement or term is to be satisfactory to Lender or is to be in Lender's discretion, the decision of Lender to approve or disapprove, to consent or withhold consent, or to decide whether arrangements or terms are satisfactory or not satisfactory, or acceptable or unacceptable or in Lender's discretion shall (except as is otherwise specifically herein provided) be in the sole and absolute discretion of Lender and shall be final and conclusive. Additionally, whenever in this Agreement or any other Loan Document, Lender is to exercise any right given to it to approve or disapprove, or consent or withhold consent, or any arrangement or term is to be satisfactory to Lender, in Lender's reasonable discretion, or Lender agrees to not unreasonably withhold, condition or delay its consent, the decision of Lender to approve or disapprove, to consent, condition, delay or withhold consent, or to decide whether arrangements or terms are satisfactory or not satisfactory, or acceptable or unacceptable or in Lender's discretion shall be in the sole and absolute discretion of Lender while an Event of Default is continuing.

10.6 Governing Law.

(1) THIS AGREEMENT WAS NEGOTIATED IN THE STATE OF NEW YORK AND THE PROCEEDS OF THE NOTE DELIVERED PURSUANT HERETO WERE DISBURSED FROM THE STATE OF NEW YORK, WHICH STATE THE PARTIES AGREE HAS A SUBSTANTIAL RELATIONSHIP TO THE PARTIES AND TO THE UNDERLYING TRANSACTION EMBODIED HEREBY, AND IN ALL RESPECTS, INCLUDING MATTERS OF CONSTRUCTION, VALIDITY AND PERFORMANCE, THIS AGREEMENT AND THE OBLIGATIONS ARISING HEREUNDER SHALL BE GOVERNED BY, AND CONSTRUED IN ACCORDANCE WITH, THE LAWS OF THE STATE OF NEW YORK APPLICABLE TO CONTRACTS MADE AND PERFORMED IN SUCH STATE AND ANY APPLICABLE LAW OF THE UNITED STATES OF AMERICA. TO THE FULLEST EXTENT PERMITTED BY LAW, BORROWER HEREBY UNCONDITIONALLY AND IRREVOCABLY WAIVES ANY CLAIM TO ASSERT THAT THE LAW OF ANY OTHER JURISDICTION GOVERNS THIS AGREEMENT AND THE NOTE, AND THIS AGREEMENT AND THE NOTE SHALL BE GOVERNED BY AND CONSTRUED IN ACCORDANCE WITH THE LAWS OF THE STATE OF NEW YORK PURSUANT TO § 5-1401 OF THE NEW YORK GENERAL OBLIGATIONS LAW.

(2) ANY LEGAL SUIT, ACTION OR PROCEEDING AGAINST LENDER OR BORROWER ARISING OUT OF OR RELATING TO THIS AGREEMENT SHALL BE INSTITUTED IN ANY FEDERAL OR STATE COURT IN NEW YORK COUNTY,

NEW YORK AND BORROWER WAIVES ANY OBJECTION WHICH IT MAY NOW OR HEREAFTER HAVE TO THE LAYING OF VENUE OF ANY SUCH SUIT, ACTION OR PROCEEDING, AND BORROWER HEREBY IRREVOCABLY SUBMITS TO THE JURISDICTION OF ANY SUCH COURT IN ANY SUIT, ACTION OR PROCEEDING. BORROWER DOES HEREBY DESIGNATE AND APPOINT **REGISTERED AGENT SOLUTIONS AT 99 WASHINGTON AVENUE, SUITE 1008, ALBANY, NEW YORK 12260**, AS ITS AUTHORIZED AGENT TO ACCEPT AND ACKNOWLEDGE ON ITS BEHALF SERVICE OF ANY AND ALL PROCESS WHICH MAY BE SERVED IN ANY SUCH SUIT, ACTION OR PROCEEDING IN ANY FEDERAL OR STATE COURT IN NEW YORK, NEW YORK, AND AGREES THAT SERVICE OF PROCESS UPON SAID AUTHORIZED AGENT AT SAID ADDRESS AND WRITTEN NOTICE OF SAID SERVICE OF BORROWER MAILED OR DELIVERED TO BORROWER IN THE MANNER PROVIDED HEREIN SHALL BE DEEMED IN EVERY RESPECT EFFECTIVE SERVICE OF PROCESS UPON BORROWER (UNLESS LOCAL LAW REQUIRES ANOTHER METHOD OF SERVICE), IN ANY SUCH SUIT, ACTION OR PROCEEDING IN THE STATE OF NEW YORK. BORROWER (i) SHALL GIVE PROMPT NOTICE TO LENDER OF ANY CHANGED ADDRESS OF ITS AUTHORIZED AGENT HEREUNDER, (ii) MAY AT ANY TIME AND FROM TIME TO TIME DESIGNATE A SUBSTITUTE AUTHORIZED AGENT WITH AN OFFICE IN NEW YORK, NEW YORK (WHICH OFFICE SHALL BE DESIGNATED AS THE ADDRESS FOR SERVICE OF PROCESS), AND (iii) SHALL PROMPTLY DESIGNATE SUCH A SUBSTITUTE IF ITS AUTHORIZED AGENT CEASES TO HAVE AN OFFICE IN NEW YORK, NEW YORK OR IS DISSOLVED WITHOUT LEAVING A SUCCESSOR. NOTWITHSTANDING THE FOREGOING, LENDER SHALL HAVE THE RIGHT TO INSTITUTE ANY LEGAL SUIT, ACTION OR PROCEEDING FOR THE ENFORCEMENT OR FORECLOSURE OF ANY LIEN ON ANY COLLATERAL FOR THE LOAN IN ANY FEDERAL OR STATE COURT IN ANY JURISDICTION(S) THAT LENDER MAY ELECT IN ITS SOLE AND ABSOLUTE DISCRETION, AND BORROWER WAIVES ANY OBJECTION WHICH IT MAY NOW OR HEREAFTER HAVE TO THE LAYING OF VENUE OF ANY SUCH SUIT, ACTION OR PROCEEDING, AND BORROWER HEREBY IRREVOCABLY SUBMITS TO THE JURISDICTION OF ANY SUCH COURT IN ANY SUIT, ACTION OR PROCEEDING.

10.7 Modification, Waiver in Writing. No modification, amendment, extension, discharge, termination or waiver of any provision of this Agreement or of any other Loan Document, nor consent to any departure by Borrower therefrom, shall in any event be effective unless the same shall be in a writing signed by the party against whom enforcement is sought, and then such waiver or consent shall be effective only in the specific instance, and for the purpose, for which given. Except as otherwise expressly provided herein, no notice to or demand on Borrower shall entitle Borrower to any other or future notice or demand in the same, similar or other circumstances. Neither any failure nor any delay on the part of Lender in insisting upon strict performance of any term, condition, covenant or agreement, or exercising any right, power, remedy or privilege hereunder, or under any other Loan Document, shall operate as or constitute a waiver thereof, nor shall a single or partial exercise thereof preclude any other future exercise, or the exercise of any other right, power, remedy or privilege. In particular, and not by way of limitation, by accepting payment after the due date of any amount payable under any Loan Document, Lender shall not be deemed to have waived any right either to require prompt payment when due of all other amounts due under the Loan Documents, or to declare an Event of Default

for failure to effect prompt payment of any such other amount. For avoidance of doubt, (i) any reference in this Agreement or in any other Loan Document to an Event of Default “continuing” or words of similar import, shall not be deemed to imply or create any obligation on the part of Lender to waive, or to accept a cure of, an Event of Default, and (ii) once an Event of Default “occurs” it shall be deemed to continue unless and until Lender agrees in writing to waive or accept the cure of such Event of Default (which Lender shall decide in its sole and absolute discretion).

10.8 Waiver of Trial by Jury. BORROWER AND LENDER HEREBY AGREE NOT TO ELECT A TRIAL BY JURY OF ANY ISSUE TRIABLE OF RIGHT BY JURY, AND WAIVE ANY RIGHT TO TRIAL BY JURY FULLY TO THE EXTENT THAT ANY SUCH RIGHT SHALL NOW OR HEREAFTER EXIST WITH REGARD TO THE LOAN DOCUMENTS, OR ANY CLAIM, COUNTERCLAIM OR OTHER ACTION ARISING IN CONNECTION THEREWITH. THIS WAIVER OF RIGHT TO TRIAL BY JURY IS GIVEN KNOWINGLY AND VOLUNTARILY BY BORROWER AND LENDER, AND IS INTENDED TO ENCOMPASS INDIVIDUALLY EACH INSTANCE AND EACH ISSUE AS TO WHICH THE RIGHT TO A TRIAL BY JURY WOULD OTHERWISE ACCRUE. EITHER PARTY IS HEREBY AUTHORIZED TO FILE A COPY OF THIS PARAGRAPH IN ANY PROCEEDING AS CONCLUSIVE EVIDENCE OF THIS WAIVER BY THE OTHER.

10.9 Headings/Exhibits. The Section headings in this Agreement are included herein for convenience of reference only and shall not constitute a part of this Agreement for any other purpose. The Exhibits attached hereto are hereby incorporated by reference as a part of the Agreement with the same force and effect as if set forth in the body hereof.

10.10 Severability. Wherever possible, each provision of this Agreement shall be interpreted in such manner as to be effective and valid under applicable law, but if any provision of this Agreement shall be prohibited by or invalid under applicable law, such provision shall be ineffective to the extent of such prohibition or invalidity, without invalidating the remainder of such provision or the remaining provisions of this Agreement.

10.11 Preferences. Upon the occurrence and continuance of an Event of Default, Lender shall have the continuing and exclusive right to apply or reverse and reapply any and all payments by Borrower to any portion of the Debt. To the extent Borrower makes a payment to Lender, or Lender receives proceeds of any collateral, which is in whole or part subsequently invalidated, declared to be fraudulent or preferential, set aside or required to be repaid to a trustee, receiver or any other party under any bankruptcy law, state or federal law, common law or equitable cause, then, to the extent of such payment or proceeds received, the Debt or part thereof intended to be satisfied shall be revived and continue in full force and effect, as if such payment or proceeds had not been received by Lender. This provision shall survive the expiration or termination of this Agreement and the repayment of the Debt.

10.12 Waiver of Notice. Borrower shall not be entitled to any notices of any nature whatsoever from Lender except with respect to matters for which this Agreement or any other Loan Document specifically and expressly requires the giving of notice by Lender to Borrower and except with respect to matters for which Borrower is not, pursuant to applicable Legal Requirements, permitted to waive the giving of notice. Borrower hereby expressly waives, to the maximum extent not prohibited by applicable Legal Requirements, the right to receive any notice

from Lender with respect to any matter for which no Loan Document specifically and expressly requires the giving of notice by Lender to Borrower.

10.13 Remedies of Borrower. If a claim or adjudication is made that Lender or any of its agents, including Servicer, has acted unreasonably or unreasonably delayed acting in any case where by law or under any Loan Document, Lender or any such agent, as the case may be, has an obligation to act reasonably or promptly, Borrower agrees that neither Lender nor its agents, including Servicer, shall be liable for any monetary damages, and Borrower's sole remedy shall be to commence an action seeking injunctive relief or declaratory judgment. Any action or proceeding to determine whether Lender has acted reasonably shall be determined by an action seeking declaratory judgment. Borrower specifically waives any claim against Lender and its agents, including Servicer, with respect to actions taken by Lender or its agents on Borrower's behalf during the continuance of an Event of Default or otherwise .

10.14 Prior Agreements. This Agreement and the other Loan Documents contain the entire agreement of the parties hereto and thereto in respect of the transactions contemplated hereby and thereby, and all prior agreements, understandings and negotiations among or between such parties, whether oral or written, are superseded by the terms of this Agreement and the other Loan Documents.

10.15 Offsets, Counterclaims and Defenses. Borrower hereby waives the right to assert a counterclaim, other than a compulsory counterclaim, in any action or proceeding brought against it by Lender or its agents, including Servicer, or otherwise offset any obligations to make payments required under the Loan Documents. Any assignee of Lender's interest in and to the Loan Documents shall take the same free and clear of all offsets, counterclaims or defenses which Borrower may otherwise have against any assignor of such documents, and no such offset, counterclaim or defense shall be interposed or asserted by Borrower in any action or proceeding brought by any such assignee upon such documents, and any such right to interpose or assert any such offset, counterclaim or defense in any such action or proceeding is hereby expressly waived by Borrower. Without limiting any of the other provisions contained herein, Borrower hereby unconditionally and irrevocably waives, to the maximum extent not prohibited by applicable law, any rights it may have to claim or recover against Lender in any legal action or proceeding any special, indirect, exemplary, punitive or consequential damages.

10.16 Publicity. All news releases, publicity or advertising by Borrower or its Affiliates through any media intended to reach the general public, which refers to the Loan Documents, the Loan, Lender or any member of the Lender Group, a Loan purchaser or the Servicer, shall be subject to the prior written approval of Lender, such approval not to be unreasonably withheld, conditioned or delayed. Additionally, except with respect to any disclosure by Lender or its Affiliates in connection with a Secondary Market Transaction, Lender shall not have the right to issue any of the foregoing without Borrower's approval, such approval not to be unreasonably withheld, conditioned or delayed (and approval shall be deemed given if Borrower fails to respond within five (5) Business Days following a request for approval); provided, however, that Lender shall have the right to (and Borrower authorizes Lender to) issue customary "tombstone"-type announcements of the transaction without the prior written consent of Borrower.

10.17 No Usury. Borrower and Lender intend at all times to comply with applicable state

law or applicable United States federal law (to the extent that it permits Lender to contract for, charge, take, reserve or receive a greater amount of interest than under state law) and that this Section 10.17 shall control every other agreement in the Loan Documents. If the applicable law (state or federal) is ever judicially interpreted so as to render usurious any amount called for under the Note or any other Loan Document, or contracted for, charged, taken, reserved or received with respect to the Debt, or if Lender's exercise of the option to accelerate the maturity of the Loan or any prepayment by Borrower results in Borrower having paid any interest in excess of that permitted by applicable law, then it is Borrower's and Lender's express intent that all excess amounts theretofore collected by Lender shall be credited against the Principal and all other Debt (or, if the Debt has been or would thereby be paid in full, refunded to Borrower), and the provisions of the Loan Documents immediately be deemed reformed and the amounts thereafter collectible thereunder reduced, without the necessity of the execution of any new document, so as to comply with applicable law, but so as to permit the recovery of the fullest amount otherwise called for thereunder. All sums paid or agreed to be paid to Lender for the use, forbearance or detention of the Loan shall, to the extent permitted by applicable law, be amortized, prorated, allocated, and spread throughout the full stated term of the Loan until payment in full so that the rate or amount of interest on account of the Debt does not exceed the maximum lawful rate from time to time in effect and applicable to the Debt for so long as the Debt is outstanding. Notwithstanding anything to the contrary contained in any Loan Document, it is not the intention of Lender to accelerate the maturity of any interest that has not accrued at the time of such acceleration or to collect unearned interest at the time of such acceleration.

10.18 Conflict; Construction of Documents. In the event of any conflict between the provisions of this Agreement and any of the other Loan Documents, the provisions of this Agreement shall control. The parties hereto acknowledge that each is represented by separate counsel in connection with the negotiation and drafting of the Loan Documents and that the Loan Documents shall not be subject to the principle of construing their meaning against the party that drafted them.

10.19 No Third Party Beneficiaries. The Loan Documents are solely for the benefit of Lender and Borrower and nothing contained in any Loan Document shall be deemed to confer upon anyone other than the Lender and Borrower any right to insist upon or to enforce the performance or observance of any of the obligations contained therein.

10.20 Assignment. This Agreement shall be binding upon and inure to the benefit of the parties hereto and their respective successors and assigns, except that (a) Borrower may not assign or transfer its rights hereunder or any interest herein or delegate its duties hereunder without the prior written consent of Lender, and (b) Lender shall have the right to assign its rights (in whole or in part, whether by operation of law (pursuant to a merger or other successor in interest) or otherwise) hereunder in accordance with this Agreement. Any reference to a Person under the Loan Documents shall be deemed to include such Person's successors and assigns, to the extent permitted by the terms hereof.

10.21 Counterparts. This Agreement may be executed in any number of counterparts, each of which when so executed and delivered shall be an original, but all of which shall together constitute one and the same instrument. For purposes of this Agreement, electronic signatures shall be considered original signatures.

10.22 Confidentiality.

10.22.1 Borrower and Lender agree that either party or any Affiliate thereof may (i) disclose a general description of transactions arising under the Loan Documents for advertising, marketing or other similar purposes and (ii) use any Borrower Party or their respective Affiliates' name, logo or other indicia germane to such party in connection with such advertising, marketing or other similar purposes. Except as may be required by law or as a result of any potential litigation, Borrower agrees, and agrees to cause each of its Affiliates, (i) not to transmit or disclose any provision of any Loan Document to any Person (other than to Borrower's advisors, legal counsel, representatives and officers on a need-to-know basis) without Lender's prior written consent, (ii) to inform all Persons of the confidential nature of the Loan Documents and to direct them not to disclose the same to any other Person and to require each of them to be bound by these provisions and (iii) not to use Lender's name (or the name of any of Lender's Affiliates) in connection with any press releases or such similar purposes without Lender's prior written consent.

10.22.2 Lender and Borrower shall exercise commercially reasonable efforts to maintain in confidence, in accordance with its customary procedures for handling confidential information, all written non-public information of any party to any Loan Document that any party to any Loan Document furnishes on a confidential basis ("***Confidential Information***"), other than any such Confidential Information that becomes generally available to the public or becomes available to Lender or Borrower from a source other than a party to a Loan Document and that is not known to such recipient to be subject to confidentiality obligations; provided, that Lender, Borrower and their respective Affiliates shall have the right to disclose Confidential Information to: (i) any Borrower Party or its Affiliates, (ii) such Person's Affiliates; (iii) such Person's or such Person's Affiliates' lenders, funding or financing sources; (iv) such Person's or such Person's Affiliates' directors, officers, trustees, partners, members, managers, employees, lenders, advisors, representatives, attorneys, equity owners, professional consultants, portfolio management services and rating agencies; (v) any Person to whom Lender offers or proposes to offer to sell, assign or transfer the Loan or any part thereof or any interest or participation therein; (vi) any Person that provides statistical analysis and/or information services to Lender or its Affiliates; or (vii) any Governmental Authority to which Lender or any Borrower Party is subject at the request or pursuant to any requirement of such Governmental Authority, or in connection with an examination of Lender or any Borrower Party by any such Governmental Authority; and any Person (A) to the extent required by applicable law, (B) in response to any subpoena or other legal process or informal investigative demand, or (C) in connection with any litigation, arbitration, investigative, or administrative proceedings, actions, matters, hearings, whether commenced, threatened in writing, or potential in nature.

[Remainder of Page Intentionally Left Blank; Signature Page Follows]